Isle of Man
COUNTERING FINANCIAL CRIME
An all-Island approach

Isle of Man National Risk Assessment

Proliferation Financing

JULY 2026

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In this assessment...

This is the Isle of Man's first standalone Proliferation Financing National Risk Assessment, published as part of the suite of National Risk Assessments under the Financial Crime Strategy **2024–2026**. It identifies the proliferation financing threats faced by the Isle of Man, evaluates national and sectoral vulnerabilities, assesses consequences, and recommends actions to strengthen controls.

KEY MESSAGES

- The Isle of Man's (IOM) overall residual Proliferation Financing (PF) risk is assessed as **Medium Low**, using the Royal United Services Institute (RUSI) PF Risk Assessment methodology and Rapid Risk Assessment Tool
- PF threats to the Island are predominantly indirect: the IOM has almost no direct exposure to United Nations-designated PF States (Democratic People's Republic of Korea (DPRK) and Iran) and extremely limited domestic trade in strategic or dual-use goods, but remains exposed through global financial channels
- The most relevant indirect threat channels are: cross-border financial flows, multijurisdictional legal persons and arrangements (including complex ownership chains), storage/holding of funds and assets in administered structures
- The IOM has a limited association with Countries of Proliferation Concern, third countries and intermediary jurisdictions that may be exploited for sanctions evasion, procurement, transshipment or payment processing in support of proliferation activity ›

- Analysis of financial flows, industry's annual regulatory returns, beneficial ownership data, trade activity and Suspicious Activity Reports (SARs) indicates that the IOM's PF risk is limited, with no evidence of direct exposure to designated proliferation states, but with residual indirect risk arising from its role as an International Finance Centre (IFC) and its connectivity to intermediary jurisdictions associated with sanctions evasion typologies

- The sectors with greatest exposure are those serving international customers and cross-border activity, particularly banking, insurance, Trust and Corporate Service Providers (TCSP), online gambling and Virtual Asset Service Providers (VASP), while manufacturing and goods-related activity remains small in scale

- While the likelihood is assessed as **Medium Low**, the consequences of any PF failure would be significant for the Island (regulatory, reputational, financial and international impacts) and are assessed as **Medium**

- PF understanding is improving but remains less mature than ML/TF in some areas; priorities include targeted training to industry and agencies, improved PF-relevant data, and PF-specific typologies/red flags to support proportionate, risk-based controls

- Vulnerabilities arise from both the characteristics of an IFC and the specific context of a small, globally connected jurisdiction. In addition to an extensive non-resident customer base, multi-jurisdictional/complex ownership arrangements and a diverse range of financial and professional services, smaller IFCs can face possible exposure linked to scale and reliance on external partners for export-control functions. These factors mean PF risk is more likely to arise indirectly through global financial and corporate channels than through domestic procurement activity.

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Ministerial Introduction

Within our Island Plan[1], we lay the foundations to make the Isle of Man a more attractive and prosperous place to live and work, which in turn will sustain and grow productive businesses, services, and society. In support of our strategy, we prioritise a strong and diverse economy, of which a key pillar is our Isle of Man Financial Crime Strategy[2].



Minister for Justice and Home Affairs
Hon Jane Poole-Wilson MHK

We are committed to combatting all financial crime and upholding international standards. The Financial Action Task Force calls on jurisdictions to identify, assess, and understand Proliferation Financing risks they face and to act to mitigate those risks effectively.

Whilst our Island is a comparatively safe place, we will make every effort to ensure proliferation and proliferation financiers cannot use our status as an International Finance Centre to aid their criminal activities. This is our first standalone Proliferation Financing National Risk Assessment (NRA). The NRA forms part of a wider suite of NRAs that the Island has recently published, and goes into detail on the threats, vulnerabilities and controls that exist.

This document will assist industry and competent authorities and help demonstrate our ongoing compliance with international regulations. There will be outreach to industry in support of the publication of this document to help you understand and apply the key learnings.

As a responsible jurisdiction, our message is clear: we will not tolerate those who seek to commit crime either on or through our Island.

As we take an all-Island approach to tackling all types of financial crime, I wish to express my gratitude to everyone who has supported the development of our first standalone Proliferation Financing NRA. ■

> As a responsible jurisdiction, our message is clear: we will not tolerate those who seek to commit crime either on or through our Island."

Executive Summary

In the Guidance on Proliferation Financing Risk Assessment and Mitigation[3] (2021), the Financial Action Task Force (FATF) defines Proliferation Financing (PF) as "the risk of raising, moving, or making available funds, other assets or other economic resources, or financing, in whole or in part, to persons or entities for purposes of Weapons of Mass Destruction (WMD) proliferation, including the proliferation of their means of delivery or related materials (including both dual-use technologies and dual-use goods for non-legitimate purposes)". PF is prohibited under United Nations Security Council Resolutions (UNSCRs) and forms part of the international framework for protecting global peace and security.

As a responsible and internationally connected jurisdiction, the IOM has completed its first standalone PF NRA. This assessment complements the Island's wider programme of published risk assessments and supports a coherent, risk-based approach across the Island's AML/CFT/CPF framework. It is written to meet FATF expectations under Recommendation 1 (PF risk assessment) and Recommendation 7 (implementation of PF-related Targeted Financial Sanctions (TFS)), while also considering broader contextual factors relevant to PF risk in a small, globally connected International Finance Centre (IFC).

WHAT THE ASSESSMENT SHOWS

Overall, the IOM's residual PF risk is assessed as **Medium Low**. This reflects strong domestic implementation of international obligations and a robust supervisory and institutional framework, balanced against the exposure associated with cross-border financial connectivity and internationally oriented corporate and professional services.

Using the RUSI PF Risk Assessment methodology[4] and Rapid Risk Assessment Tool[5] , the IOM's PF scores are summarised in **Figure A**: Threat: **Medium Low**; Vulnerabilities: **Medium Low**; Likelihood: **Medium Low**; Consequences: **Medium**; Overall residual risk: **Medium Low**.

PF can be difficult to detect and may be identified through intelligence, international cooperation and typology led investigations rather than routine reporting. A low volume of PF-related SARs or an absence of prosecutions should not, on its own, be interpreted as evidence of negligible risk.

This assessment therefore distinguishes between inherent exposure (the Island's structural exposure as a small, globally connected IFC) and residual risk (the risk that remains after ›

Figure A: PF Scores for the IOM

Category	Rating
Threat Score	Medium Low
Vulnerabilities Score	Medium Low
Likelihood Score	Medium Low
Consequences Score	Medium
Overall Residual Risk Score	Medium Low

applying mitigants such as TFS implementation, supervision, beneficial ownership transparency and enforcement capability).

The overall rating of **Medium Low** reflects limited direct exposure to PF, alongside stronger domestic controls, while recognising that indirect PF channels remain relevant in an IFC context.

The overall residual risk score for PF in 2026 of **Medium Low** compares with the 2026 Money Laundering (ML) score of **Medium High** and the 2025 Terrorist Financing (TF) score of **Medium Low**, both ML and TF used World Bank methodology.

HOW PF RISK CAN ARISE FOR A SMALL, GLOBALLY CONNECTED IFC

The Island's PF exposure is expected to arise predominantly through indirect channels rather than domestic procurement activity. In particular, as a small but internationally connected IFC, relevant channels include:

- Cross-border financial flows (including payments that transit multiple jurisdictions)
- Multi-jurisdictional legal persons and arrangements that can be used to obscure control and beneficial ownership
- Storage/holding of funds and assets within administered entities or arrangements, including dormant funds held between stages of wider proliferation activity
- Unwittingly holding cyber-enabled revenue generation by PF linked actors, including the use of virtual assets
- Association with Countries of Proliferation Concern and third countries and intermediary jurisdictions that are exploited for sanctions evasion, procurement, transshipment or payment processing in support of proliferation activity

These channels do not imply elevated domestic PF threat. Rather, they indicate where the Island must maintain effective controls, particularly those connected to sanctions compliance, business, customer and technology risk assessments, and the scrutiny of complex structures and international flows.

The IOM has no diplomatic or trade connections with the UN designated PF States (DPRK and Iran), and domestic trade in strategic or dual-use goods is extremely limited. Almost all physical trade transits via the UK, where the Export Control Joint Unit (ECJU)[6] act as the centre of excellence for the Island on export control screening, with local processes to respond to referrals and maintain awareness among any domestic firms involved in specialised manufacturing, engineering or logistics. This reduces the likelihood of direct PF exposure through goods movements, but does not remove the possibility of indirect misuse through international financial and corporate channels.

WHICH SECTORS FACE THE MOST EXPOSURE?

PF risk is not evenly distributed across the economy. The analysis identifies the following sectors as most relevant to PF exposure, primarily due to international connectivity and the potential for indirect misuse:

- **Banking**: PF relevant risk may arise through cross-border payments and international customer activity, including where payments involve intermediaries or multi-jurisdictional structures. Financial flow data, see Chapter 6.1.1, indicates negligible exposure to PF States and very small flows linked to States of Proliferation Concern, consistent with limited direct nexus but continuing indirect exposure through the global system.
- **Insurance:** The sector's size and international connectivity create potential exposure to PF linked typologies, including those associated with maritime and reinsurance markets. The Financial Intelligence Unit's (FIU) PF classified reporting over the review period was predominantly from insurance, highlighting the role of insurers as a detection point for possible sanctions linked and PF relevant indicators.
- **Trust and Corporate Service Providers (TCSPs):** TCSPs can be misused to create or administer structures that obscure ownership or control and facilitate sanctions evasion. Available data, see Chapter 6.2.1, indicates extremely low direct exposure to PF States and very limited exposure linked to States of Proliferation Concern; however, international experience shows TCSPs can feature in PF networks indirectly through front company chains and complex ownership.
- **Online gambling:** International online business models, cyber-enabled crime typologies and links to virtual assets may create indirect PF exposure, particularly where illicit proceeds (including from cyber-enabled activity) are moved through gambling channels.
- **Virtual Assets (VAs) and Virtual Asset Service Providers (VASPs)**: The Island's VA/VASP NRA assess PF threat as very low for the domestic VASP sector, but international PF typologies, especially cyber-enabled revenue generation and the laundering of stolen virtual assets, remain relevant as part of the wider global PF ecosystem. ›

Other sectors (including manufacturing) are recognised as potential exposure channels in international typologies, particularly where they intersect with sanctions evasion patterns and complex ownership structures. However, there is currently no evidence of PF-related misuse in the IOM during the review period. Manufacturing and goods related activity is small in scale and the overall PF risk from this channel is assessed as low, reflecting the Island's limited manufacturing base and trade profile.

WHY A PF NRA MATTERS

Conducting a PF NRA is required by FATF and is an important component of the Island's broader financial crime framework. It supports the IOM in:

- Understanding how global PF activity could intersect with the Island's economy and internationally oriented services
- Ensuring the public and private sectors receive regular training on sanctions evasion (particularly related to PF-TFS)
- Ensuring the public and private sectors are able to identify the red flags related to sanctions evasion (particularly related to PF-TFS)
- Ensuring the public and private sectors apply proportionate, risk-based controls (particularly in relation to PF-related TFS)
- Helping competent authorities and supervisors prioritise resources, guidance and outreach based on risk.

The assessment also emphasises that PF consequences are material. Even a single instance of inadvertent facilitation could generate reputational, regulatory and international impacts for the Island. Accordingly, PF should be embedded within the Island's sanctions compliance arrangements and wider AML/CFT control environment, rather than treated as a standalone or siloed risk.

WHAT HAPPENS NEXT

The assessment identifies proportionate, risk-based priorities to strengthen PF capability and deepen the evidence base, see full table of recommended actions below. Recommended areas for further work, aligned to the National Financial Crime Strategy 2024 – 2026, include:

- Reviewing and maintaining the list of States of Proliferation Concern used in the assessment, applying a clear methodology and regular review cycle comparable to the approach used for other country risk lists
- Strengthening PF relevant data collection and analysis
- Developing and publishing PF specific typologies and sector specific red flags, to support consistent application in business, customer and technology risk assessments
- Enhancing awareness and training, particularly where PF understanding is less mature than ML/TF

CONCLUSION

The IOM's overall PF risk is assessed as **Medium Low**. Direct exposure is limited, and the Island has strong systems in place for sanctions implementation, supervision and coordination. However, the evolving nature of proliferation networks, particularly their use of indirect financial channels, complex corporate structures and cyber-enabled activity, means the Island must maintain vigilance and continue to strengthen PF specific understanding, data and practical controls.

This PF NRA provides government, regulators, law enforcement and industry with a clearer, evidence based understanding of where PF risks could intersect with the IOM, and the proportionate steps required to further strengthen the Island's resilience and support global non proliferation objectives. ■

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RECOMMENDED ACTIONS

The areas for potential improvement have been aligned with the four strategic aims from the **National Financial Crime Strategy 2024 – 2026**, which support the overall mission of 'an all-Island approach to tackling financial crime'.

1.Public sector and industry work together to achieve a common goal of meeting international standards

1.1 States of Proliferation Concern (Chapter 3.4)

- It is recommended that further research is undertaken to review the list of States of Proliferation Concern[7](jurisdictions frequently observed in proliferation and sanctions-evasion typologies) and if there are additional jurisdictions that should be added to this list. To consider a methodology for regularly reviewing.

1.2 Follow Up PF Industry Survey (Chapter 4.3)

- The PF questionnaire will be reissued to industry. This will allow the FSA and GSC to track progress by sector and see what additional support industry might require. Once the survey is completed, it can inform the FSA and GSC what additional PF-specific measures they can introduce (if any) into the supervisory inspections and data requests.

2. Actions are informed and driven by best practice and standards, both domestically and internationally

2.1 PF Typologies (Chapter 3.5)

- FIU to expand upon the typologies published to date, by providing further PF-typologies that relevant sectors might face in the IOM.

2.2 Sector Specific PF-Red Flags and Case Indicators (Chapter 3.6)

- Develop and publish sector specific PF red flag guidance, using the published material from MONEYVAL/FATF/RUSI and others. Industry can then consider how these might support their Business Risk Assessment (BRA)/Customer Risk Assessment (CRA) and also their Technology Risk Assessment (TRA).

2.3 Enhance PF Relevant Data Collection and Analysis (Chapter 4.8)

- It is recommended that the IOM strengthens national data collection and analysis relating to PF by enhancing the coordinated framework for PF relevant information across competent authorities, regulated sectors and industry. This framework should ensure that: relevant data sources are identified and consistently captured; PF specific indicators and trends can be measured over time; information from financial institutions, Designated Non-Financial Businesses and Professions (DNFBPs), registries, trade related functions, and international partners is incorporated into the national PF risk picture; and the Island's understanding of PF risks continues to evolve in line with global developments, FATF expectations, and typologies from comparable IFCs. This action will strengthen future NRAs, support more targeted supervision, and enable earlier identification of emerging PF threats.

2.4 Complex Structures (Chapter 4.7)

- Firms should consider treating complex structures as a PF-risk indicator and apply proportionate enhanced measures where appropriate.

3. The Island is an active participant in the global fight against financial crime and Sanctions evasion

3.1 Sector Specific PF Risk Assessments (Chapter 6.3.4)

- Consider whether there are certain sectors (potentially non-financial), where a further sector-specific PF risk assessment would benefit that sector. Discuss initially with relevant industry bodies.

4. All stakeholders have the resources they need to effectively identify and respond to ML/TF/PF and Sanctions evasion threats

4.1 Strengthen National PF/TFS Expertise and Analytical Capability (Chapter 4.3)

- It is recognised that PF understanding is less embedded across industry/ registries/manufacturing than is the case for ML. PF is potentially more nuanced and varies as geopolitical issues change. Therefore, it is recommended that there is further awareness training for industry/registries/manufacturing, with consideration of examples such as: DPRK illegal income generation; procurement networks and dual-use goods; sanctions evasion patterns.

UPDATING THE PF NRA

PF risk is dynamic and can change rapidly in response to geopolitical developments, sanctions activity, typologies and technological change. The Government's AML/CFT Policy Office will coordinate a periodic review of this PF NRA in line with strategy, supported by competent authorities and supervisors through the appropriate governance forums. The review will consider updated intelligence, supervisory findings, PF-relevant reporting, trade/export control indicators and international typologies. An earlier review may be triggered by material changes such as new UN designations relating to DPRK or Iran, significant sanctions evasion typologies affecting IFCs, major PF-relevant cyber incidents, or evidence of attempted misuse of IOM services or structures. ■



> PF risk is dynamic and can change rapidly in response to geopolitical developments, sanctions activity, typologies and technological change."

CHAPTER 1

Introduction



1.1 NRA Structure

Chapter 1 sets out the background and context, including the purpose of this risk assessment, why it has been written, how it can be used and by whom. Chapter 2 provides an overview of the frameworks that apply to proliferation and PF in the IOM, and the competent authorities that are involved in preventing, detecting and enforcing breaches of those frameworks. Chapters 3, 4 and 5 provide the threats, vulnerabilities, mitigants and consequences. They consider the activities that are specific to TFS evasion/breach/non-implementation and also other activities that, whilst not specific to UNSCRs, nonetheless constitute proliferation activity or PF[8]. Chapter 6 analyses a number of key sectors, cross-referencing with the more detailed sectoral reports recently published in the 2026 ML NRA[9].

1.2 Scope

PF has been incorporated into the FATF methodology in a defined and targeted manner, reflecting the fact that PF risk relates to the potential breach, non-implementation, or evasion of TFS established under the relevant UNSCRs. The FATF methodology confines PF obligations to the implementation of the UNSCRs on the DPRK and Iran. The standards require countries to ensure that funds or other assets of designated persons or entities are frozen and not made available, directly or indirectly, in accordance with those Resolutions.

The IOM has adopted a broader scope, consistent with the existing NRA framework, where assessments draw on multiagency information and aim to provide a broader understanding of risks across sectors and products. Accordingly, the PF NRA addresses the FATF requirement but also examines additional factors that could be relevant to how PF risks may manifest in an IFC:

- PF-TFS risk (FATF Recommendation 7): the risk of breach, non-implementation, or evasion of PF-TFS; and also
- Wider proliferation-linked financial exposure: vulnerabilities and typologies that may increase the likelihood of attempted PF-TFS evasion or related abuse of financial and corporate services. This does not expand or alter the legal scope of PF-TFS obligations; rather, it provides context to inform national priorities, supervisory focus, and private sector awareness of relevant typologies

1.3 International Obligations, Definitions and Types of Proliferation Financing

INTERNATIONAL OBLIGATIONS

The United Nations Security Council (UNSC) holds the central mandate for safeguarding international peace and security, including determining when situations constitute threats or acts of aggression. Where necessary, the UNSC may impose sanctions or, in certain circumstances, authorise coercive measures to reestablish or maintain international stability. UNSCRs form the foundation of the global framework for countering proliferation. As legally binding instruments, they require all United Nations (UN) member states to take measures to prevent, disrupt, and suppress proliferationrelated financing and activity. A key example is UNSCR 1540 (2004)[10], which obliges member states to prohibit the provision of any form of assistance to nonstate actors attempting to develop, acquire, or transfer WMD.

DEFINITIONS

Following the decisions in UNSCR 1540, proliferation has been defined as:

"The manufacture, acquisition, possession, development, export, trans-shipment, brokering, transport, transfer, stockpiling or use of Chemical, Biological, Radiological or Nuclear (CBRN) weapons (weapons of mass destruction or WMD) and their means of delivery and related materials (including technologies and dual-use goods), in contravention of domestic law and/or international obligations." ›

Proliferation also encompasses the acquisition, supply and use of technology, goods, software, services or expertise.

In its publication Guidance on Proliferation Financing Risk Assessment and Mitigation (2021), FATF offers a PF definition[11]:

"The financing of proliferation refers to the risk of raising, moving, or making available funds, other assets or other economic resources, or financing, in whole or in part, to persons or entities for purposes of WMD proliferation, including the proliferation of their means of delivery or related materials (including both dual-use technologies and dual-use goods for non-legitimate purposes)".

RUSI, against whose Risk Assessment Tool this NRA has been conducted, also provides the following definition[12]:

"(1) Proliferation financing is when a person:
(a) Makes available an asset; or
(b) Provides a financial service; or
(c) Conducts a financial transaction; and
the person [knows that, or is reckless as to whether], the asset, financial service or financial transaction is intended to, in whole or in part, facilitate an activity specified in subsection (2) regardless of whether the specified activity occurs or is attempted.

(2) The specified activities are:
(a) The manufacture, production, possession, acquisition, stockpiling, storage, development, transportation, sale, supply, transfer, export, trans-shipment or use of:
(i) Nuclear weapons; or
(ii) Chemical weapons; or
(iii) Biological weapons; or
(iv) Materials related to nuclear weapons, chemical weapons or biological weapons that are prescribed by Regulations; or

(b) The provision of technical training, advice, service, brokering or assistance related to any of the activities in Paragraph (a)."

STATE THREAT ACTORS: PF STATES AND STATES OF PROLIFERATION CONCERN

At the time of publication of this NRA, the main state actors that pose a threat are those named by the UNSC, DPRK and Iran, collectively referred to as PF States.

In addition to the PF States, this NRA considers whether the IOM may be exposed (directly or indirectly) to proliferationlinked activity through customer, ownership, trade, payments, or serviceprovider relationships involving other jurisdictions that frequently feature in open source proliferation and sanctions-evasion typologies. This supports understanding of potential pathways for PF-TFS evasion and related abuse of corporate and financial services. The RUSI Guide to Conducting a National PF Risk Assessment (2019) references possible States of Proliferation Concern: China, Pakistan and Russia[13]. These countries are considered within the analysis in the following chapters. The identification of these jurisdictions for analytical purposes does not constitute a sanctions list, a designation, or a statement of higher-risk status in itself. However, they can be used to prioritise due diligence considerations and typology awareness.

It is recommended that further research is undertaken to review the list of States of Proliferation Concern and if there are additional jurisdictions that should be added to this list or removed. To consider a methodology for regularly reviewing.

TYPES OF PROLIFERATION FINANCING

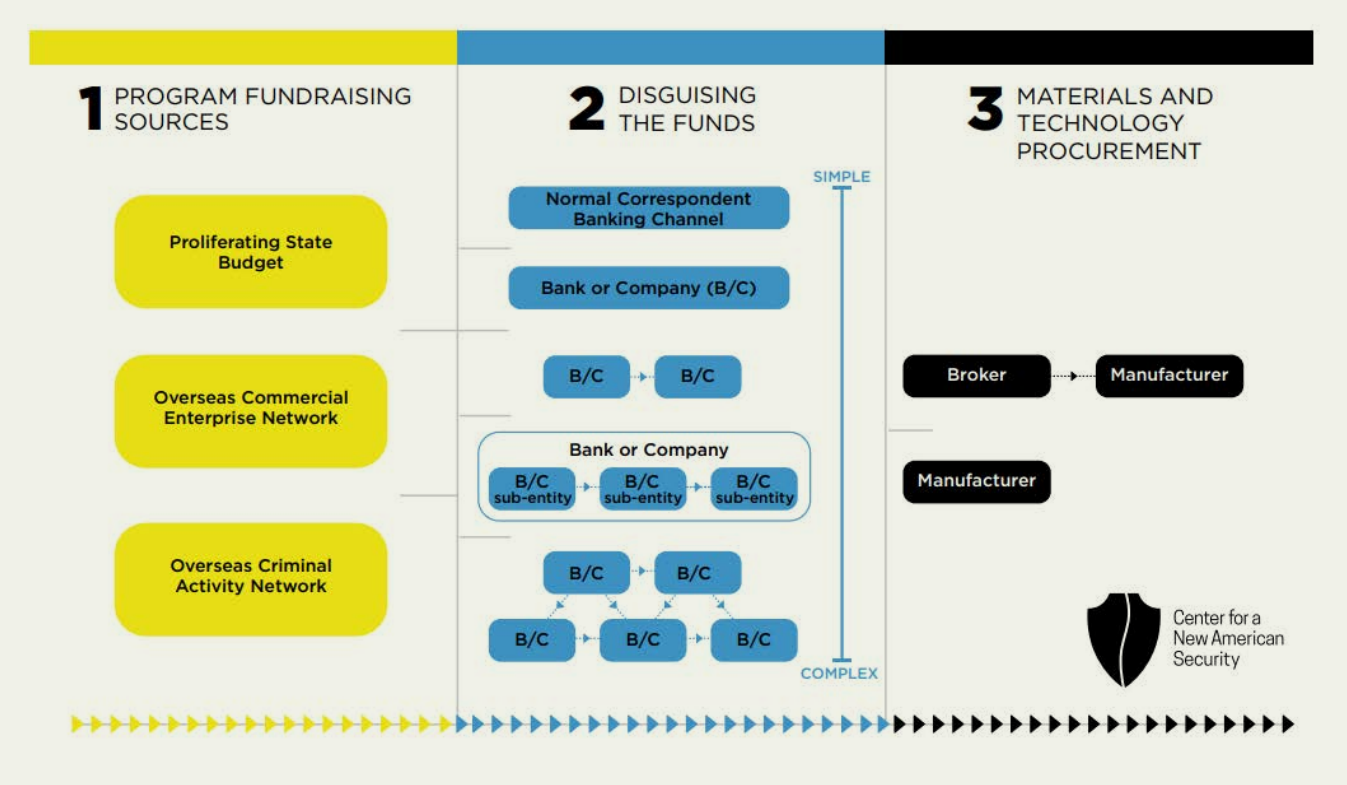
In the paper, The Financing of Nuclear and Other Weapons of Mass Destruction Proliferation[14] (January 2018), Dr Jonathan Brewer states:

"The financial elements of a WMD program can be broken down into three stages (as depicted in ***Figure 1-1****:* Three stages of Financing of Proliferation):

(i) Pro*gram fundraising: A proliferating country raises financial resources for in-country costs.*
(ii) *Disguising the funds*: The proliferating state moves assets into the international fi*nancial system, often involving a foreign exchange transaction, for trade purposes.*
(iii) *Materials and technology procurement: The proliferating state or its agents uses these resources for procurement of materials and technology within the international financial system."*

Dr Brewer notes that these three stages differ from the ML process, as PF is a linear process, with proliferators moving illicit funds through the stages and use them to pay reputable industrial manufacturers for goods and services. ›

Figure 1-1: Three Stages of Financing of Proliferation



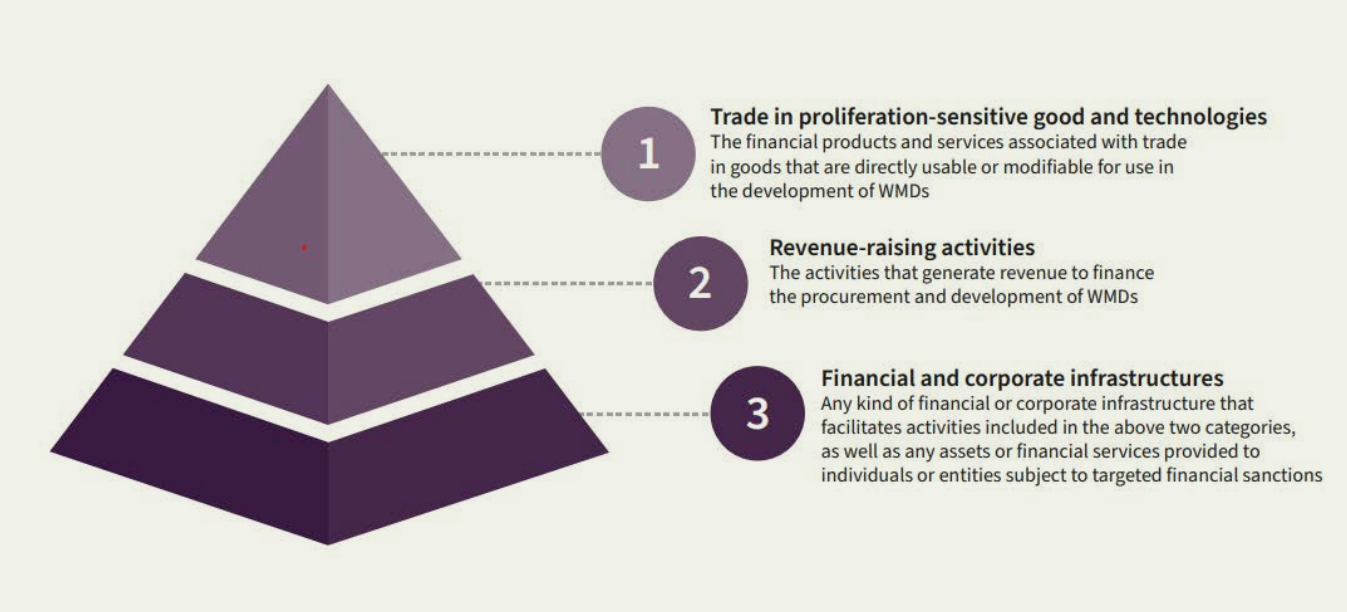
Source: The Financing of Nuclear and Other Weapons of Mass Destruction Proliferation

PF encompasses a wide range of activities and is not limited to the direct financing of WMDs or proliferation-sensitive goods and technologies. RUSI has identified 3 categories of activities that may fall under PF, that the regulated sector should consider in their own PF Risk Assessments[15], shown in **Figure 1-2.**

1. *"Financial products and services – such as trade finance, for example – that can directly support the trade in goods that are usable or modifiable for use in the development of WMDs."*
2. *"The revenue or assets generated or secured through licit or illicit activities to finance the procurement and development of WMDs and which will need to be placed into and moved through the financial system."*
3. *"Financial and corporate networks – such as correspondent banking – that can support the movement of finances and goods used to develop WMDs."* ›

> PF encompasses a wide range of activities and is not limited to the direct financing of WMDs or proliferation-sensitive goods and technologies."

Figure 1-2: Categories of PF



Source: RUSI Institutional Proliferation Finance Risk Assessment Guide, published June 2023

In addition to these internationally recognised stages, experience from small states and IFCs, such as the IOM, may also face risks associated with the storage or holding of funds and assets. The risks include the possibility that legal persons or arrangements may hold or administer funds or assets that are, or could be, connected to proliferation activity, including where these assets remain dormant or unused between different stages of a procurement or wider proliferation process. For example, TCSPs may be used to establish or manage companies, trusts, or foundations that hold bank accounts or other assets, allowing funds to remain dormant while obscuring control and intended proliferation-related purposes. This "storage" function is particularly relevant for IFCs with material TCSP sectors.

1.4 Why the Isle of Man Requires a PF NRA, Methodology and Data

WHY THE IOM REQUIRES A PF NRA

The FATF 40 Recommendations require countries to identify, assess and understand the PF risks for the country, and take action, including designating an authority or mechanism to coordinate actions to assess risks, and apply resources, aimed at ensuring the risks are mitigated effectively. A country's understanding of risk is an essential foundation of its regulatory framework and should be used to allocate resources efficiently. The FATF 40 Recommendations provide the international standards which all countries are expected to meet; it is the IOM Government's policy to adhere closely to these recommendations. ›

The purpose of this PF NRA is to inform all stakeholders of the risks associated with proliferation financing, specific to the IOM. It also informs stakeholders of methods to reduce, or mitigate, these risks. The work undertaken globally in this regard is to ensure that persons and entities involved in the proliferation of WMD are prevented from raising, moving and using funds, consistent with the relevant international obligations.

The aims of this risk assessment are to:

- Provide all stakeholders with a comprehensive understanding of the relevant threats, vulnerabilities and consequences associated with PF relevant to the Island
- Provide recommendations in order to reduce PF risk for all stakeholders
- Aid coordination of policy development and allocation of resources by the competent authorities in an informed manner underpinned by evidence

As part of this PF NRA, consideration was given to the risks in other jurisdictions with similar risk profiles or where there are inter-dependencies. Jersey and Guernsey were considered as they are the other two Crown Dependencies and there are a number of shared businesses and customers across the three jurisdictions. UK was considered as the largest trading partner and key for many parts of the PF NRA.

SMALL STATES AND TERRITORIES WORKING GROUP PAPER

This assessment also draws on the shared experience of small states and territories. In particular, it is informed by the Small States and Territories Working Group[16] (STWG) guidance on identifying, assessing and mitigating PF risk in small states and IFCs. That guidance, codeveloped by jurisdictions including the IOM, recognises that smaller IFCs face distinct exposures arising from global financial connectivity, multijurisdictional corporate structures, and reliance on partners for export and bordercontrol functions. The NRA applies these insights to the IOM's specific context.

METHODOLOGY

The IOM Financial Crime Strategy 2024-2026[17] states in strategic objective two: "Use a risk-based approach to identify risk, coordinate appropriate actions and apply resources to ensure identified risk is addressed and mitigated". The AML/CFT Policy Office within the Government co-ordinates the NRA work.

The RUSI methodology was used for this PF NRA, with reference to the:

- Guide to Conducting a National Proliferation Financing Risk Assessment, published May 2019[18]. This includes the RUSI Proliferation Financing Rapid Risk Assessment Tool[19]
- Guide to Conducting a National Proliferation Financing Risk Assessment, published November 2024[20]

The methodology considers the threats (Chapter 3), vulnerabilities (Chapter 4) and consequences (Chapter 5). In Chapter 6 the IOM considers the sectoral analysis for a number of key areas, with reference to the more detailed ML risk assessments for sectors where these have been published. In addition, it considers the position of PF in relation to the small manufacturing sector on the Island.

Overall, the risk in the RUSI PF Rapid Risk Assessment Tool derives an overall residual risk rating by combining threat and vulnerability assessments and then considering consequences, producing a single overall rating.

This PF NRA applies the RUSI PF risk assessment approach, including the RUSI Rapid Risk Assessment Tool, which produces overall ratings on a threetier scale (**Low / Medium / High**). To support consistency across the IOM's wider suite of published NRAs, the presentation of results in this report expands the single "Medium" band into three subcategories (**Medium Low / Medium / Medium High**). This mirrors the fivepoint risk descriptors used in the IOM's other NRAs that apply the World Bank risk assessment methodology, enabling clearer "readacross" for readers comparing PF risk with ML/TF and sectoral NRA findings.

The expanded "**Medium**" categories do not change the underlying RUSI assessment outcomes; they provide additional granularity for communication and comparison. The subcategorisation is derived from the underlying numerical scores generated by the RUSI tool, and is used solely to align terminology with the IOM's established NRA reporting framework. See **Figure 1-3**. ›

Figure 1-3: Refinement to RUSI PF Rapid Risk Assessment Tool Ratings

Rating Used in NRA	RUSI Numeric Scoring	RUSI Rating
Low	0 to 1.09	Low
Medium low	1.1 to 1.43	Medium
Medium	1.44 to 1.76	Medium
Medium high	1.77 to 2.09	Medium
High	2.1 to 3	High

DATA

Within the IOM Financial Crime Strategy 2024-2026, strategic objective six is: *"Fully understand the immediate, emerging and ongoing threats posed by financial crime using a broad spectrum of metrics, data and statistics and conducting strategic analysis."*

To support this PF NRA, a number of data sources were utilised, including:

- Companies Registry: information on Registered Beneficial Ownership
- FSA: annual AML/CFT return 2024 from industry; financial flow data supplied quarterly by the Banks; thematic reports
- Government: country lists – A, B and others. Data was used from the lists published October 2025[21]
- International Co-operation: Mutual Legal Assistance (MLA) requests (incoming and outgoing)
- Customs and Immigration: sanctions report data and customs export data, cash transaction reports obtained at the border[22] (see ML NRA[23] for further details on cash controls)
- Proactive International Money Laundering Investigation Team: investigation data
- Financial Intelligence Unit: Suspicious Activity Reports data
- Prosecutions: Prosecutions and convictions data
- Financial Crime and Asset Recovery Unit: Asset recovery data
- TCSP sector: Legal Persons and Arrangements data return received in 2025
- Manufacturing data provided via a questionnaire
- PF questionnaire: completed by a wide selection of regulated entities
- Suite of published IOM NRAs, as well as PF NRAs from other IFCs.

Where sensitive data has been used, it has been aggregated to allow inclusion in this report, displayed as percentages rather than actuals or removed from the final published version of this report. It should be noted that globally, data relating to Proliferation and PF are not as available as those relating to ML. ›



1.5 How to Use This PF NRA

This NRA is intended to be used by industry stakeholders to inform BRAs. For businesses in the regulated sector the need for a BRA is a requirement of the AML/CFT Codes. A BRA must have regard to any relevant findings of the most recent NRA relating to the Island. It should also be used to assist businesses who are not regulated by the FSA or GSC, but could face risks in relation to PF or other proliferation activities. It is acceptable to consider this NRA as it is published, but update the overall BRA at its next formal review date, based on the nature, size and complexity of the business and its potential PF exposure. Consideration should also be given to the CRA and TRA and whether these require updating. For practical use at firm level, RUSI guidance suggests assessing PF exposure across common institutional risk categories: customers; products and services offered; jurisdictions operated in and with; transactions; delivery channels used; and cyber threats. Firms may find it helpful to use these categories to structure updates to their BRA/CRA/TRA and to document how PFTFS risks are identified, assessed and mitigated within existing financial crime controls.

Whilst not a regulatory requirement for non-regulated sectors (such as the manufacturing sector), they are nonetheless encouraged to undertake their own BRA, CRA and TRA. The FSA and GSC have guidance[24] on what BRA, CRA and TRA should consider and this may assist. These sectors may also benefit from reviewing the sanctions guidance provided by C&I[25].

When updating institutional assessments, firms should document whether identified PF-TFS exposures fall within their risk appetite, and whether existing controls sufficiently mitigate residual risk or require enhancement, recognising that a risk-based approach supports proportionate management.

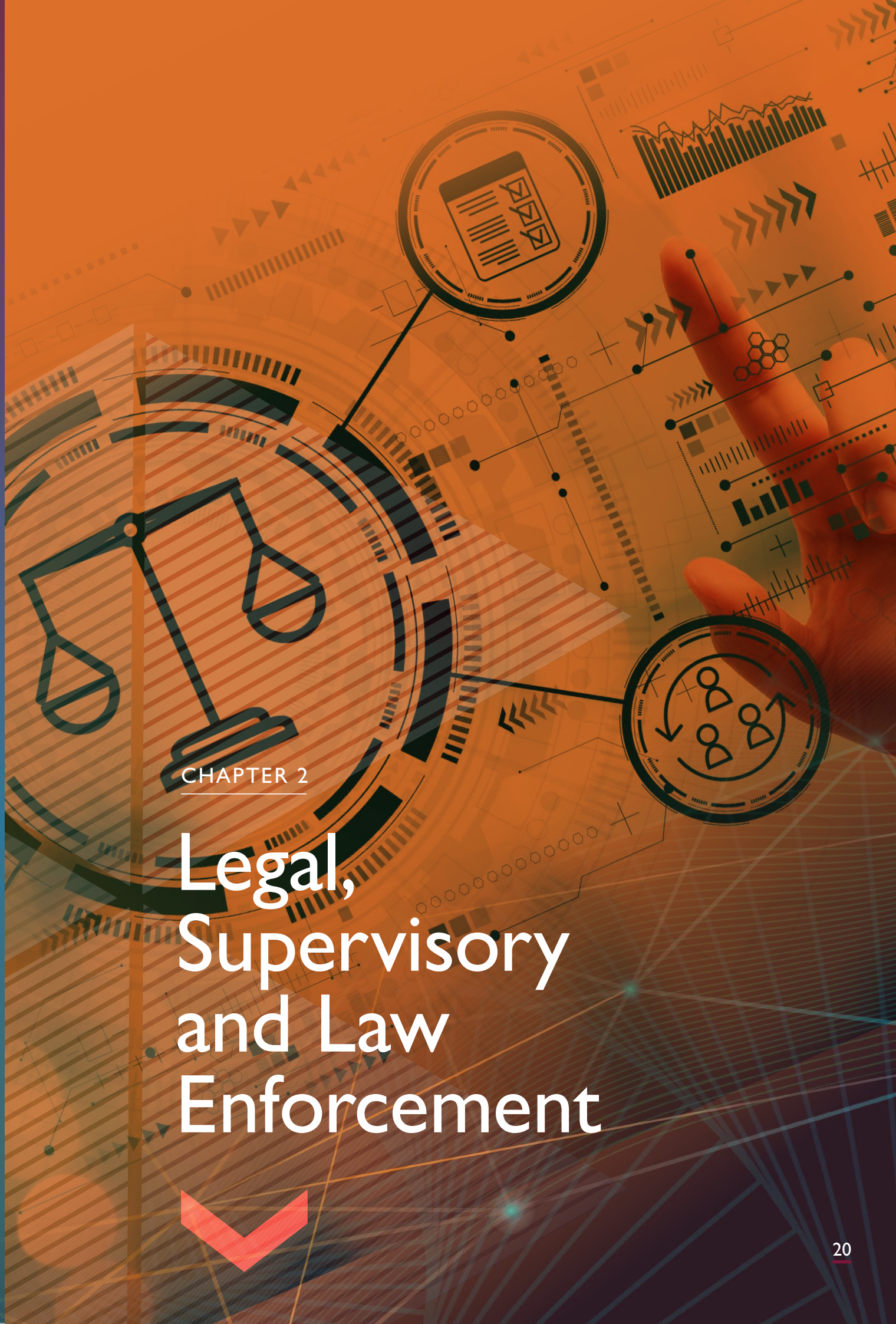
The reader is also encouraged to read the Profile of the Isle of Man document[26] either in conjunction with, or prior to, reading this NRA. This document provides valuable information and context on the IOM as a jurisdiction. In addition, RUSI have published an Institutional Proliferation Finance Risk Assessment Guide[27] (June 2023) which is designed "to provide multi-jurisdictional support to the private sector in identifying activities that may be higher risk, determining the levels of risks the sector faces, and developing strategies to tackle such risks."

The findings of this PF NRA are intended to inform proportionate supervisory engagement, guidance and outreach, particularly in relation to awareness of indirect PF typologies, rather than the introduction of new or standalone PF obligations.

1.6 Acknowledgements

RUSI methodology relies upon the support and input of subject matter experts. Expert discussions validate and help to raise the main threats, vulnerabilities and consequences in the IOM. The completion of this NRA involved extensive input from these experts from competent authorities, regulators, and industry bodies, listed in Appendix 2. Their support is greatly valued. Our appreciation is also extended to The Centre for Finance and Security at RUSI, for the use of their methodology, accompanying tools, guidance material, expertise and ongoing support. ■

"When updating institutional assessments, firms should document whether identified PF-TFS exposures fall within their risk appetite, and whether existing controls sufficiently mitigate residual risk or require enhancement, recognising that a risk-based approach supports proportionate management."



CHAPTER 2

Legal, Supervisory and Law Enforcement

2.1 UK Relationship

As detailed in the document, A profile of the Isle of Man (2025)[28] :"The Isle of Man is part of the Common Travel Area (relating to the movement of people within that area) and is party to a customs union between the Island and the UK under the Customs and Excise Agreement 1979 (which governs the customs controls on the movement of goods between the Island and the UK).

There is a formal Customs & Excise Agreement between the Governments of the Isle of Man and the UK. This Agreement is the overarching policy for customs administration on the Island and is legally enforced through the Customs and Excise (1979 Agreement) Order 2022. Under the Agreement, the Isle of Man and the UK are part of the same customs, excise and VAT territory. This Agreement has existed for many years and is similar to the customs and VAT territory of the European Union, where the movement of goods between Member States generally does not require customs controls. As a result, cross-border movements of goods between the Island and UK are usually not subject to customs checks – similar to movements between the UK mainland and areas like the Scottish Islands.

There are, however, certain goods which are prohibited or restricted (requiring a licence, authorisation, or declaration) from being imported or exported. Cash controls are one such restriction, whereby declarations are required to be made by individuals travelling with, or sending, cash across the Island's border. This include movements between the Isle of Man and UK."

2.2 Domestic Implementation of International Obligations

The IOM's Counter Proliferation Financing (CPF) framework includes a robust suite of legislation and other enforcement tools. It includes a dissuasive array of sanctions. This framework:

(a) is established to address the threats of breach, non-implementation and evasion of TFS and thereby to minimise the abuse of the international financial system by actors attempting to finance proliferation
(b) is based on the FATF Recommendations and is continually updated in line with the FATF changes
(c) implements the requirements of the international conventions extended to the IOM, including the Treaty on the Non-Proliferation of Nuclear Weapons and the Chemical Weapons Convention.

The two key pieces of legislation[29] relating to PF in IOM are:

- Terrorism and Other Crime (Financial Restrictions) Act 2014 (TOCFRA)
- Sanctions Act 2024

TOCFRA provides for the implementation in the Island of the UN targeted financial sanctions[30] relating to DPRK and Iran. The Sanctions Act 2024 provides for the implementation in the Island of UK sanctions provisions in line with the IOM Government's policy to implement international sanctions in alignment with the UK. ›



TARGETED FINANCIAL SANCTIONS (TFS)

Under TOCFRA, any person designated by the UNSC established pursuant to resolution 1718 (2006) or resolution 1737 (2006) is immediately also a "designated person" for the purpose of the Act and is subject to the asset freeze prohibitions set out in sections 44-49 of TOCFRA.

Made under the Sanctions Act 2024, the Sanctions (Implementation of UK Sanctions) Regulations 2024 give legal effect in the IOM to all the UK Statutory Instruments (UK SI) made under the UK Sanctions and Anti-Money Laundering Act 2018 (SAMLA) relating to TFS along with other sanctions measures relating to trade, transport and travel. In relation to UNSCR 1718 (2006), the following UK SI has effect in the Island:

- The Democratic People's Republic of Korea (Sanctions) (EU Exit) Regulations 2019[31]. Those Regulations also implement the required UN TFS and the other non-financial provisions of the UN sanctions regime.

In relation to UNSCR 1696 (2006), 1737 (2006), 1747 (2007), 1803 (2008), 1835 (2008), and 1929 (2010) relating to Iran[32] , the following UK SI also has legal effect in the Island:

- The Iran (Sanctions) (Nuclear) (EU Exit) Regulations 2019[33]. The purposes of those Regulations, in addition to compliance with the UN obligations are:
  - promoting the abandonment by Iran of nuclear weapons programmes
  - restricting the ability of Iran to develop nuclear weapons and nuclear weapons delivery systems
  - promoting implementation of the Joint Comprehensive Plan of Action.

In addition, the UK has implemented an autonomous sanctions regime (i.e. non-UN originating) relating to chemical weapons. Again, the following UK SI has legal effect in the Island:

- The Chemical Weapons (Sanctions) (EU Exit) Regulations 2019[34]. The purpose of those Regulations is to deter the proliferation and use of chemical weapons, including encouraging the effective implementation of the Chemical Weapons Convention.

TFS legislation[35] is included within the definition of "AML/CFT legislation" provided in the various AML/CFT Codes. The regulated sector must comply with AML/CFT legislation. The sector is supervised by the FSA or GSC.

INTERNATIONAL OBLIGATIONS

A number of international treaties to which the UK is a party, and which relate to non-proliferation, have been extended to the IOM. These include:

- Nuclear Non-Proliferation Treaty - the objective of which is to prevent the spread of nuclear weapons and weapons technology, to promote cooperation in the peaceful uses of nuclear energy, and to further the goal of achieving nuclear disarmament and general and complete disarmament

- Chemical Weapons Convention, since October 2005. The provisions include:
  - To chemically disarm by destroying all stockpiles of chemical weapons, any facilities which produced them and any old or abandoned chemical weapons from the past
  - Never to develop, produce, stockpile or use chemical weapons
  - Submit regular declarations to the Organisation for the Prohibition of Chemical Weapons (OPCW) on the production, processing, consumption, and import and export of certain dual-use chemicals
  - Allow the OPCW to carry out routine inspections on their territories

OTHER CPF MEASURES

The IOM also implements other measures relating to counter proliferation and CPF. There are measures in place to control the import and export of, and wider trade in, various goods, which are a requirement of international obligations and other UK foreign policy objectives. As with TFS, the IOM gives legal effect to certain UK legislation concerning import, export and trade controls. Specifically:

- The Democratic People's Republic of Korea (Sanctions) (EU Exit) Regulations 2019[36] . Those Regulations impose wide restrictions on the import and export of goods to and from the DPRK and on the provision of various services, which includes financial, trade and shipping services ›

- The Iran (Sanctions) (Nuclear) (EU Exit) Regulations 2019[37]. Those Regulations impose restrictions on the import and export of goods to and from Iran and on the provision of various services, which includes financial and trade services
- The Export Control Order 2008[38]. This Order restricts the export of military goods and goods suspected of being intended for WMD purposes, the transfer of military software and technology and such items suspected of being intended for WMD purposes and the transit of dual-use goods. There are also controls on technical assistance and trade activities, where goods are in another country
- The Dual-Use Regulation[39]. This Regulation controls the export, transfer, brokering and transit of dual-use goods

Given the Island's limited manufacturing base and the fact that almost all physical trade transits via the UK, the inherent PF risk arising from domestic production or export of dual-use goods is low. However, experience from comparable small states and territories shows that even limited industrial or logistics activity can be misused where export control regimes, end use awareness and private sector understanding are weak. The IOM benefits from the ECJU and their export control system for screening of sensitive goods, while Customs and Immigration Division (C&I) maintains local processes to respond to referrals and to raise awareness among any domestic firms involved in specialised manufacturing, engineering or logistics.

The following legislation has effect in the Island to deter and prevent the development or transfer of chemical and nuclear weapons:

- The Chemical Weapons Act 1996[40]. This Act, which is a UK Act extended to the Island, promotes the control of chemical weapons and of certain toxic chemicals and precursors
- Anti-Terrorism and Crime Act 2003. This Act makes it an offence to cause a nuclear weapon explosion, develop, produce or participate in developing or producing a nuclear weapon, possess, transfer or engage in preparations intending to use a nuclear weapon

For the IOM, this framework means that breaches of relevant sanctions regimes are not only a matter of international compliance, but also a domestic legal and regulatory risk for firms and individuals. Regulated entities and relevant non-regulated businesses should therefore view PF-related TFS compliance as integral to their overall AML/CFT control environment, rather than as an isolated or purely legal obligation. In practical terms, this requires robust sanctions screening and related open-source intelligence (OSINT) due diligence, timely notification of list updates and the incorporation of the update into the screening process, escalation routes for potential matches, and a clear understanding of when to engage with competent authorities for guidance.

STRATEGIC EXPORT AND TRADE CONTROLS

It is the policy of the IOM Government to maintain the laws relating to the import and export of goods aligned to those in the UK. Guidance produced by the UK Government in relation to export and trade controls are also applicable in the IOM. Strategic export controls are imposed on:

- Diamonds
- Radioactive substances
- Military goods, services and technology
- Items that can have both civil and military uses
- Goods that could be used for torture or capital punishment
- Firearms, ammunition and related equipment when exported from the IOM or UK. These items can be found in the UK Strategic Export Control Lists[41]. There are also controls on the brokering of dual-use items.

2.3 Financial Action Task Force

FATF is an independent inter-governmental body that develops and promotes policies to protect the global financial system against ML, TF, PF and sanctions evasion. The FATF Recommendations are recognised as the global AML/CFT/CPF standard. The FATF Recommendations[42] set out a comprehensive and consistent framework of measures which countries should implement in order to combat ML/TF/PF.

FATF Recommendation 1 requires countries to identify, assess and understand their PF risks, applying a risk-based approach to mitigate these risks effectively. This includes designating an authority or mechanism to coordinate further actions in assessing risks, and deploying resources, with the aim of ›

ensuring that those risks are mitigated effectively. In addition, Recommendation 1, "assessing risks and applying a risk-based approach" requires countries to "identify, assess, and understand the proliferation financing risks [in respect of] the potential breach, non-implementation or evasion of the targeted financial sanctions obligations referred to in Recommendation 7". Countries should also apply measures commensurate with PF risks.

FATF Recommendation 7 requires countries to implement TFS to comply with the UNSCRs relating to the prevention, suppression and disruption of proliferation of WMD and its financing.

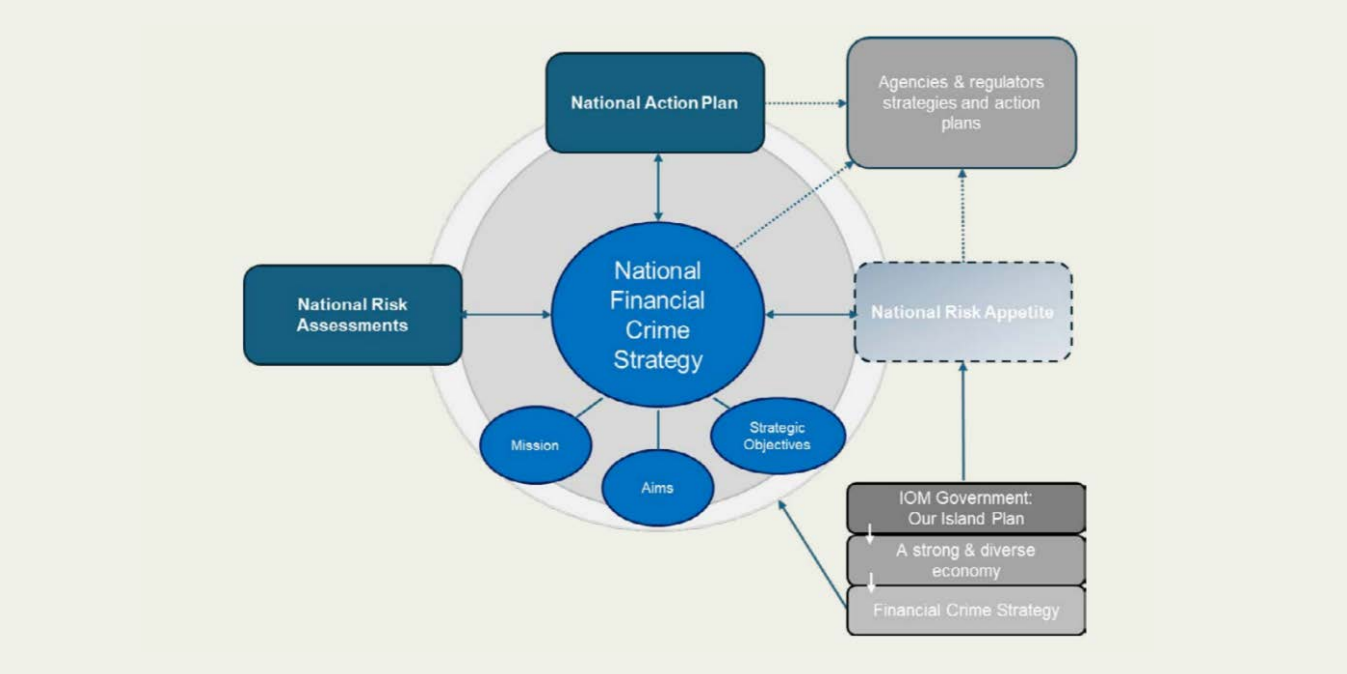
In addition, Recommendation 2, "national cooperation and coordination" includes PF along with TF and ML risks. A FATF Best Practice Paper[43] on Recommendation 2 in respect of PF was published in 2012.

Effective implementation of CPF measures is covered by Immediate Outcome 11, which requires jurisdictions to "develop and implement policies and activities to combat the financing of proliferation of WMD" and implement TFS.

2.4 Governance and Co-Ordination

Coordination between competent authorities in both the development of policies and the operational implementation of measures to combat PF is embedded within the Island's mature national AML/CFT/CPF governance framework. The IOM's understanding of risk has been enhanced over recent years by the Government, agencies, regulators and industry working closely together. This has collectively increased their understanding of the risks from PF as well as ML and TF. This has been supported by the publication of NRAs, which have been used to allocate resources to prevent ML/TF/PF. In 2015 an ML/TF NRA was published, followed by an update in 2020. This PF NRA is just one of a suite of publications available on the IOM Government Countering Financial Crime website[44], which detail the Island's financial crime prevention strategy, risk appetite statements and NRAs. **Figure 2-1** shows the relation between these key national documents and the link to the overall Government: Our Island Plan.›

Figure 2-1: Relation between Key National Documents



Source: IOM Government

In addition to the governance committees described in other documents (see ML NRA and IOM Profile documents[45]), the IOM also has a Sanctions Operational Group (SOG), which feeds into the Multiagency Cooperation Group. It was established in July 2022. The purpose of the group is to enable the different agencies involved in the implementation of sanctions to come together on a regular monthly basis (or as required) to discuss the coordination of operations. The aims of SOG are to:

- Ensure the effective implementation of sanctions legislation and policy in the IOM in order to meet international standards
- Provide a platform for a multi-agency approach to enforcement of sanctions legislation in the IOM
- Ensure that agencies are working together to promote compliance and enforce the legislation using best practice
- Consider specific cases of potential sanctions breaches to ensure the most appropriate law enforcement approach is applied
- Work together to analyse sanctions breach threats, trends and develop typologies relevant for the IOM
- Promote learning and knowledge-sharing arising from case studies, research and in response to global events.

Core membership of SOG comprises operational staff who have the responsibility for effective sanctions implementation, compliance and enforcement, from the following agencies: Customs and Immigration Division (Chair); FIU; FSA; Constabulary; and GSC. Other agencies may be invited/required to attend depending on agenda items, including but not limited to: AGC; AML/CFT Policy Office; Companies Registry; Ship Registry; and Aircraft Registry. This flexible composition ensures that PF-related risks, whether financial, trade-based, corporate or asset-related, are addressed through a whole-of-system operational response.

CPF COORDINATION ACROSS THE PF-TFS LIFECYCLE

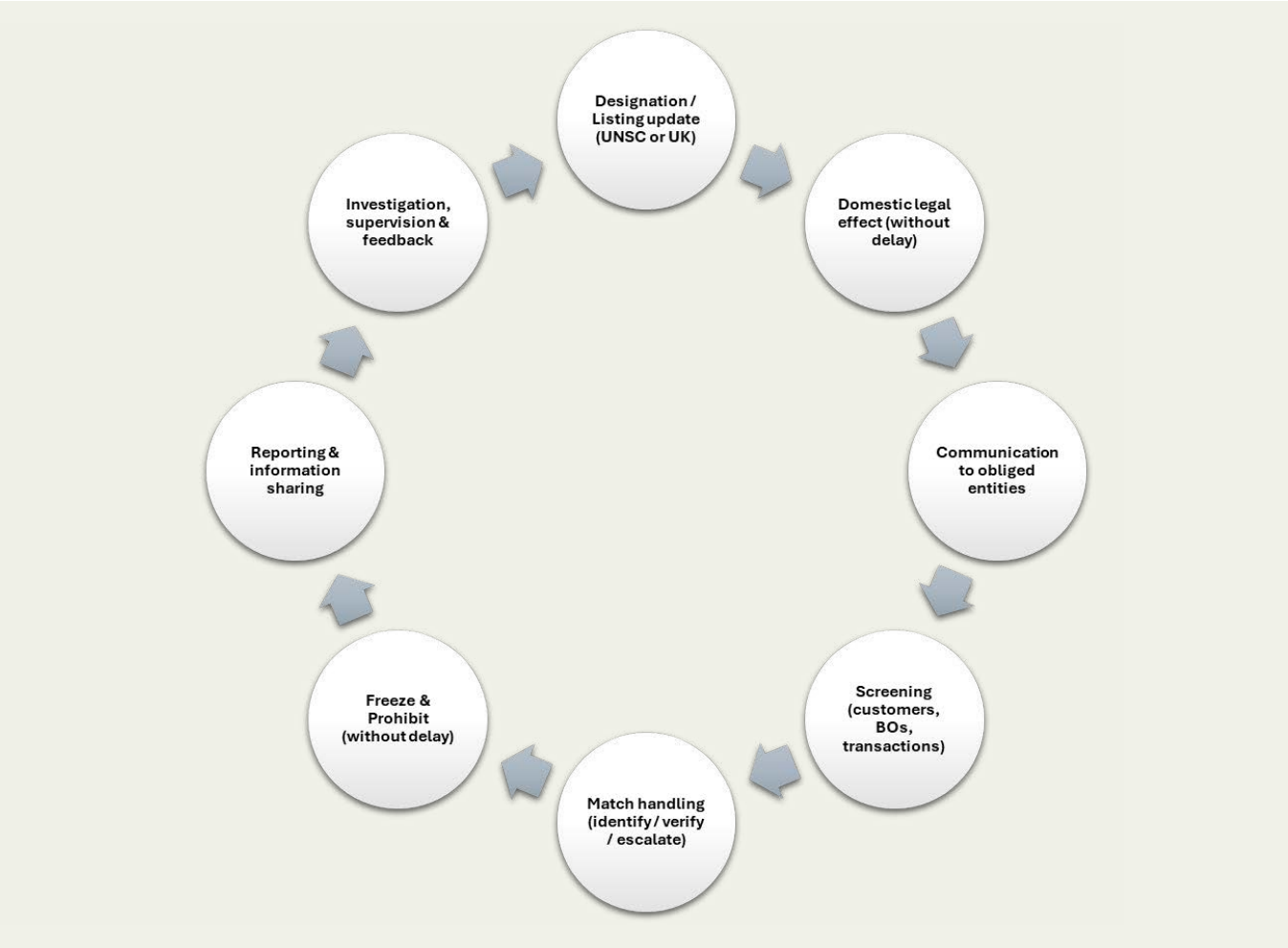
To support effective implementation of PF-related TFS, coordination across competent authorities and industry operates across a common operating rhythm, see **Figure 2-2:**

- Designation and communication: timely updates to relevant sanctions lists and clear communication of obligations to obliged entities and other relevant sectors;
- Implementation by firms: sanctions screening (including of all related parties and downstream relationships), OSINT due diligence[46], escalation routes for potential matches, and controls to prevent funds or assets being made available directly or indirectly;
- Reporting: prompt reporting of true matches, frozen assets, suspected breaches and sanctions-related concerns through established channels;
- Investigation and enforcement: coordinated assessment of cases, appropriate investigative action, and use of proportionate sanctions and enforcement tools; and
- Training: outreach and further training is provided to improve knowledge, understanding and highlight emerging trends and typologies.

RUSI emphasises that effective CPF depends on the private sector's role in identifying potentially suspicious activity, alerting competent authorities, freezing assets and implementing financial sanctions as part of an effective end-to-end PF-TFS response. ›

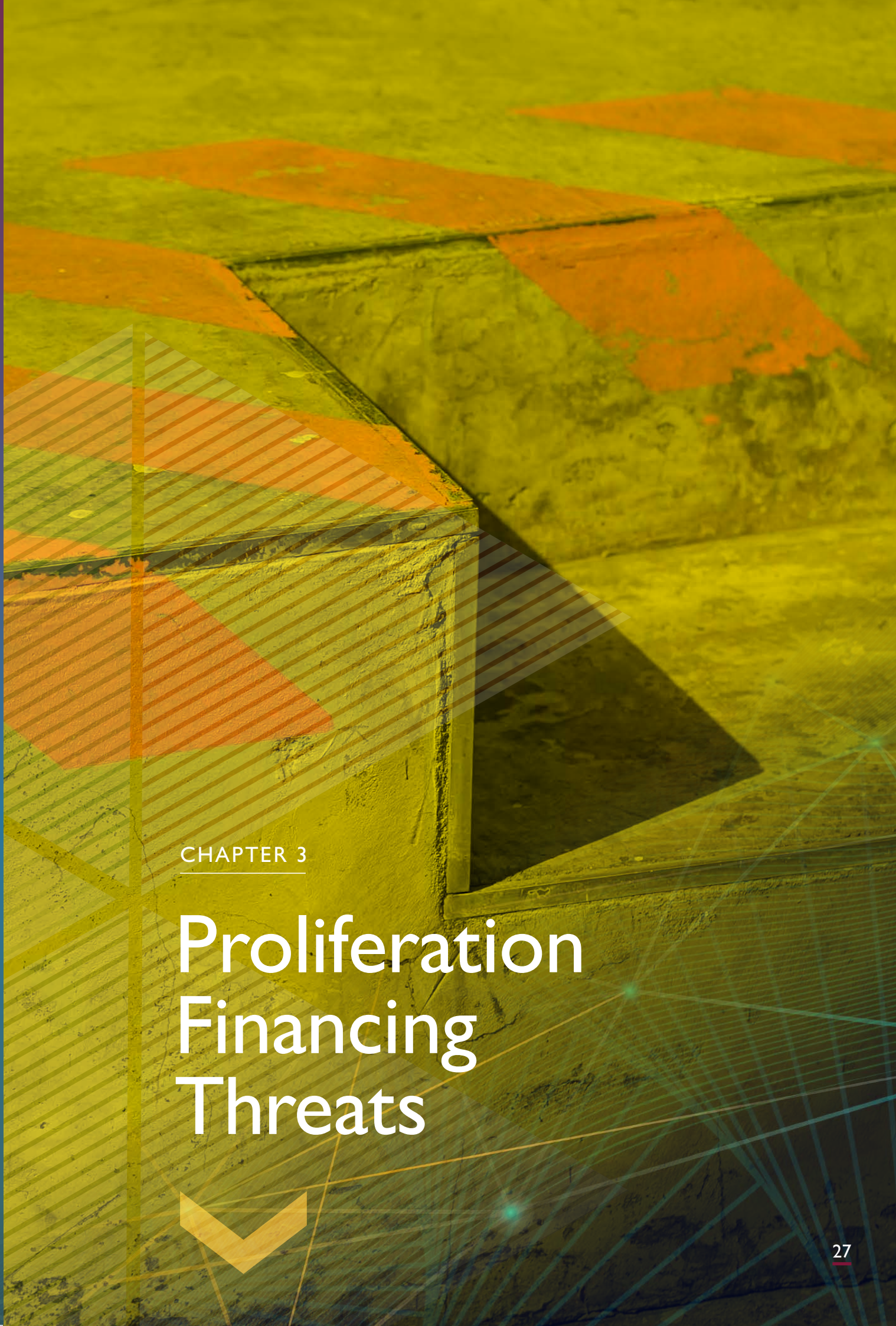
> In addition to governance committees, the IOM also has a Sanctions Operational Group (SOG), which feeds into the Multiagency Cooperation Group."

Figure 2-2: PF-TFS lifecycle from designation to implementation, reporting, and feedback



Source: IOM Government

> RUSI emphasises that effective CPF depends on the private sector's role in identifying potentially suspicious activity, alerting competent authorities, freezing assets and implementing financial sanctions as part of an effective end-to-end PF-TFS response."



CHAPTER 3

Proliferation Financing Threats

3.1 Definition of Threat

Threat, vulnerability and consequence are defined in the FATF Guidance on Proliferation Financing Risk Assessment and Mitigation[47] (June 2021). See **Figure 3-1**.

Figure 3-1: FATF Definition of Threat Specific to a PF Risk Assessment

Threat refers to designated persons and entities that have previously caused or with the potential to evade, breach or exploit a failure to implement PF-TFS in the past, present or future. Such threat may also be caused by those persons or entities acting for or on behalf of designated persons or entities [1]. It can be an actual or a potential threat. Not all threats present the same risk level to all countries and private sector firms.

[1] DPRK PF-TFS, i.e. UNSCR 1718 (2006) OP8(d), covers persons or entities acting on behalf or at the direction of designated persons and entities.

Source:FATF

3.2 FATF: Potential breach, non-implementation and evasion threats

FATF guidance[48] outlines two key dimensions of PF risk:

- The risk of a potential breach or non-implementation of TFS – FATF states: "A sanctions breach and failure to implement sanctions may typically result from inadequate internal controls (e.g. inadequate Customer Due Diligence (CDD) and record keeping, delays in screening customers, inadequate transaction monitoring and screening systems and procedures, use of out-of-date sanctions lists and lack of accuracy in matching names)."

- The risk of evasion of TFS – FATF states: "Sanctions evasion schemes aim to hide the designated persons and entities. As the very objective of these schemes is to circumvent sanctions, financial institutions, DNFBPs and VASPs could be in situations where despite a good understanding of risks, a robust compliance function and sound due diligence, they might not be able to detect all potential evasion of targeted financial sanctions." ›



3.3 RUSI: Direct and indirect threats

However, the two key dimensions (noted above) focus solely on the implementation of TFS and therefore do not fully capture the broader risks associated with the indirect financing of proliferation. This includes risks arising from revenue-generating activities, or the use of intermediaries acting on behalf of sanctioned entities, states, or non-state actors involved in the illicit acquisition of proliferation-sensitive goods and technologies. RUSI methodology expands on direct and indirect threats:

- **Direct PF -** "Most closely resembles how Resolution 1540 and the FATF definition conceptualise PF – the financial products and services associated with trade in proliferation-sensitive goods and technologies"

- **Indirect PF –** "The indirect financing of proliferation encompasses a range of activities that, effectively, contribute in a substantive way to WMD, whether by a state or non-state actor.", "One of the most common forms of indirect PF is revenue-raising activity."

These patterns are consistent with the experience of small states and IFCs more generally. As highlighted in the STWG guidance, proliferators exploit multi-jurisdictional, multi-sector networks that often rely on front companies, TCSP-administered entities and cyber-enabled revenue generation rather than directly confronting sanctions at the point of origin. For smaller jurisdictions with material financial and professional services sectors but limited direct trade in strategic goods, this means that PF exposure arises predominantly through indirect channels, for example via global financial flows and corporate structures, rather than through domestic procurement.

3.4 Threat Actors: PF States, States of Proliferation Concern and Non-State Actors

PF STATES AND STATES OF PROLIFERATION CONCERN

As covered in Chapter 1.2, five jurisdictions have been recognised as either PF States (DPRK and Iran) or States of Proliferation Concern[49] (China, Pakistan and Russia). It is recommended that further research is undertaken to review the list of States of Proliferation Concern and if there are additional jurisdictions that should be added to this list[50]. To consider a methodology for regularly reviewing and updating this list to ensure it is comprehensive and is reviewed and amended as appropriate.

From the annual 2024 AML/CFT returns submitted to the FSA from industry, the exposure to PF States and States of Proliferation Concern is very low, as shown in **Figure 3-2. ›**

> PF exposure arises predominantly through indirect channels, for example via global financial flows and corporate structures"

Figure 3-2: Industry Customer Exposure to PF States and States of Proliferation Concern, 2024

Customer Category	PF States	States of Proliferation Concern
Personal	0.0009%	0.5522%
Non-natural	0.0000%	0.0194%
PEPS by residency	0.0073%	1.3538%
PEPs by nationality	0.0222%	2.0603%

Source:: FSA

NON-STATE ACTORS: TERRORIST ORGANISATIONS/ TRANSNATIONAL ORGANISED CRIME GROUPS

Globally, there is a threat from terrorist organisations or transnational organised crime groups seeking to raise funds by the proliferation of WMD/dual-use goods etc. In the US, the US Attorney prosecuted an individual, "Japanese yakuza leader pleads guilty to trafficking nuclear materials from Myanmar[51]", with the materials expected to be used by Iran in WMDs.

The United Nations Office of Counter-Terrorism published a report[52], Science, Technology and Innovation: Understanding Advancements from the Perspective of Countering Weapons of Mass Destruction Terrorism (2021), which stated:

"The prospect of non-state actors, including terrorists, acquiring and using WMD remains a serious threat to international peace and security. This concern has been recognised in the UN Global Counter-Terrorism Strategy, several Security Council resolutions, including 1373 (2001), 1540 (2004), and 2325 (2016), as well as the Secretary-General's Agenda for Disarmament (2018). Similarly, in 2018, during the sixth review of the Global Counter-Terrorism Strategy, the General Assembly called upon all Member States to 'prevent terrorists from acquiring weapons of mass destruction and their means of delivery and (encouraged) cooperation among and between Member States and relevant regional and International Organisations for strengthening national capacities in this regard.'

The use of chemical weapons on civilians by terrorists in Iraq and Syria, the 2018 attempt to use ricin (biological toxin) as a weapon of terror in Germany and the lockdown of two nuclear power plants in Belgium in 2016 under suspicion of an attempt by the Islamic State of Iraq and the Levant (ISIL/Da'esh) to attack, infiltrate or sabotage the facilities demonstrate that the threat is real."

While global evidence confirms that terrorist organisations and transnational organised crime groups have sought to acquire or use chemical, biological, radiological or nuclear materials, there is no indication of any direct nexus with the IOM.

However non-state actors may still pose an indirect threat through their use of international financial channels, online platforms, virtual assets, and multi-jurisdictional corporate structures. These mechanisms could intersect with IFCs even where no domestic link exists. The IOM's exposure therefore mirrors that of comparable jurisdictions: low direct threat, but a residual indirect threat.

The identification of States of Proliferation Concern does not mean that all business connected to these jurisdictions is prohibited or automatically high risk. However, it does mean that relationships involving these countries require enhanced consideration in BRAs, CRAs and TRAs. Firms should be able to evidence how they factor these jurisdictions into their country risk scoring methodology, how they identify indirect connections (for example via corporate structures or supply chains), and how they determine when to apply enhanced due diligence, to end the business relationship or to decline business. ›

3.5 Threat Activities/ Typologies

The FIU published a report[53], Online Gambling: Red Flags and Typologies for ML, TF and PF (May 2025). It details several examples of PF-related typologies, three are summarised below:

- Concealing the origin of funds: When large volumes of fiat or cryptocurrency are laundered in this way, there is an elevated risk of PF. Cyber-criminals acting on behalf of the DPRK are known to have used the accounts of international junket operators as part of the laundering process for funds stolen during the 2016 Bangladesh Central Bank heist.

- Online gambling as a front for cyber-enabled fraud operations: The compliance team's blockchain analysis software flagged several transactions as having links to wallets associated with cyber fraud activities in known scam centres. Even more concerning, another transaction was flagged as having links to an address associated with a DPRK state-sponsored hacking group.

- Hacking and theft: There have been instances of cyber-criminals stealing cryptocurrency from blockchain addresses controlled by online gambling businesses. In at least one instance, the criminals concerned were acting on behalf of the DPRK, a regime which has become increasingly reliant on cybercrime to circumvent sanctions and pursue its weapons programme.

TYPOLOGIES: PROCEEDS FROM CONFLICTS

MONEYVAL published a typologies report,[54] ML, TF and PF Risks and Trends Linked to Proceeds Obtained from Conflicts (December 2025). It states:

"The analysis underlines that, due to weakened state control and destabilised markets, conflict zones often become incubators for complex, interconnected criminal economies where illicit proceeds are generated, laundered, and reinvested to perpetuate violence and destabilisation. The analysis emphasises the growing sophistication of illicit financial mechanisms used to circumvent TFS, particularly in the context of PF. Conflict-affected environments enable criminals to exploit vulnerabilities in financial and regulatory systems, making use of complex schemes involving shell companies, third-country intermediaries, and VAs to conceal the origin, movement and purpose of funds."

MONEYVAL jurisdictions report that sanctions evasion remains the primary PF typology. This includes the use of layered corporate structures, offshore entities, and front companies to conceal procurement relationships with sanctioned jurisdictions. Schemes often involve re-routing goods through third countries or countries of diversion, mis-describing dual-use items, and using intermediaries to disguise the true end-user.

A recurrent typology involves procurement of dual-use goods (including precursors, microelectronics, chemicals, and aerospace-related components) through European or Asian intermediaries. These purchases are often labelled as benign industrial inputs but ultimately feed into sanctioned weapons programmes. TCSPs, logistics firms, and small trading companies are commonly used to obscure beneficial ownership.

Another key typology is the use of VAs and unregulated or lightly regulated VASPs to facilitate payments, obscure transaction chains, and maintain access for sanctioned actors. Several cases showed VASPs providing services to sanctioned jurisdictions or enabling transfers involving sanctioned banks.

Further typologies include the use of Non-Governmental Organisations or humanitarian entities as unwitting or deliberate conduits for the movement of funds into conflict zones and the financing of entities linked to weapons development, as well as conversion of non-cash assets into cash (e.g., through circular loans, front companies, or commodity transfers) to support procurement activity.

Collectively, these typologies demonstrate the sophisticated, transnational and adaptive nature of PF activity within and around conflict-affected regions.

TYPOLOGY: REVENUE-RAISING THROUGH THE SALE OF ARMS OR OTHER MATERIEL (INDIRECT PF)

In addition to procurement-led typologies, proliferation-linked actors may seek to generate revenue that can subsequently be ›

deployed in support of prohibited proliferation activity. One plausible revenue-raising scenario is where a designated person (or a person acting on their behalf) participates in, brokers, or benefits from the sale of arms or other materiel to a willing buyer, with the proceeds contributing (directly or indirectly) to a proliferation programme.

This typology is relevant to the IOM primarily as an indirect risk. The Island has extremely limited domestic trade in strategic or dual-use goods and no known direct trade links with UN-designated PF States; however, as a globally connected IFC, IOM financial and professional services could still be exposed where payments, corporate structures, or insurance arrangements connected to such sales are routed through third countries and intermediaries. In practice, the designated nexus may be obscured through front companies, layered ownership, the use of brokers and intermediaries, and the misrepresentation of the true end-user or beneficiary.

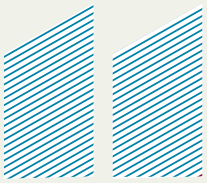
For obliged entities, the key risk indicator is therefore not the presence of an obvious sanctioned counterparty, but the combination of: (i) higher-risk sectors or activity descriptions (including defence-related or sensitive goods), (ii) complex or rapidly changing ownership/control, (iii) the involvement of intermediaries in third countries, and (iv) limited transparency over end-user/end-use or the source of funds. Firms should treat poor visibility over the commercial rationale, end-user and end-use as a vulnerability in itself, apply enhanced due diligence where appropriate, and escalate concerns through established reporting channels.

It is recommended that the FIU expand upon the typologies published to date, by providing industry and manufacturing with further relevant typologies that they might face in the IOM.

3.6 Evidence of Potential PF Threat as Seen by the IOM Competent Authorities[55]

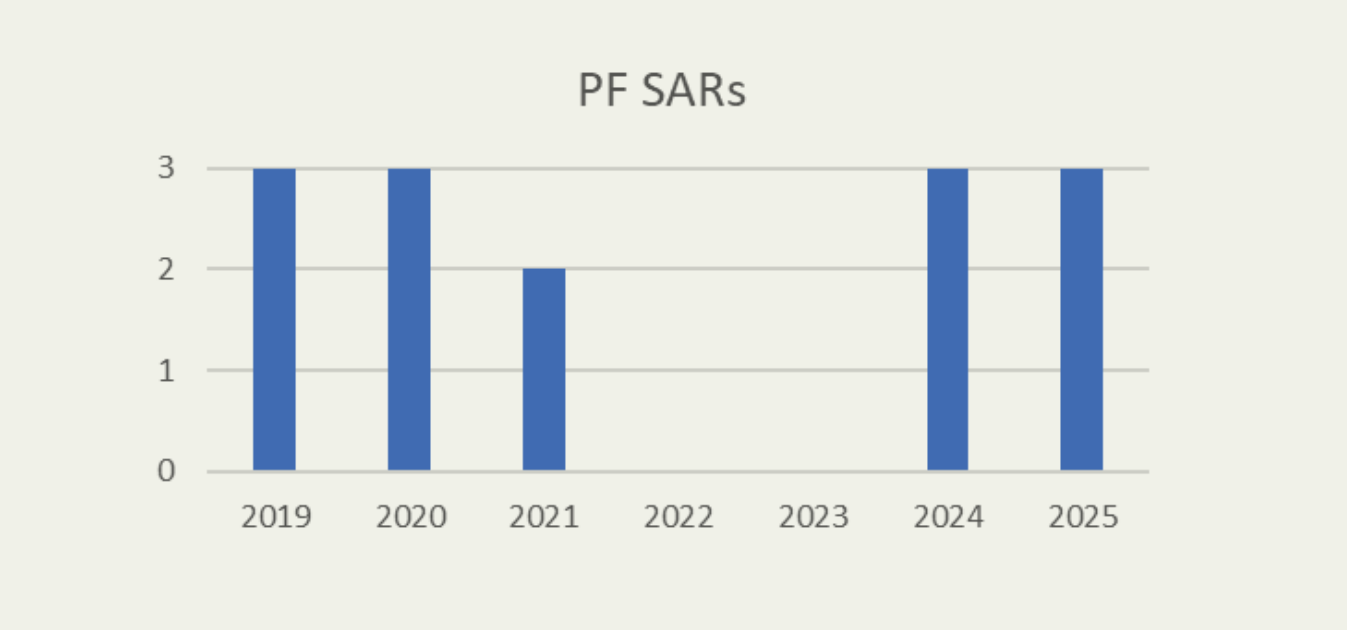
The FIU receive Suspicious Activity Reports (SARs), with 14 having been classified as of a PF nature when submitted, Figure 3-3[56]. The Insurance sector provided 10 of the SARs, then banking (2), TCSPs (1) and online gambling sector (1).

The PF-related SARs originating from the life insurance sector relate to natural persons who hold policies. The PF link is typically based around their employment, with companies they are employed by or linked to raising PF concerns due to either the nature of the business (dual-use goods/weapons manufacture) or due to suspected links between the employer and PF states. It could be considered that these SARs are a positive reflection of the sector's CDD processes, capability and awareness of potential PF-related suspicions. Other SARs received relate to links between individuals and sanctioned individuals, although these are largely under OFAC designations or more general UK sanctions regimes (not UNSCRs). ›



In practice, the designated nexus may be obscured through front companies, layered ownership, the use of brokers and intermediaries, and the misrepresentation of the true end-user or beneficiary."

Figure 3-3: Number of Suspicious Activity Reports Submitted to the FIU Recorded as Potential Proliferation Financing, 2019-2025



Source: FIU

The small number of PF-related SARs is consistent with the Island's limited direct exposure to PF States, but it potentially reflects low global detection rates for PF activity.

In relation to potential breaches or evasion of PF-TFS (i.e. DPRK and Iran), there have been no reports received.

Via Themis[57], the FIU issue confidential Threat Alert Notices to keep industry and law enforcement agencies updated on relevant geopolitical issues that may require their attention in matters concerning ML/TF or PF. The most recent notice was regarding Geopolitical Developments: Venezuela and Iran (March 2026), which was designed to aid industry and law enforcement on a number of areas including any potential heightened PF risk.

PROACTIVE INTERNATIONAL MONEY LAUNDERING INVESTIGATION TEAM

The Proactive International Money Laundering Investigation Team (PIMLIT) was established within the Isle of Man Constabulary in September 2022 to focus on complex international money laundering investigations, separate from the Economic Crime Unit. PIMLIT comprises police officers and civilian financial investigators, including secondees from the banking and corporate sectors, and works closely with the FIU, Financial Services Authority (FSA), Gambling Supervision Commission (GSC), C&I, the Financial Crime Asset Recovery Unit (FCARU) and ICART. A number of officers are co-located within the FIU to support the development of intelligence into evidential material and the investigation of international financial crime under the Proceeds of Crime Act 2008.

From a PF perspective, PIMLIT represents a mitigating capability within the Island's CPF framework, particularly in relation to intelligence development, international cooperation, financial investigation and asset tracing. PIMLIT has no active or historical PF cases to reference for the purposes of this PF NRA. The absence of PF casework is consistent with the jurisdiction's limited direct exposure to PF States and the predominantly indirect nature of PF risk identified in this assessment. While PIMLIT's core mandate relates to international money laundering, ›

its specialist financial investigative capabilities, close integration with the FIU, and experience in cross-border cases provide relevant institutional capacity should PF-related intelligence arise in the future.

ATTORNEY GENERAL'S CHAMBER

The Attorney General's Chambers (AGC) receive Mutual Legal Assistance (MLA) requests from other jurisdictions. The AGC have not received an MLA relating to a PF case, nor have they needed to outreach to other jurisdictions regarding a case. The AGC undertake prosecutions, and have had no prosecutions on PF-related matters.

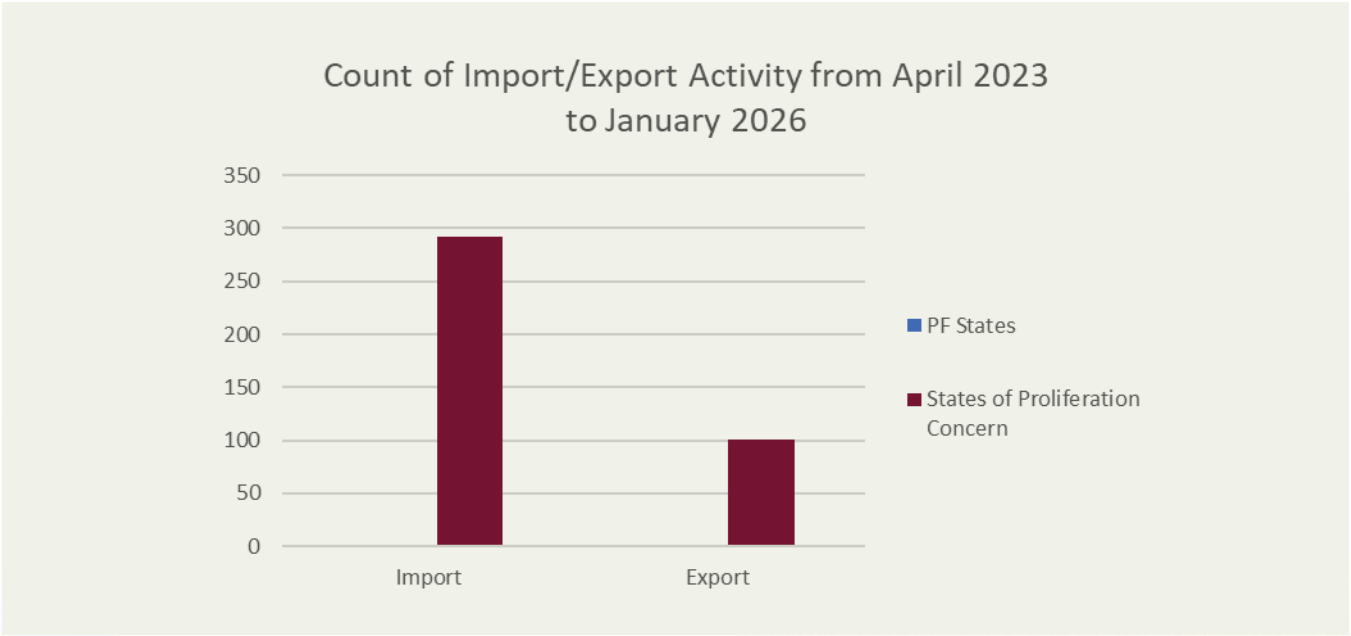
CUSTOMS AND IMMIGRATION DIVISION

As highlighted above, there have been no reports of potential breach or evasion of PF-TFS or wider proliferation sanctions evasion (e.g. related to travel ban, trade in restricted goods). Assets frozen by IOM businesses relating to other sanctions regimes (mainly the Russia regime) have been reported to FIU as per the TFS requirements. None of these relate to any UN designated persons. An analysis of the frozen assets reported to C&I shows that the designation persons who own/control those assets are mainly high net worth individuals with connections to the Island through corporate structures managed by TCSPs, holding property and other tangible assets.

C&I, which is part of the Treasury in the IOM Government, keeps detailed records of imports and exports including (non-exhaustive list): company, countries[58], description[59], and value[60]. Very rarely are there direct imports/exports with a third country, almost all trade is via the UK, with which the Island is part of a customs union, as well as other indirect taxes. The UK undertakes customs screening on behalf of the IOM and if any goods are flagged on their risk profiles, then the IOM is notified to conduct the relevant checks (such as physical inspection of goods, document checks etc).

Figure 3-4 shows the count (not value) of both imports and exports with PF States and States of Proliferation Concern over the 34-month period April 2023 to January 2026. There is no activity during this period with PF States and minimal activity with States of Proliferation Concern. ›

Figure 3-4: C&I Import/Export Activity



Source: C&I

C&I[61] have published[62] a Notice in August 2023 to help industry identify risks of proliferation and PF. This incorporates a number of red flags, typologies and case studies.

REGULATORS: FINANCIAL SERVICES AUTHORITY AND GAMBLING SUPERVISION COMMISSION

Whilst the enforcement action taken by the FSA[63] and GSC[64] do not specifically raise PF failings, any potential weakness in due diligence, monitoring, risk assessments etc. could potentially apply to PF in the same way that it does to ML.

It is recommended that the Sanctions Operational Group develop and publish sector specific PF red flag guidance, using the published material from MONEYVAL/FATF/RUSI and others. Industry can then consider how these might support their BRA/CRA and also their TRA.

3.7 Proliferators Access to the Global Financial System

Proliferation networks rely on access to the international financial system to raise, move and use funds to support the acquisition of WMD, related materials, dual-use goods and enabling technologies. FATF notes that the financial system (particularly cross-border banking channels, trade finance arrangements, corporate structuring services and virtual asset mechanisms) is routinely exploited by proliferators seeking either to directly purchase proliferation-sensitive items or to obscure the proceeds that ultimately support procurement operations. RUSI similarly highlights that modern PF activity closely resembles legitimate global commerce, leveraging the same financial products and infrastructures used by international businesses.

Proliferators typically access the financial system through layered and indirect structures designed to disguise the involvement of designated persons or entities. Common typologies identified by FATF and RUSI show a strong reliance on front or shell companies, the use of third-country intermediaries, and the manipulation of licit trade flows. These mechanisms allow proliferators to operate within the global financial system without necessarily triggering obvious sanctions-related red flags. The majority of PF-related transactions therefore appear superficially normal and may involve reputable firms, banking institutions, and logistics providers without their knowledge.

A key enabler of proliferators' access is the global nature of financial services, where payments routinely transit multiple jurisdictions, correspondent banks, or VASPs. Even where a jurisdiction has no direct nexus with a PF State, proliferation networks can still access its financial system indirectly through internationally active banks, TCSP-administered legal persons and arrangements, global investment flows, or virtual asset infrastructure. This challenge is underscored in the FATF Guidance on Proliferation Financing Risk Assessment and Mitigation[65] (June 2021), which emphasises that risk arises not only from direct relationships but also from being part of a financial chain that can be misused to camouflage the origin, destination, or purpose of funds.

Proliferators also utilise illicit revenue-generation activities such as cyber-enabled theft, as well as those that are not themselves prohibited, such as commercial trade, IT services and overseas labour arrangements. These activities are highlighted repeatedly in RUSI materials and UN Panel of Experts (PoE) reports. Funds generated are subsequently introduced into the international financial system and moved through multiple accounts or entities before being used for procurement. These indirect financing routes create additional complexity, as they may not involve any explicit sanctions breach and often fall outside traditional TFS controls.

Another significant avenue is the use of complex corporate structures[66], including multi-jurisdictional companies, nominee arrangements, and opaque ownership chains. These structures can obscure links to PF States or designated persons, particularly in jurisdictions where beneficial ownership transparency is limited or where incorporation processes are attractive to non-resident customers. RUSI identifies this as a major vulnerability across IFCs more broadly, noting that proliferators frequently exploit professional intermediaries (sometimes unwittingly) to maintain accounts, register companies, or manage funds used in procurement cycles. ›

Technological developments have broadened the accessibility of the international financial system including through the use of virtual private networks (VPNs) which masks a person's true location. Virtual assets, cross-border payment platforms, and digital onboarding tools, while beneficial for legitimate commerce, also provide proliferators with additional avenues to move value quickly and with limited transparency. FATF reports an increasing trend of cyber-enabled revenue generation and the use of VAs to facilitate PF-related transfers, often involving stolen funds or anonymising techniques.

VIRTUAL ASSETS AND VIRTUAL ASSET SERVICE PROVIDERS

VAs and VASPs form part of the wider international financial infrastructure that may be exploited by proliferators to raise, move or use funds. FATF and UN PoE reporting highlight a growing trend of cyber-enabled revenue generation and the use of virtual asset mechanisms by PF States, particularly the DPRK, to evade sanctions, obscure transaction chains, and access the global financial system. These channels can enable the rapid movement of value with varying levels of transparency, increasing the complexity of identifying PF-related activity.

The recently published IOM VA/VASP NRA[67] states that the overall PF threat is very low. It notes that:

- "The IOM's exposure to proliferators seeking to use VAs to purchase goods or technologies that can contribute to the development and manufacture of nuclear, biological and chemical weapons (or their means of delivery), is minimum, due to a very limited manufacturing base on the Island, with very limited quantities and types of goods produced that may considered dual-use.
- The VASP sector in the IOM do not have any client BOs or PEPs from countries known to pose a high risk of PF. The VASP sector' clients are predominantly individuals, therefore reducing the risks of proliferators exploiting vulnerabilities in complex or front companies."

However, global typologies remain relevant to the Island's threat picture. International case studies document instances where state-linked cybercrime groups have used VAs to launder the proceeds of ransomware, fraud or cryptocurrency theft, with funds ultimately supporting weapons programmes. These activities occur outside the IOM but may intersect indirectly with IFCs through cross-border flows or offshore structures.

Accordingly, while the direct PF threat from the IOM's VA/VASP sector is very low, virtual assets remain an important indirect threat channel within the global PF ecosystem. Ongoing monitoring of VA-related developments, typologies and international intelligence-sharing remains essential to understanding how proliferators may evolve their methods and seek to exploit digital financial infrastructure used by international customers.

3.8 Global Threat Picture

UN SECURITY COUNCIL, SANCTIONS COMMITTEE PANEL OF EXPERTS (POE)

The published report[68] provided to the UN Security Council Committee established pursuant to resolution 1718 (2006) dated March 2024 was considered. The report identifies a number of threat areas, including the following which may have greater relevance to the IOM:

- DPRK hackers and the Lazarus Group[69] targeting firms
- DPRK actors targeting government agencies, companies and individuals in China and Russia
- Creating malicious mobile applications disguised as legitimate applications
- Sending workers overseas to earn and repatriate income, "more than 100,000 DPRK workers are still working overseas generating revenue for the DPRK, located in approximately 40 countries and working in a variety of areas, including sewing, construction, medicine, information technology and food service". In particular, IT workers.
- Accessing the international financial system, including the reinsurance market

Illicit generation of revenue through cyberactivity, "DPRK cyberthreat actors continued targeting the virtual asset industry to evade UN sanctions and generate revenue. According to one Member State, the malicious cyber activities of the DPRK ›

generate approximately 50 per cent of its foreign currency income and are used to fund its weapons programmes".

Targeting cryptocurrency and finance industry, "The Lazarus Group and BlueNoroff are deploying phishing campaigns on multiple platforms targeting workers in the cryptocurrency industry, including blockchain engineers and other developers, to gain access to company networks for follow-on attacks."

Figure 3-5: North Korea's Use of Organised Crime Networks for Obfuscation

North Korea has strong ties with alleged members of the 14k triad, a factionalised group of criminals. Some of the 14k are known to use the casino and gaming sector to launder and move illicit revenue. This threat should be considered in any risk assessment, as the link has the potential to open doors to new laundering avenues for North Korea.

In 2023, the Financial Times, in partnership with RUSI, reported evidence that Alvin Chau, former CEO of Macau junket operator Suncity Group, is an alleged protégé of Broken Tooth, a gangster tied to 14k. According to the report, there is a possible connection between Chau and modern-day oil-smuggling operations to North Korea. Furthermore, a 2021 New South Wales inquiry suggested that he received funds from the Bangladesh Central Bank hack. Notably, approximately $15 million was transferred to the Suncity junket linked to Chau, but explicit evidence connecting the activity to North Korea cannot be verified.

It is critical to understand the potential links between North Korea and organised crime groups (OCGs) to assess the avenues that may be exploited for sanctions evasion.

Source: RUSI Emerging Insights Paper – North Korean Activity in the Casino and Gaming Sector: How Do Jurisdictions Respond?[70]

CYBER-ENABLED FRAUD

In the FATF paper Cyber-Enabled Fraud: Digitalisation and ML, TF and PF Risks (February 2026)[71] it states that:

"These cross-border dynamics compound due to challenges in information sharing and international co-operation, as competent authorities and private sector stakeholders must operate within legal, procedural and jurisdictional constraints while criminals act in real time. For example, criminals increasingly request payment directly in virtual assets or rapidly convert fiat proceeds into virtual assets to evade recovery, while tracing takes time and resources.

In many cases, large-scale cyber-enabled fraud schemes are conducted or facilitated by transnational organised crime groups and operated through dedicated "scam centres" (or compounds). These hubs are often embedded within broader criminal ecosystems, converging with other illicit activities such as professional money-laundering services, human trafficking and related human-rights abuses, drug trafficking, and other serious offences.

Countries observe that a growing number of cyber-enabled fraud schemes integrate money laundering mechanisms from the outset, relying on nominee accounts, money mule networks, the trade in bank and exchange accounts, and rapid fund movements through fintech platforms, thereby blurring the lines between fraud, illegal financial services, and money laundering" ›

DPRK IT WORKERS

The United States (US) PF NRA (2024)[72] details the allegations in court documents that the: "DPRK dispatched thousands of skilled IT workers to live abroad, primarily in China and Russia. Once established, they acted to deceive U.S. and other businesses worldwide into hiring them as freelance IT workers. These workers used pseudonymous email, social media, payment platform and online job site accounts, as well as false websites, proxy computers located in the United States and elsewhere, and witting and unwitting third parties to generate millions of dollars a year on behalf of designated entities directly involved in the DPRK's UN-prohibited WMD programs."

The IOM GSC published a PF typology paper[73] (March 2026) on DPRK IT Workers. It brought together key insights from various reports to highlight the emerging typologies and risks related to this topic. The paper highlights the findings from RUSI, Chainalysis[74] and the UK Office of Financial Sanctions Implementation[75].

Figure 3-6: DPRK IT Workers and Cyber Fraud

The Democratic People's Republic of Korea (DPRK or North Korea) is systematically engaged in violations of United Nations Security Council resolutions (UNSCRs) and related evasion activities through its Information Technology (IT) worker deployments and cyber operations, particularly as related to cryptocurrency theft and cryptocurrency laundering activities. The DPRK's cyber force is a full-spectrum, national program operating at a sophistication approaching the cyber programs of China and Russia. The DPRK employs its cyber capabilities to circumvent UN sanctions and generate revenue for the DPRK's priorities, including the unlawful development of its WMD and ballistic missile programs.

In 2024, according to MSMT Participating States, DPRK cyber actors stole at least $1.19 billion in cryptocurrency from companies all over the world. From January to September 2025, DPRK cyber actors had stolen at least $1.65 billion, owing predominately to the theft of $1.4 billion from the cryptocurrency exchange Bybit in February. DPRK cyber actors use a diverse array of cryptocurrency services registered in UN Member State jurisdictions around the world to launder stolen cryptocurrency before ultimately attempting to convert it into fiat currency. The DPRK relies upon networks of North Korean nationals abroad and foreign-based facilitators, including in China, Russia, Argentina, Cambodia, Vietnam, and the United Arab Emirates, to launder stolen digital assets into fiat currency for procurement activities and for funding its unlawful WMD and ballistic missile programs.

Source: The Multilateral Sanctions Monitoring Team Paper - The DPRK's Violation and Evasion of UN Sanctions through Cyber and Information Technology Worker Activities[76]

DPRK OVERSEAS LABOUR IN FISHING/ MARITIME SECTOR

As noted above, the DPRK has a well-documented history of generating foreign currency through the coercive deployment of overseas labour, including in the maritime and fishing sectors. UN PoE reporting[77] confirms that wages earned by DPRK nationals working aboard foreign vessels are systematically repatriated to the state, often via state-controlled trading companies and informal transfer mechanisms, in contravention of UNSC resolutions. This activity constitutes a recognised proliferation-financing threat.

The IOM has payroll agents registered under the Designated Business (Registration and Oversight) Act 2015 (DBROA15), which provide general payroll services, with a small cohort specialising in vessel crewing. A small number of TCSPs specialise ›

in services to the ship and yacht sector. These firms should ensure they have mitigants for this typology.

THREATS LINKED TO PROCEEDS OBTAINED FROM CONFLICTS

The PF-related threats highlighted in the MONEYVAL report[78] emphasise the capability and intent of sanctioned jurisdictions, most prominently the DPRK and Iran, to potentially exploit IFCs to obtain finance, goods and technology for weapons programmes. These PF States use sophisticated procurement agents, shell networks, and opaque corporate structures often registered in third countries. This creates an indirect threat to jurisdictions like the IOM whose corporate services sector operates globally and is therefore exposed to foreign-incorporated entities, cross-border ownership structures and complex supply chains.

Another significant threat arises from state-sponsored procurement networks operating from jurisdictions not themselves sanctioned. These networks exploit weaknesses in end-use verification, inconsistencies in beneficial ownership information across borders, and permissive environments for company formation. For the IOM, this threat translates into potential misuse of IOM-registered entities as intermediate holding companies, trading vehicles or payment conduits.

The report also identifies cyber-enabled threats, including revenue generation by state-linked cybercrime groups via ransomware and fraud, with proceeds laundered through VAs to support weapons programmes. This is relevant to the IOM's exposure to international financial flows and the increasing use of digital payment methods. To support industry, the IOM Government published Ransomware and Sanctions Guidance[79] (2024), which was co-authored by SOG and the IOM Cyber Security Centre.

A further threat stems from misuse of financial institutions, TCSPs and logistics companies enabling trans-shipment of sensitive components through third countries. While the IOM does not generally handle goods, the threat materialises through corporate structures linked to global logistics or manufacturing chains.

Finally, the exploitation of Non-Profit Organisations (NPOs) or humanitarian structures to obscure transfers into sanctioned jurisdictions poses a residual but important threat for any jurisdiction with cross-border charitable activity.

UNITED KINGDOM (UK) PF NRA

The IOM and many of its sectors have close links with UK, as explained in other recently published IOM NRAs. Therefore, reference is made to the threats that the UK has documented in the PF NRA published in September 2021[80]. Examples include:

A UK specialist underwriter providing a re-insurance policy for a vessel which had links with North Korea

Complex network of companies designed to mask the end recipient of proliferation related items

3.9 RUSI Methodology - Threats

RUSI methodology including the RUSI Proliferation Financing Rapid Risk Assessment Tool provide a list of specific threats for consideration, drawn from typologies and UN PoE reports on Iran and DPRK. Whilst not exhaustive, this list provides a robust framework for an analysis of the threats to which the IOM would most likely find itself exposed given its particular circumstances. A list of the threats is provided in Appendix 3[81]. As a small state jurisdiction that is also an IFC, there are particular PF threats that need to be considered, including:

- Direct or indirect trade links with target jurisdictions
- Small financial sectors may give the perception to PF networks of offering lower visibility or easier integration of transactions within routine financial activity
- Small states and territories with pronounced sectors with a higher exposure to PF risks (such as TCSPs or VASPs) may be targeted by proliferating networks
- The multi-jurisdictional and multi-sector nature of PF-related activities, which means that even where threat levels are low, smaller jurisdictions should remain alert to the potential misuse of shell companies and TCSPs by individuals acting on behalf of designated entities ›

Cross-border movement and shared travel frameworks, such as customs unions and regional free movement areas

The IOM has no diplomatic or trade connections with DPRK or Iran. No data was available within the scope of this NRA to quantify social or community linkages that could be relevant to PF-TFS risk. No evidence was identified during the review period indicating organised social linkages to designated proliferation actors.

Threat represents the capability and intent of proliferators to exploit the financial system, whereas likelihood reflects the intersection of threat and the Island's vulnerabilities. The threats were considered by a number of IOM subject matter experts and scored using the tool. The results are in **Figure 3-7**. Overall, the threats were scored as **Medium Low**. This score reflects the capability and intent of key PF actors, balanced against the limited domestic exposure and absence of direct trade or diplomatic links with PF States.

The combined evidence indicates that while the IOM has minimal direct nexus with PF States and no domestic PF cases, it remains exposed to global PF activity through its financial system, corporate services sector and international client base. Key PF actors such as the DPRK increasingly rely on cyber-enabled revenue generation, front-company networks and third-country intermediaries, all of which could involve IFCs indirectly. These threat patterns are consistent with those observed internationally.

Figure 3-7: Analysis of PF Risk to the IOM Using the RUSI PF Rapid Risk Assessment Tool

Category	Threats	Vulnerabilities	Likelihood	Consequences	Risk
Financial Products and Services Directly Related to Trade in Proliferation-Sensitive Goods	Medium Low	Medium Low	Medium Low	Medium Low	Medium Low
Licit and Illicit Revenue-Raising Activities	Medium Low	Medium Low	Medium Low	Medium Low	Medium Low
Financial and Corporate Infrastructure in Support of the Movement of Finances and Goods	Medium	Medium Low	Medium Low	Medium	Medium
Overall rating	**Medium Low**	**Medium Low**	**Medium Low**	**Medium**	**Medium Low**

Source: RUSI Proliferation Financing Rapid Risk Assessment Tool

3.10 Summary

The IOM faces limited but non-negligible exposure to PF threat. There is no evidence of domestic PF activity, no diplomatic or trade relationships with UN-designated PF States, and extremely limited domestic production or trade in strategic or dual-use goods. As a result, direct PF threat to the Island is assessed as Low.

However, the Island's position as a small, globally connected IFC means that indirect PF threat channels remain relevant. These threats do not arise from domestic procurement activity, but from the potential misuse of the Island's financial, corporate and professional services as part of multi-jurisdictional proliferation networks operating overseas. This exposure profile is consistent with that observed in comparable small IFCs and Crown Dependencies. ›

In line with FATF and RUSI analysis, PF risk to the IOM is therefore best understood as indirect rather than localised or domestic. Proliferators and their facilitators typically seek to exploit blind spots in the international financial system, routing activity through jurisdictions that are neither the origin nor the destination of proliferation activity. For the IOM, the most credible threat channels arise where its internationally oriented services intersect with global PF typologies.

The most relevant indirect PF threat channels for the IOM are:

- Cross-border financial flows, including payments that transit multiple jurisdictions and correspondent banking chains, which may obscure the origin, destination or purpose of funds connected to proliferation activity;
- Multijurisdictional legal persons and arrangements, including layered corporate structures, trusts and other fiduciary vehicles, which can be used to conceal beneficial ownership, control or links to designated persons or entities;
- The storage or holding of funds and assets, particularly within legal entities or arrangements administered by TCSPs, where assets may remain dormant between stages of a wider procurement or proliferation process;
- Cyber-enabled revenue generation linked to PF actors, including the use of virtual assets and digital platforms to generate, move or disguise funds that ultimately support weapons programmes.

These channels reflect well-documented global PF typologies and do not imply elevated domestic risk. Rather, they identify where vigilance is most necessary given the Island's economic profile and international connectivity.

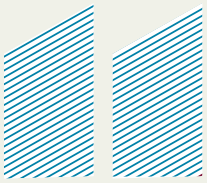
Consistent with experience across a number of other small states and territories, the IOM does not operate free-trade zones[82] (or special economic zone), is not a trans-shipment hub, and has limited visibility of physical trade, most of which transits via the UK. These factors mitigate certain PF risks, but do not eliminate the possibility that the Island could be used indirectly as part of complex, multi-country schemes involving third-country intermediaries, front companies or professional enablers operating across borders.

The absence of PF-related prosecutions, mutual legal assistance requests or significant volumes of PF-related SARs provides reassurance, but should not be interpreted as evidence of negligible threat. PF is inherently covert and is more often detected through intelligence, international cooperation and typology-led investigations than through routine reporting. Low detection levels are therefore consistent with the Island's risk profile and with global PF experience.

- Overall, the Isle of Man's PF threat rating of **Medium Low** reflects:
- High global capability and intent on the part of designated proliferators and their facilitators;
- Very limited direct exposure pathways within the Island; and
- Residual indirect exposure arising from the Island's role in global finance and corporate services.

PF is not among the highest financial crime threats faced by the IOM, but it remains strategically important due to the potentially severe consequences of even inadvertent involvement. For industry and competent authorities, this means PF should be addressed proportionately, embedded within sanctions compliance, customer, technology and business risk assessments, oversight of complex structures, and awareness of cyber-enabled and virtual-asset-related typologies, rather than treated as a standalone or siloed risk.

Continued vigilance, targeted awareness-raising and effective implementation of sanctions due diligence including TFS remain essential to ensure that the IOM does not inadvertently provide access, services or structures that could be misused to facilitate, enable or conceal proliferation-related financial activity. ■



For the IOM, the most credible threat channels arise where its internationally oriented services intersect with global PF typologies."



CHAPTER 4

Proliferation Financing Vulnerabilities and Mitigants

4.1 Definition of Vulnerability

FATF Guidance on Proliferation Financing Risk Assessment and Mitigation[83] (June 2021) defines vulnerability. See **Figure 4-1**.

Figure 4-1: FATF Definition of Vulnerability Specific to a PF Risk Assessment

Vulnerability refers to matters that can be exploited by the threat or that may support or facilitate the breach, non-implementation or evasion of PF-TFS. For a country, these vulnerabilities may include weaknesses in the laws or regulations that comprise a country's national counter proliferation financing regime, or contextual features of a country that may provide opportunities for designated persons and entities to raise or move funds or other assets.

For example, a jurisdiction with weak AML/CFT controls or that does not collect information about the beneficial owners (BO) of entities incorporated under its laws, or a jurisdiction with a high level of crime, smuggling, fraud or other illicit activities. For private sector firms, vulnerabilities may include features of a particular sector, a financial product or type of service that make them attractive for a person or entity engaged in the breach, non-implementation or evasion of PF-TFS

Source: FATF

As shown in **Figure 3-7**, the overall vulnerability is assessed as **Medium Low**. The RUSI methodology considers for the three categories: i) Financial products and services directly related to trade in proliferation-sensitive goods; ii) Licit and illicit revenue-raising activities; iii) Financial and corporate infrastructure in support of the movement of finances and goods:

National Vulnerabilities under the five categories:
i. Political and social
ii. Economic and technological
iii. Geographic and environmental
iv. Legal and institutional
v. Legal persons and legal arrangements

Sectoral vulnerabilities under the three categories:
Financial institutions
Designated non-financial businesses and professions
Other high risk sectors

4.2 National and Sectoral Vulnerabilities Under the RUSI Categories

NATIONAL VULNERABILITIES

In line with the RUSI methodology, national-level residual vulnerabilities were assessed by subject matter experts across five categories. Collectively, these contextual factors shape how the IOM could be exposed to PF risks, notwithstanding the Island's comparatively low threat profile and strong legislative and supervisory frameworks.

i. Political and Social Vulnerabilities - Low

The IOM benefits from stable governance, low corruption, and strong rule-of-law traditions, all of which reduce systemic PF vulnerability[84]. However, as an IFC with extensive cross-border economic connections, the Island's financial system interacts with a wide range of jurisdictions, including those that may present elevated proliferation risks. Public-sector expertise in PF, while improving, is less mature than in ML due to the global scarcity of PF-specific typologies and casework. ›

ii. Economic and Technological Vulnerabilities - Medium Low

The Island hosts a diversified range of financial and professional services sectors whose global client base inherently increases exposure to cross-border financial flows[85]. Increasing use of digital onboarding, VAs, and fintech solutions introduces potential vulnerabilities if screening systems, due-diligence processes, or TRA are not robustly configured for PF-related red flags. Some sectors (particularly those not traditionally exposed to sanctions-related risks) may have limited familiarity with PF-specific indicators and procurement-related typologies.

iii. Geographic and Environmental Vulnerabilities - Medium Low

As a small Island jurisdiction, the IOM is supported by the UK for import/export control processes (see Chapter 3.6), limiting direct visibility over some supply chains, end-use information, and third-country routing. Almost all physical trade flows transit through the UK, which reduces direct exposure but, consistent with the experience of other small states in shared travel zones, also means the Island's awareness of dual-use goods risks is dependent on partner (in this case UK) screening, information-sharing, and alerting mechanisms. The Island has no port infrastructure associated with major international shipping or trans-shipment, nor does it have any free-trade zones, which reduces vulnerability in this area. C&I has information sharing gateways with relevant UK Government Departments and there are financial intelligence sharing gateways between the FIU and UK FIU.

iv. Legal and Institutional Vulnerabilities - Low

The IOM has a comprehensive CPF framework aligned with UN and UK sanctions, but PF-specific supervisory and analytical expertise remains developing relative to ML/TF due to limited case experience. Some obliged entities, particularly smaller DNFBPs, may have resource or skills constraints that limit their ability to interpret PF-specific guidance, emerging geopolitical risks, or complex sanctions scenarios.

v. Legal Persons and Legal Arrangements (LPAs) - Medium Low

The Island's corporate services sector is internationally active and capable of creating complex, multi-jurisdictional structures. While the beneficial ownership regime provides strong mitigants, complex ownership chains can still pose inherent vulnerabilities common across IFCs. IOM LPAs could potentially be used as intermediate holding companies or payment conduits by foreign entities; although no PF cases have been identified, the structure of the sector means the risk exists in principle. TCSPs mitigate these vulnerabilities through CDD, culture of compliance, ongoing monitoring, and access to BO/ Registrable Beneficial Ownership (RBO) information, but vulnerabilities may arise where overseas counterparties, introducers, or multi-jurisdictional ownership structures obscure links to proliferators or designated entities.

Overall, the highest residual vulnerabilities were assessed in the legal persons and legal arrangements category, reflecting international financial connectivity and complex ownership structures typical of an IFC. Political/social and legal/institutional vulnerabilities were assessed as low due to strong governance, low corruption and comprehensive CPF framework.

SECTORAL VULNERABILITIES

Chapter 6 provides further detail on the sectoral vulnerabilities. The sector-specific vulnerabilities reflect how the characteristics of particular products, services, customer bases and delivery channels may be exploited to facilitate PF, including evasion of PF-related TFS.

i. Financial Institutions (FIs) - Medium Low

FIs[86] account for the majority of cross-border financial flows into and out of the IOM and therefore represent the sectors with the most inherent exposure to PF-related risks. Vulnerabilities arise where FIs provide services that proliferators and sanctions evaders commonly exploit. Screening systems may struggle with complex ownership structures, networked entities, or name-variant risks, reducing the ability to detect links to designated persons. Despite these vulnerabilities, strong AML/CFT/CPF supervision and established sanctions-screening tools provide significant mitigants.

ii. Designated Non-Financial Businesses and Professions (DNFBPs) - Medium

PF vulnerabilities differ across the DNFBP[87] sectors. Professional enablers and gatekeepers may inadvertently be used to structure transactions or provide business services that obscure beneficial ownership. For this analysis using the RUSI tool, TCSPs were included with DNFBPs[88].

iii. Other Sectors **- Medium Low**

This category includes sectors that do not fall within financial ›

regulation of the FSA but have characteristics that may expose them to PF-related risks:

- Online gambling operators[89]: face a residual vulnerability from cyber-enabled activity, including the typologies already identified by the FIU (see **Chapter 3.5**). As noted in **Chapter 3.8**, the GSC has also published a typology document relating to DPRK IT workers, which highlights risks associated with the infiltration of technology-driven businesses through remote employment arrangements. These risks may extend beyond the gambling sector to other technology-intensive sectors that utilise outsourced or remote IT services. The GSC regulates the gambling sector.

- Manufacturing and goods-related activity: although limited in scale, it can present vulnerabilities where firms handle specialised or niche components that may be dual-use or could be misdescribed in procurement chains operated by third-country intermediaries

- Logistics and freight-forwarding touchpoints: even if small, may face exposure where proliferators exploit indirect routing, falsified end-use information or mis-declared consignments

- NPOs[90]: following the publication of the NPO TF NRA, it can be seen that the sector presents a low PF vulnerability but could be exposed indirectly where global typologies show misuse of humanitarian channels in some jurisdictions.

Across all three categories, residual vulnerabilities are shaped by the Island's international connectivity and the limited global availability of PF-specific case data, reinforcing the need for continued outreach, training and refinement of PF-specific detection indicators. These vulnerabilities align with the typologies identified in **Chapter 3.5**, particularly use of third-country intermediaries and complex, multi-jurisdictional corporate structures.

4.3 Training and Awareness

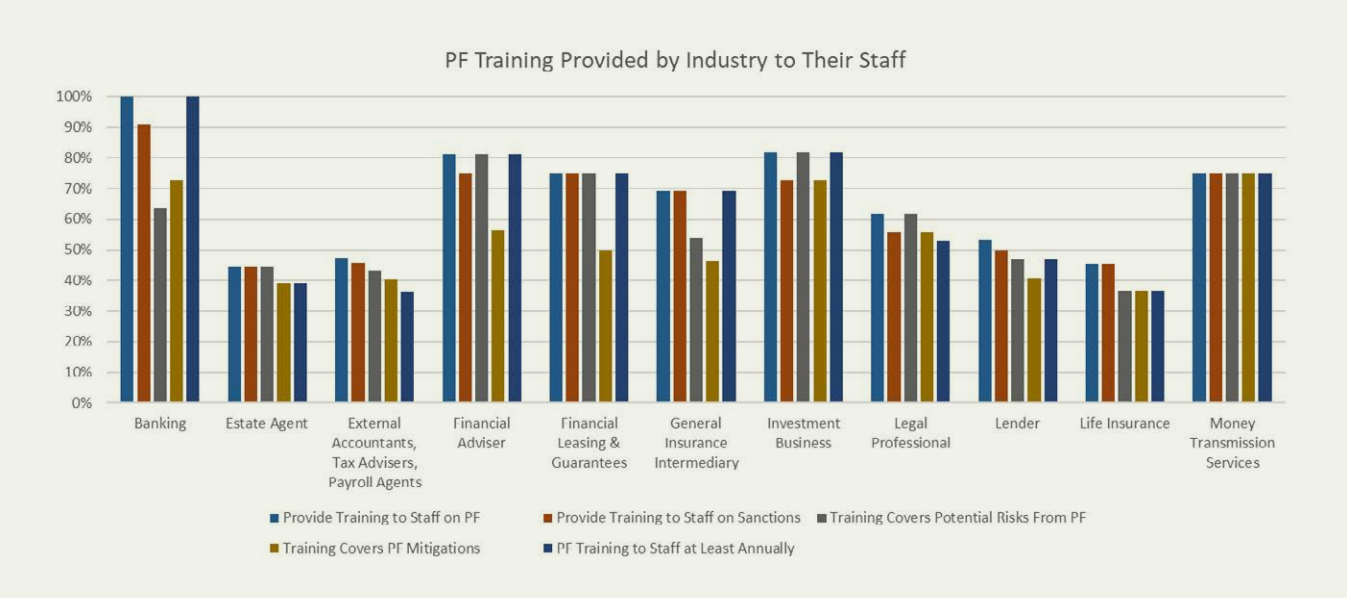
The FSA and GSC receive data via Strix[91] as part of the annual AML/CFT return. The data request from all regulated entities informs if their staff received PF Training in 2024. **88.4%** of FSA regulated business confirmed that training on PF had been provided and the figure for GSC licence holders was **51.2%**[92]. From those GSC licence holders who did not conduct PF training, **23%** stated that they will begin to incorporate PF training and guidance in the near future and a further **9%** stated that they include PF as part of other training but do not focus on it specifically.

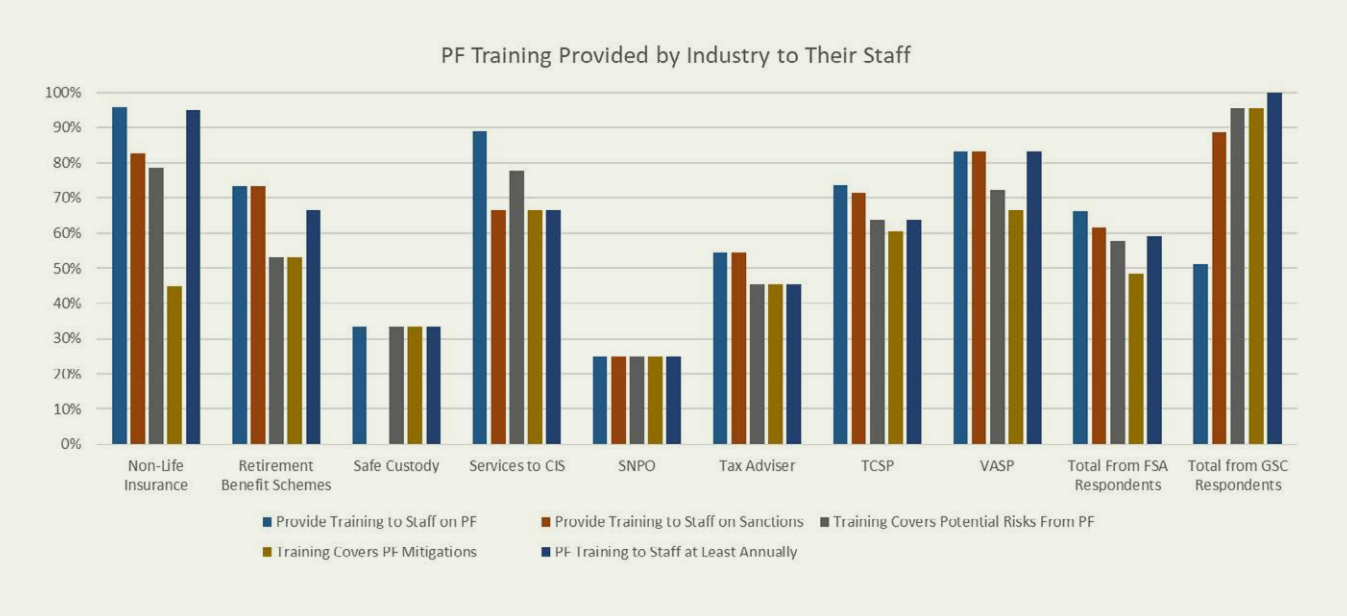
The FSA and GSC gathered data and information from registered and regulated businesses by way of a PF questionnaire sent out via STRIX in January 2024. The objective of the PF questionnaire was to determine the relevant persons' understanding of PF and the training provided to the relevant persons' staff. A summary was published[93] and high-level results by sector are in **Figures 4-2** and **4-3**. All sectors had scope for improvement in the PF training provided to their staff and overall awareness. The PF questionnaire will be reissued to industry[94]. This will allow the FSA and GSC to track progress by sector and see what additional support industry might require[95]. Once the survey is completed, it can inform the FSA and GSC what additional PF-specific measures they can introduce (if any) into the supervisory inspections and data requests.

It is recognised that PF understanding is less embedded across parts of industry than is the case for ML. PF is potentially more nuanced and varies as geopolitical issues change. Therefore, it is recommended that there is further awareness training, with consideration of: DPRK illegal income generation; procurement networks and dual-use goods; sanctions evasion patterns.

The lower level of PF understanding compared to ML means that existing policies and procedures may not fully capture PF-specific risks. Boards and senior management should treat PF as a distinct but related risk category, ensuring that it is reflected in training plans, product governance, sanctions policies and internal audit scopes. Over time, this will help close the gap between ML and PF understanding. ›

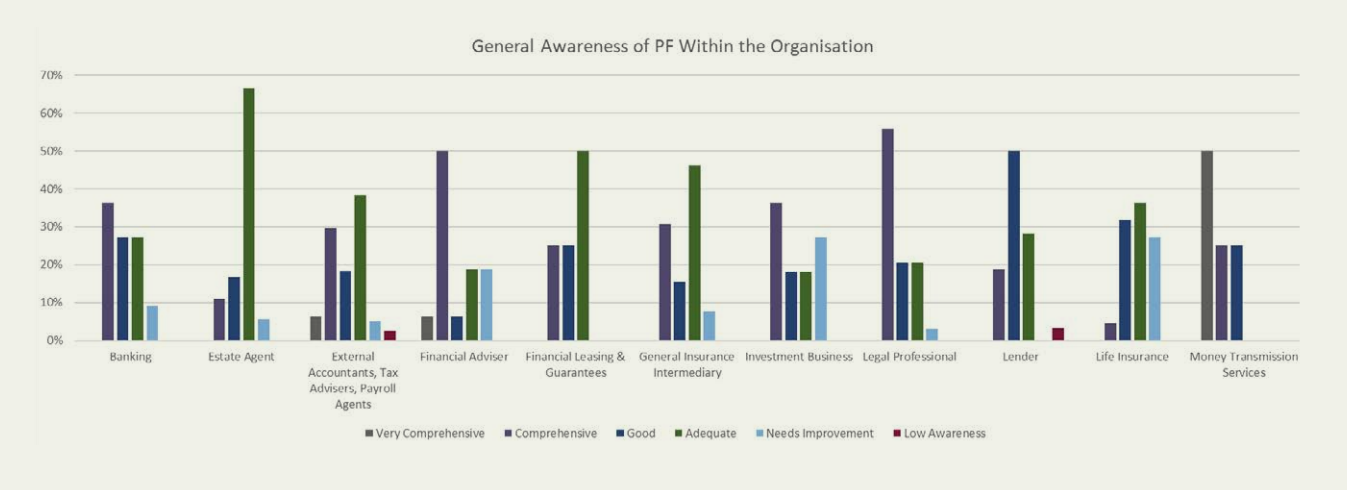
Figure 4-2: Questionnaire Answers on PF Training Provided from FSA and GSC Respondents





Source: Responses to Industry Questionnaire

Figure 4-3: Questionnaire Answers on General PF Awareness from FSA and GSC Respondents





Source: Responses to Industry Questionnaire

4.4 Visa Applications

The RUSI methodology considers the possible vulnerability when nationals or dual citizens of proliferation states, or family members of such persons (regardless of citizenship), are used as intermediaries in countries not of proliferation concern to facilitate procurement of goods and/or for payment of funds (likely to involve the use of personal banking products).

Figure 4-4 shows the approved Visa applications from nationals of PF States and States of Proliferation Concern. Whilst knowledge of who is working in the IOM is important, nationality is not a proxy for PF risk and all nationals have been approved to work in/visit the IOM. The Visa data does not indicate elevated PF exposure; it forms part of a broader contextual assessment of whether individuals from PF States or States of Proliferation Concern could act as unwitting intermediaries. ›

Figure 4-4: Visa[96] Applications Approved



Source: Passport, Immigration & Nationality, C&I

4.5 Country of Residence and Nationality of Beneficial Owners of Companies Registered with the IOM Companies Registry

Figure 4-5a provides an overview of the countries of residence (of PF States or States of Proliferation Concern) of BOs of companies registered with the IOM Companies Registry. This distribution is a factor when assessing PF vulnerabilities, as it illustrates the global reach of IOM corporate vehicles and the extent to which international ownership structures intersect with the Island's financial and corporate services sector. As expected for an IFC, and expanded upon in the LPA NRA[97], a substantial proportion of BOs reside outside the IOM, reflecting the Island's long-standing position as a centre for cross-border corporate activity and investment. Figure 4-5b shows the nationality of BOs.

The presence of a diverse international BO base does not, in itself, indicate PF exposure; however, it reinforces the need for robust controls around BO transparency, customer risk assessment and ongoing monitoring. Jurisdictions of residence are not a proxy for PF risk, and the NRA recognises that proliferators rarely appear directly in formal registers. Instead, they typically operate through intermediaries, close associates or multi-layered structures designed to obscure their involvement.

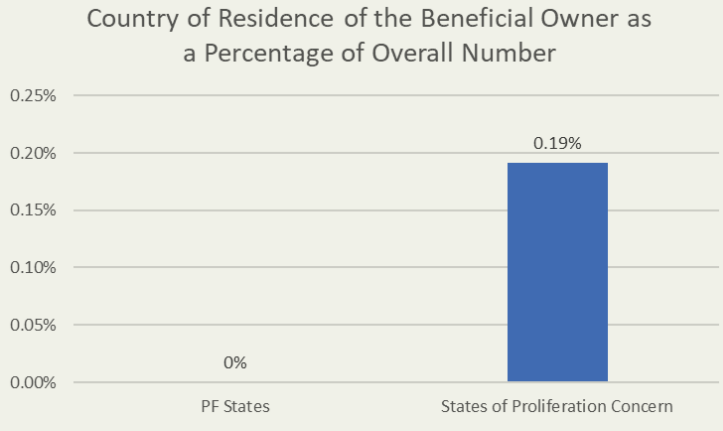
This aligns with FATF and RUSI findings that PF networks may exploit complex cross-border ownership chains, particularly in IFCs offering company and trust services.

The Companies Registry's BO framework, combined with the Registrable Beneficial Ownership (RBO) regime, continues to be a critical mitigant by providing timely access to ownership information. Nonetheless, the international spread of BOs underscores the importance of ensuring that the regulated sectors maintain effective due diligence processes, including enhanced due diligence where appropriate, to detect potential misuse of IOM structures for PF-related purposes. Ongoing collaboration between the Companies Registry, regulators and industry remains essential to sustain high standards of transparency and to mitigate vulnerabilities arising from globally connected ownership profiles.

Residual vulnerabilities arise where BOs reside overseas and verification relies on foreign documentation or intermediaries. These factors can introduce opacity consistent with PF typologies involving complex, multi-jurisdictional ownership structures. ›

Figure 4-5a

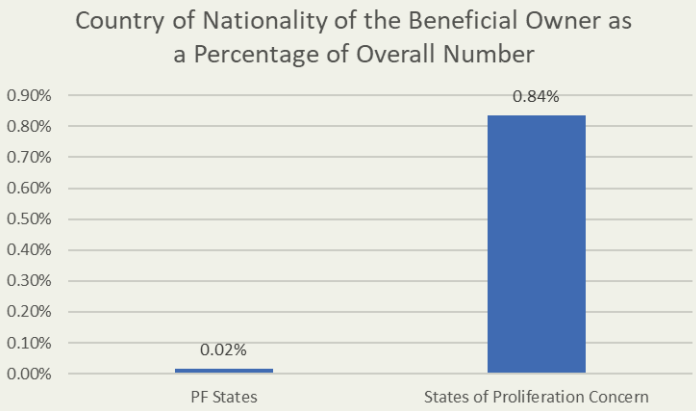
Country of Residence of Beneficial Owners of Companies Registered with the IOM Companies Registry as at 31/12/2024



Source: Companies Registry

Figure 4-5b

Country of Nationality of Beneficial Owners of Companies Registered with the IOM Companies Registry as at 31/12/2024



Source: Companies Registry

Figure 4-6: Typology - Obscuring Beneficial Ownership Information to Evade Sanctions and Access the Financial System

Complex PF and sanctions evasion often involve the falsification of BO information, obfuscating end-user/end-use and ultimate destination, which is challenging to detect for both the public and private sector. Also, a lot of these obfuscation techniques are being applied to the digital realm, which can pose an additional challenge to detection. Because TFS applies to designated individuals and entities, and the funds that are controlled or owned by these designated persons, identifying beneficial owners can help to mitigate risks associated with sanctions evasion.

Source: FATF Report Complex Proliferation Financing and Sanctions Evasion Schemes[98]

4.6 Mitigating Controls

The IOM has a comprehensive and continually improving CPF framework designed to prevent the Island's financial system, corporate structures and trading environment from being misused for PF. The foundation of this framework is a strong legislative base, see Chapter 2, which give domestic effect to UN and UK sanctions, including TFS relating to the DPRK, Iran and wider WMD-related regimes.

These measures are supported by aligned UK export and trade control regulations, including the Export Control Order 2008 and the Dual-Use Regulation, ensuring that sensitive goods, technology and services are subject to appropriate licensing and oversight.

Regulated entities supervised by the FSA and GSC are required to comply with the AML/CFT Codes, which explicitly incorporate sanctions, including TFS obligations. This includes mandatory sanctions screening, customer due diligence, ongoing monitoring, and reporting of any breaches via the FIU's Themis reporting ›

platform. Supervisory enforcement powers and financial penalties provide strong incentives for compliance.

Additional controls include C&I's screening of trade flows, intelligence-sharing among competent authorities, PF-focused webinars and outreach delivered in 2025[99], and established mechanisms for inter-agency cooperation under the Island's Financial Crime Strategy 2024–2026. The recent ML NRA similarly highlights strong governance, coordination, and supervisory frameworks that also mitigate PF risk, particularly through strengthened beneficial ownership transparency and risk-based supervision.

4.7 Targeted Financial Sanctions Implementation Vulnerabilities

RUSI guidance highlights that control effectiveness has two dimensions: whether the control is well designed to mitigate inherent risk, and whether it is operating effectively in practice. Where PF-TFS controls are only partially effective in either dimension (for example, screening tools that are not tuned for PF typologies, or procedures that are not consistently applied), residual vulnerability can increase even where a jurisdiction's legal framework is strong.

Effective implementation of PF-related TFS is central to mitigating the risks arising from both direct and indirect PF. FATF Recommendations 1 and 7 emphasise that vulnerabilities in sanctions implementation (whether arising from internal controls, technology, or institutional constraints) can create opportunities for proliferators to breach, evade, or exploit weaknesses in a jurisdiction's defences.

TOCFRA implements UN TFS directly by ensuring that when a person or entity is designated under UN sanctions relating to proliferation (UNSCRs 1718/1737), this has automatic and immediate effect in the Island without any intervening act.

Consequently, the designation framework is viewed as being strong on the Island as implementing changes to the UN Sanctions lists takes effect immediately, combined with good communication channels with industry.

The FSA and GSC monitor and ensure compliance with the requirements (as described in Recommendation 7) and has the powers to penalise and sanction where an area of non-compliance is identified. The FSA has direct legal power to test the compliance with sanctions of all the DNFBPs registered under the DBROA15. The GSC is responsible for monitoring compliance of casinos and online gambling operators. Failure to comply with these requirements is punishable by sanctions. The Gambling (Anti-Money Laundering and Countering the Financing of Terrorism) Act 2018 provides the GSC with detailed supervisory powers in respect of casinos, bookmakers and online gambling operators, including a broad suite of administrative powers for dealing with issues of non-compliance.

SCREENING SYSTEMS AND TECHNOLOGY CONSTRAINTS

Across FIs, TCSPs and DNFBPs, screening is predominantly undertaken through commercial sanctions screening tools or integrated modules within wider compliance systems. While these systems support alignment with UN and UK designations, vulnerabilities may arise where:

- Screening tools rely on out-of-date lists, delayed updates, or inconsistent integration of new UNSC resolutions and/or UK sanctions
- Certain firms, particularly smaller DNFBPs, may depend on manual screening, which is more susceptible to human error, inconsistent matching thresholds and gaps in record-keeping
- Screening engines may not effectively capture variant name spellings, aliases, shell companies or networks commonly used in PF evasion typologies, as highlighted in FATF[100] examples and UN PoE[101] case studies
- Some obliged entities within the regulated sector may face challenges screening related parties, including introducers, suppliers, shippers, brokers and other intermediaries associated with cross-border activities, which is a recognised PF-related TFS exposure ›

COMPLEXITY OF OWNERSHIP STRUCTURES AND INDIRECT EXPOSURE

The IOM's role as an internationally connected IFC increases the likelihood that obliged entities will encounter layered, multi-jurisdictional ownership and control structures, including administered companies, trusts and other legal arrangements. While the Island's beneficial ownership framework provides a strong mitigant, complexity itself remains a vulnerability because PF-TFS evasion typology commonly relies on indirect access: designated actors rarely appear as named customers and instead use intermediaries, front companies, nominee arrangements, and overseas corporate layers to obscure ownership, control and beneficial interest.

In practice, risk could arise where firms (i) are not able to evidence a reliable "look-through" to natural persons who ultimately own or control the customer from the due diligence that they hold; (ii) rely on incomplete information from introducers or overseas counterparties; (iii) screen only the immediate customer and not related parties - controllers, directors, authorised signatories, trustees/protectors/beneficiaries (where relevant), or key counterparties; or (iv) treat sanctions screening as a name-matching exercise rather than a network assessment through OSINT due diligence. Screening tools may also struggle to resolve spelling variants, aliases, transliterations, and entity networks, particularly where ownership changes frequently or involves multiple jurisdictions.

Accordingly, firms should consider treating complex structures as a risk indicator and apply proportionate enhanced measures where appropriate: ownership/control mapping, verification using independent sources, systematic screening of relevant connected parties, and escalation where information is missing, inconsistent or cannot be substantiated. This approach supports timely PF-TFS implementation "without delay" while recognising that sophisticated evasion can defeat purely customer-level controls. ›

Figure 4-7: Typology: Front-company chain to mask control and procure dual-use goods (indirect PF-TFS evasion)

A procurement agent establishes an operating company in Jurisdiction A and opens an account with a reputable FI. Ownership is routed through two or more holding entities in different jurisdictions (often using nominee directors and professional intermediaries), so the operating company appears independent. The company then contracts for "industrial components" from suppliers in Jurisdiction B, routing payments through the account in A (or via third-party payment providers). Shipping documentation misdescribes end-use and reroutes goods through Jurisdiction C to dilute export-control and sanctions scrutiny. The designated nexus is concealed through: (i) rapid changes in shareholders/directors, (ii) circular ownership or shared service addresses across multiple entities, and (iii) the use of non-customer counterparties (brokers, shippers, freight forwarders) that are not screened. Detection often depends on a firm's ability to map ownership/control beyond the first layer, screen connected parties, and challenge the commercial rationale when the customer cannot clearly evidence end-use/end-user or the role of intermediaries.

Source: Illustrative typology based on FATF analysis of complex proliferation-financing and sanctions-evasion schemes

TRADE AND GOODS-RELATED SCREENING

Almost all physical trade transits via the UK, where the ECJU act for the Island on export control screening, with local processes to respond to referrals and maintain awareness among any domestic firms involved in specialised manufacturing, engineering or logistics. Their expertise reduces domestic exposure but introduces the possibility of structural vulnerability if the Island has any limited visibility over third-country routing or ultimate end-users of goods.

Industry should apply a risk-based approach using the appropriate level of due diligence to understand the customer's business, the type of goods or services being supplied/procured, counterparties, jurisdictions, and the purpose of transactions, and escalate where information is missing or inconsistent. The components of the risk-based approach are the same as with ML and TF but the exposure would take into consideration sanctions risks.

FATF and RUSI emphasise that limited visibility of what a customer sells or where it is supplied is itself a PF vulnerability, so firms should treat this as a trigger for enhanced due diligence and, where appropriate, engagement with competent authorities rather than relying on name-based sanctions screening alone.

RESOURCE AND EXPERTISE CONSTRAINTS

As in other small jurisdictions, smaller obliged entities may have limited specialist PF/TFS expertise. This can manifest as:

- Over-reliance on generic AML/CTF training rather than tailored PF-specific material
- Difficulty interpreting geopolitical context, UN PoE reporting, procurement indicators and patterns associated with indirect PF
- An implemented manual screening process
- Less mature approaches to tuning/testing sanctions-screening tools, which can increase both false positives and false negatives
- Over-reliance on the results of screening alone to make a decision related to PF – TFS.

COMPLICIT FACILITATION AND INSIDER RISK

This PF NRA focuses primarily on the more likely risk that obliged entities may unwittingly process or facilitate transactions that breach, fail to implement, or evade PF-related TFS. However, a lower-likelihood but still possible vulnerability is the risk of complicit facilitation, where an individual within an FI, DNFBP or VASP (or an associated intermediary) knowingly circumvents controls or provides services to support a sanctions breach or evasion.

International experience (see RUSI emerging insights paper[102]) indicates that proliferators and their facilitators may seek to exploit professional enablers and gatekeeper services, and in some cases may seek to establish or use complicit service providers rather than relying solely on unwitting third parties. This reinforces that CPF effectiveness depends not only on screening technology and written procedures, but also on organisational culture, governance, and the ability to detect deliberate circumvention.

Key mitigants for the IOM include: fit-and-proper and licensing controls; risk-based supervision and thematic work on sanctions compliance; requirements for effective internal controls and independent testing; accountability at senior management level; suspicious activity and sanctions reporting pathways; and multi-agency coordination through the sanctions operational framework. Firms should ensure that sanctions compliance arrangements include controls designed to reduce insider risk (for example: segregation of duties, four-eye approvals for higher-risk decisions, audit trails for overrides and screening changes, staff vetting proportionate to role, and escalation routes that enable challenge and whistleblowing).

RESIDUAL VULNERABILITIES FROM LIMITED CASEWORK

Like many smaller IFCs, the IOM has had minimal experience of PF-related cases, which reduces opportunities for experiential learning. The absence of detected breaches does not always indicate low risk; rather, it creates:

- A dependency on global typologies and intelligence to shape risk understanding
- Risk of over-confidence in controls where no incidents have occurred
- Challenges in calibrating PF-specific monitoring scenarios, red-flag indicators and quality assurance processes ›

The lack of detected PF cases should not be interpreted as evidence that PF networks are unable or unwilling to use the IOM's financial system. Instead, it reflects the reality that PF activity is typically covert, routed through multiple jurisdictions and often only identified through intelligence channels.
A Sanctions tabletop exercise was held in January 2026 which tested agencies and regulators approach to hypothetical but realistic sanctions scenarios, including trans-shipment of dual-use goods and the ability of the agencies to respond to potential PF issues and what factors needed to be considered. This exercise enabled agencies to test that their controls work, the framework does what is intended, the handovers between agencies are efficient and proliferation financiers can be prosecuted and appropriately sanctioned and deprived of their funds/assets. Actions from the tabletop exercise were taken forward by SOG. This exercise will be repeated in due course.

4.8 Data and Information Gap Vulnerabilities

Jurisdictions often face data constraints when assessing PF risks, in part because PF-related activity is far less frequently detected and reported than ML. These challenges are not unique to the IOM; they are common across IFCs/ smaller jurisdictions that have limited domestic manufacturing, minimal direct trade in dual-use goods, and little historical exposure to UN-designated proliferators.

Several data and information limitations influence the IOM's ability to build a complete PF risk picture:

- Globally, PF cases are rare and often detected only through intelligence channels or international cooperation. The IOM has had no domestic PF prosecutions, and PF-related SARs remain very low. While this is consistent with the Island's risk profile, it reduces the availability of real-world case data that could help calibrate sector-specific vulnerabilities, detection indicators and monitoring scenarios.
- Many jurisdictions struggle to distinguish PF-related intelligence, SARs or supervisory findings from broader sanctions-related issues or ML/TF concerns.
- Comparatively few PF typologies exist, and those that do are concentrated in a small number of jurisdictions with direct links to Iran or DPRK. As a result, sectors may find it difficult to contextualise PF risk in their business models and develop sufficiently tailored red-flag indicators

These data limitations contribute to the need for continued enhancement of PF-specific reporting and intelligence-sharing mechanisms. Compared to ML, this PF risk assessment necessarily relies more on expert judgement, global typologies and qualitative indicators. For competent authorities, this underlines the importance of coordinated information-sharing and the continued development of PF-relevant statistics. For industry, it reinforces the need to provide high-quality PF-related reporting to the FIU and supervisors, so that the Island's understanding of risk can become progressively more evidence-based over time. Consistent with RUSI guidance, PF risk assessment should be treated as a dynamic exercise, with periodic review of controls, risk appetite and emerging typologies to ensure mitigants remain effective.

It is recommended that the IOM strengthens national data collection and analysis relating to PF by enhancing the coordinated framework for PF-relevant information across competent authorities, regulated sectors and industry. This framework should ensure that: relevant data sources are identified and consistently captured; PF-specific indicators and trends can be measured over time; information from financial institutions, DNFBPs, registries, trade-related functions, and international partners is incorporated into the national PF risk picture; and the Island's understanding of PF risks continues to evolve in line with global developments, FATF expectations, and typologies from comparable IFCs.

This action will strengthen future NRAs, support more targeted supervision, and enable earlier identification of emerging PF threats. ›

4.9 Artificial Intelligence and its Relevance to Proliferation and Proliferation Financing

Emerging global analysis on cyber-enabled illicit finance and sanctions evasion demonstrates that artificial intelligence (AI) is increasingly relevant to the proliferation ecosystem. The UN PoE on DPRK, FATF's 2021 PF Guidance, and subsequent MONEYVAL work all highlight the growing sophistication of cyber operations[103], digital obfuscation methods and automated financial activity used to raise and move funds for weapons programmes. AI forms part of this technological landscape, acting as an accelerant to behaviours already well-documented.

AI-ENABLED CYBER OPERATIONS SUPPORTING PF STATES

UN PoE reporting highlights that DPRK state-sponsored cyber actors increasingly rely on advanced techniques to infiltrate financial institutions, virtual asset platforms and private companies, generating significant revenue used to support weapons programmes. While these reports do not explicitly reference AI, the underlying techniques (automated phishing campaigns, rapid exploitation of software vulnerabilities and large-scale credential harvesting) are consistent with capabilities that AI systems can enhance. AI improves the speed, targeting accuracy and volume of such attacks, increasing the efficiency of revenue-generation activities that ultimately fund proliferation.

AI-ASSISTED SANCTIONS EVASION AND OBFUSCATION

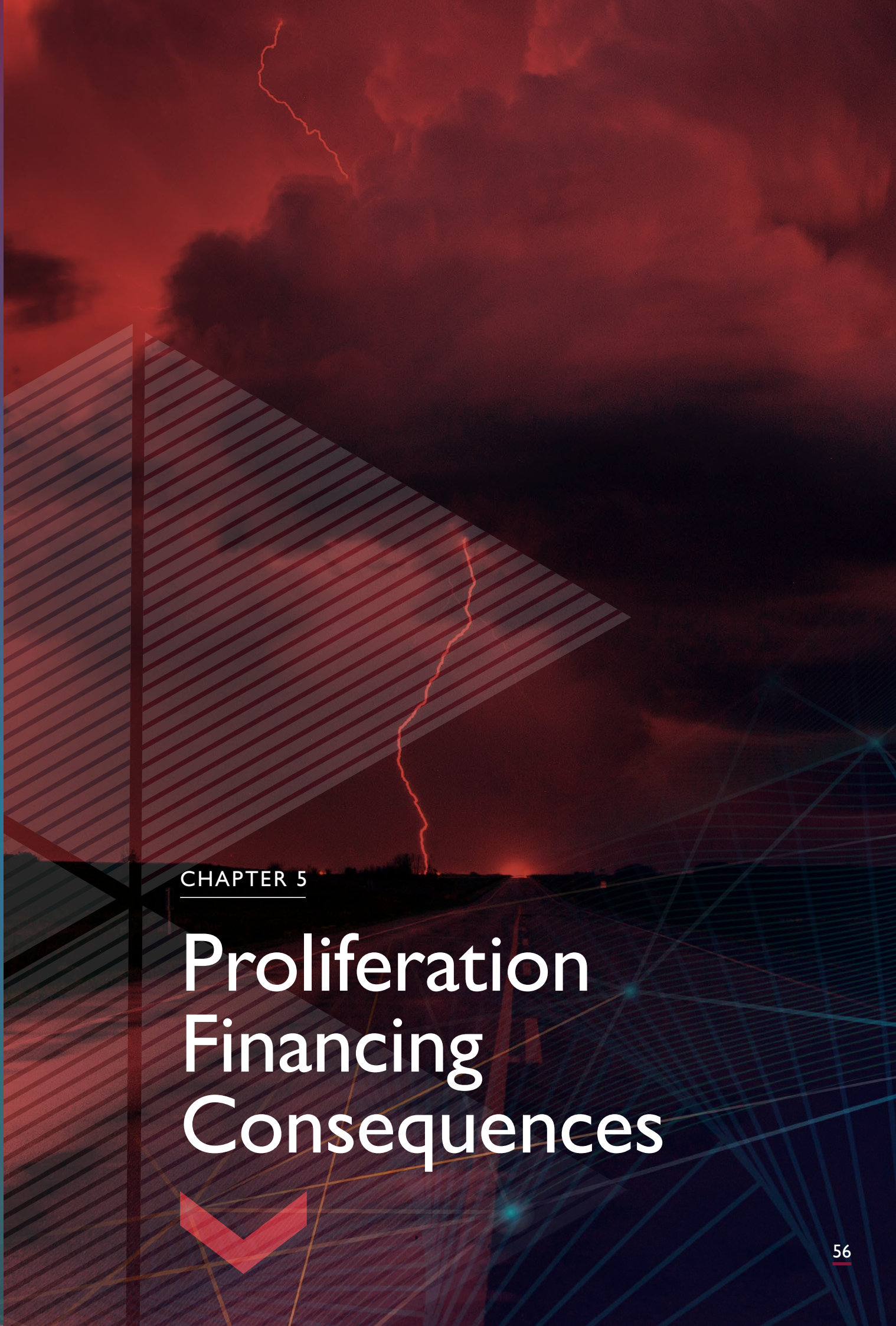
PF typologies underline the challenges created by complex corporate structures, layered transactions, and adaptive evasion techniques. AI-based tools can support proliferating networks by automating elements of this behaviour, such as generating synthetic identities, altering shipping documentation, or analysing compliance patterns to identify weak points in controls. These actions align with known sanctions-evasion patterns (e.g., misdescription of goods, use of intermediaries, and exploitation of VASPs), even if AI adds only incremental capability rather than creating new categories of risk. Dr Aaron Arnold (RUSI) in his commentary Beware the Robots: AI-Enabled Sanctions Evasion is Here[104] (July 2025) comments that: "The era of artificial intelligence as an 'emerging technology' is over; the dawn of AI-enabled sanctions evasion is here, threatening to fundamentally reshape global financial security."

IMPLICATIONS FOR CPF AND SUPERVISORY AUTHORITIES

For CPF regimes, the growth of AI increases the scale and speed at which PF-related activity, particularly cyber-enabled revenue generation and the misuse of virtual assets, may occur. Supervisory bodies and obliged entities must therefore ensure that their monitoring, analytics and sanctions-screening systems are resilient to adversarial manipulation, including the use of AI to circumvent controls. FATF emphasises the importance of maintaining up-to-date TRA and ensuring that emerging digital threats are captured in national PF risk frameworks.

4.10 Residual Vulnerability Summary

Considering the national vulnerabilities, sectoral exposures, TFS implementation challenges and data limitations described above, the IOM's overall vulnerability to PF is assessed as Medium Low. This reflects the Island's strong legislative and supervisory framework, BO transparency, alignment with UK and UN sanctions, and limited direct trade exposure, balanced against vulnerabilities associated with international financial connectivity, multi-jurisdictional ownership structures, and varying levels of PF-specific awareness across sectors. ■



CHAPTER 5

Proliferation Financing Consequences

Proliferation Financing Consequences

FATF Guidance on Proliferation Financing Risk Assessment and Mitigation[105] (June 2021) defines consequences. See **Figure 5-1**.

Figure 5-1: FATF Definition of Consequences Specific to a PF Risk Assessment

Consequence refers to the outcome where funds or assets are made available to designated persons and entities, which could ultimately allow them, for instance, to source the required materials, items, or systems for developing and maintaining illicit nuclear, chemical or biological weapon systems (or their means of delivery), or where frozen assets of designated persons or entities would be used without authorisation for proliferation financing. A breach, non-implementation or evasion of PF-TFS may also cause reputational damages to the country, relevant sector(s) or private sector firms, and punitive measures such as sanction designations by the UN and/or national authorities. Ultimately, the consequence of proliferation financing, i.e. the threat of use or the use of a weapon of mass destruction, is more severe than that of ML or other financial crimes, and is more similar to the potential loss of life associated with the consequences of TF. It is likely to differ between countries, channels or sources.

Source: FATF

Although the IOM faces a medium low PF threat, the consequences of any exposure remain material due to the nature of proliferation and the Island's position as an IFC.

NATIONAL SECURITY AND GLOBAL STABILITY

Even indirect or unwitting involvement in PF could contribute to the development, procurement or maintenance of WMD or related materials. PF networks rely on global financial and corporate systems, and the IOM's integration into international finance means that any failure, however small, may facilitate activities that undermine international non-proliferation efforts.

CONSEQUENCES OF PF-TFS FAILURES

A breach, non-implementation or evasion of PF-related TFS could result in:

- Undermining UN sanctions regimes relating to the DPRK and Iran
- Undermining UK sanctions regimes relating to the DPRK and Iran
- Heightened scrutiny from FATF, MONEYVAL and international partners
- Reputational concerns for the IOM as a cooperative, compliant jurisdiction ›

These consequences may arise regardless of whether actual WMD-related procurement occurs.

REPUTATIONAL AND ECONOMIC CONSEQUENCES

As a jurisdiction whose economy is highly dependent on cross-border financial services, reputational impact is one of the most significant consequences. Association with PF activity could lead to:

- Negative international media attention and the Island's standing as an IFC
- De-risking by banks or counterparties registered in the jurisdiction
- Increased compliance costs across the regulated sector
- Reduced investor confidence in doing business with the jurisdiction
- Potential economic effects.

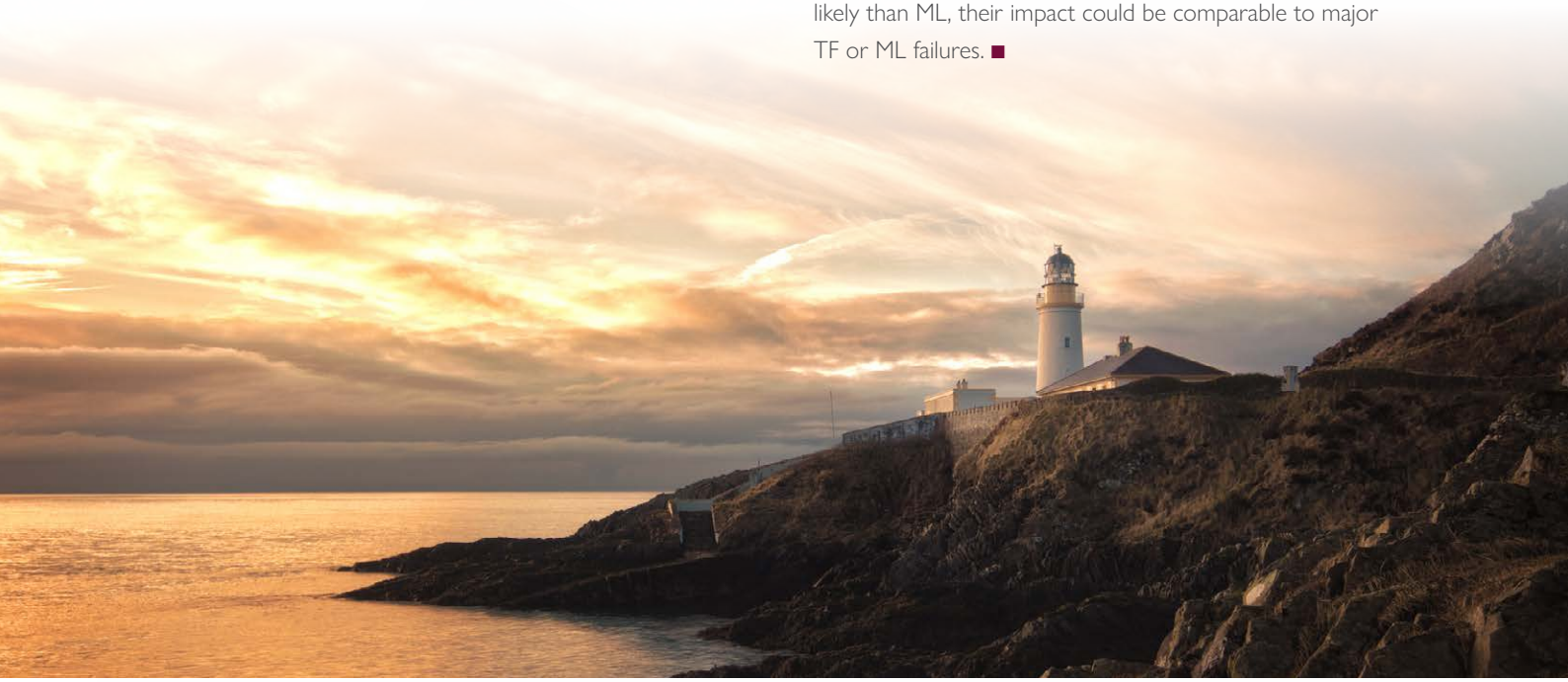
OPERATIONAL AND SUPERVISORY CONSEQUENCES

A PF-related failure could trigger increased regulatory expectations, more intensive supervision, and the need for system upgrades, enhanced screening, and additional PF-specific training. These impacts could extend across FIs, DNFBPs and other sectors.

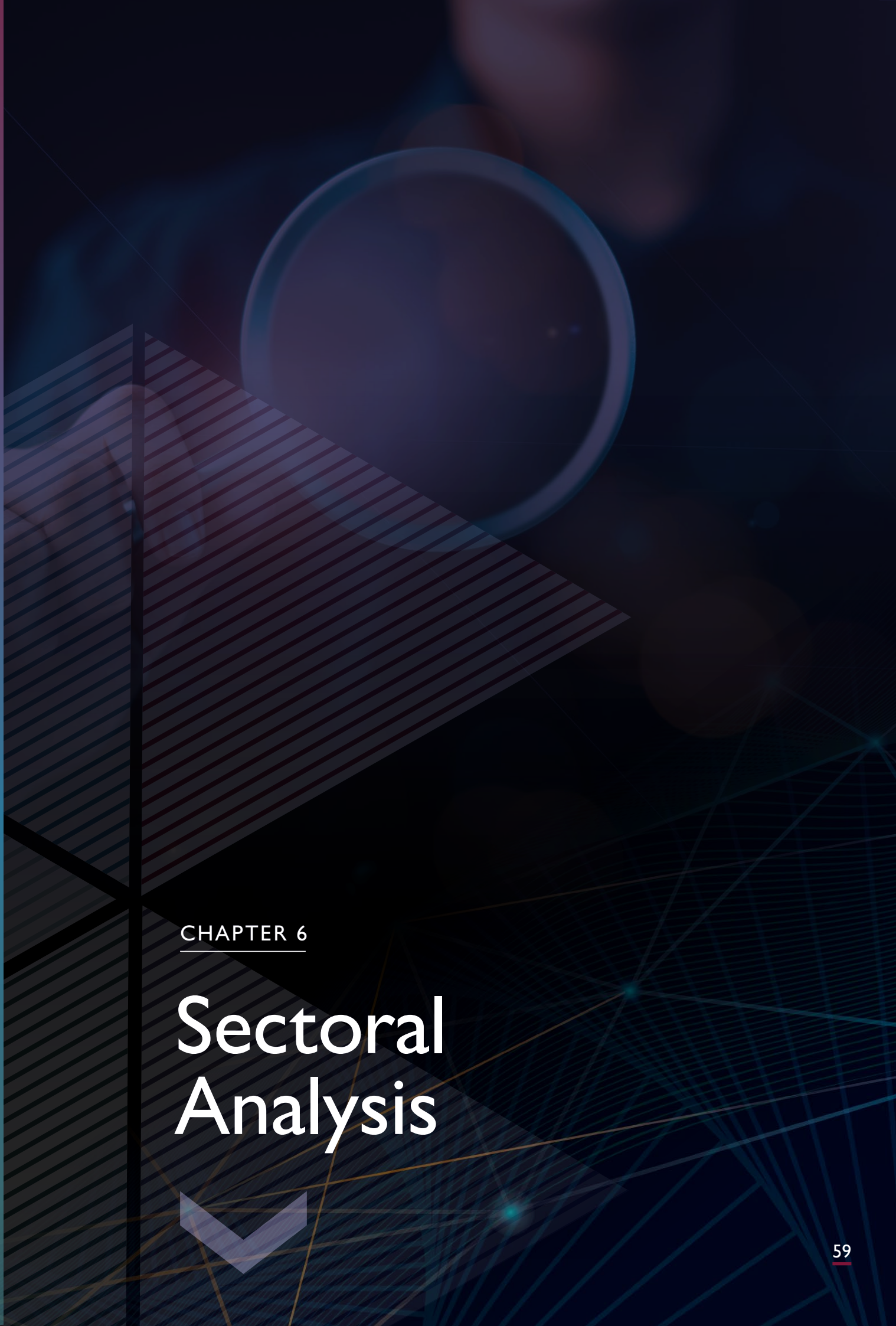
OVERALL CONSEQUENCE RATING

Using the RUSI PF Rapid Risk Assessment methodology, and reflecting international case studies and IFC experience, the consequences of PF for the IOM are assessed as **Medium**. While the Island's direct threat level is **Medium Low**, the potential reputational, regulatory, and international cooperation impacts justify a **Medium** consequence rating.

The **Medium** consequence rating for PF should also be read in conjunction with the Island's broader financial crime risk profile, including the **Medium High** ML risk rating and **Medium Low** TF risk rating. Taken together, these assessments underline that, while PF events may be less likely than ML, their impact could be comparable to major TF or ML failures. ■



> As a jurisdiction whose economy is highly dependent on cross-border financial services, reputational impact is one of the most significant consequences."



CHAPTER 6

Sectoral Analysis

Sectoral Analysis

This Chapter builds on the national and sectoral vulnerabilities outlined in Chapter 4.2 and the threat picture in Chapter 3 to provide a more detailed, sectoral view of PF risk in the IOM. It follows the structure used in the RUSI Proliferation Financing Rapid Risk Assessment Tool methodology, considering a number of the key sectors within each of the three broad groupings:

- Financial Institutions (FIs): Banking, Insurance and Money Transmission Services
- Designated Non-Financial Businesses and Professions (DNFBPs): TCSPs and VASPs
- Other Sectors: Online Gambling, Aircraft and Ship Registries, and Manufacturing

6.1 Financial Institutions (FIs)

6.1.1 Banking Sector

The IOM's banking sector serves both domestic and international customers, with banking forming a critical component of the Island's financial system and economy. The sector is largely comprised of branches or subsidiaries of major UK and international banks[106]. It is a core component of the Island's status as an IFC, with a predominantly non-resident customer base. The 2025 Banking NRA[107] confirms that, for ML the overall sectoral risk is Medium High.

PF-relevant banking risks may arise where:

- Cross-border payments involve customers, counterparties or intermediaries connected (directly or indirectly) to PF States or States of Proliferation Concern (country of diversion concern).
- Trade finance products are used to support procurement chains involving mis-described dual-use goods, front companies or third-country trans-shipment
- Banks inadvertently maintain accounts for entities or individuals designated (now or later) under UN, UK or other sanctions regimes.

The UN PoE (2017)[108] highlighted the risks faced by banks:

> *"Behind these illicit activities is the continued access of the DPRK to the international banking system. Despite strengthened financial sanctions in 2016, the country's networks are adapting by using greater ingenuity in accessing formal banking channels, as well as bulk cash and gold transfers. Banks of the DPRK maintain correspondent bank accounts and representative offices abroad and partner with foreign companies in joint ventures. Banks and designated entities of the DPRK make use of broad interwoven networks to undertake procurement and banking activity. Their ability to conceal financial activity by using foreign nationals and entities allows them to continue to transact through top global financial centres."*

Two SARs classified as PF-related were submitted by the banking sector between 2019 and 2025.

No IOM banks (either incorporated banks or via an IOM branch) provide correspondent banking services from the IOM as a business line, and the Island is not positioned as a correspondent banking hub. Where IOM banks have relationships that rely on correspondent banking arrangements, these are typically accessed through wider group networks and/or via third party banks outside the IOM. This reduces the IOM's direct exposure ›

to PF-TFS evasion through correspondent banking. However, it does not remove exposure to attempted misuse through other channels, including customer relationships, and complex ownership and control structures.

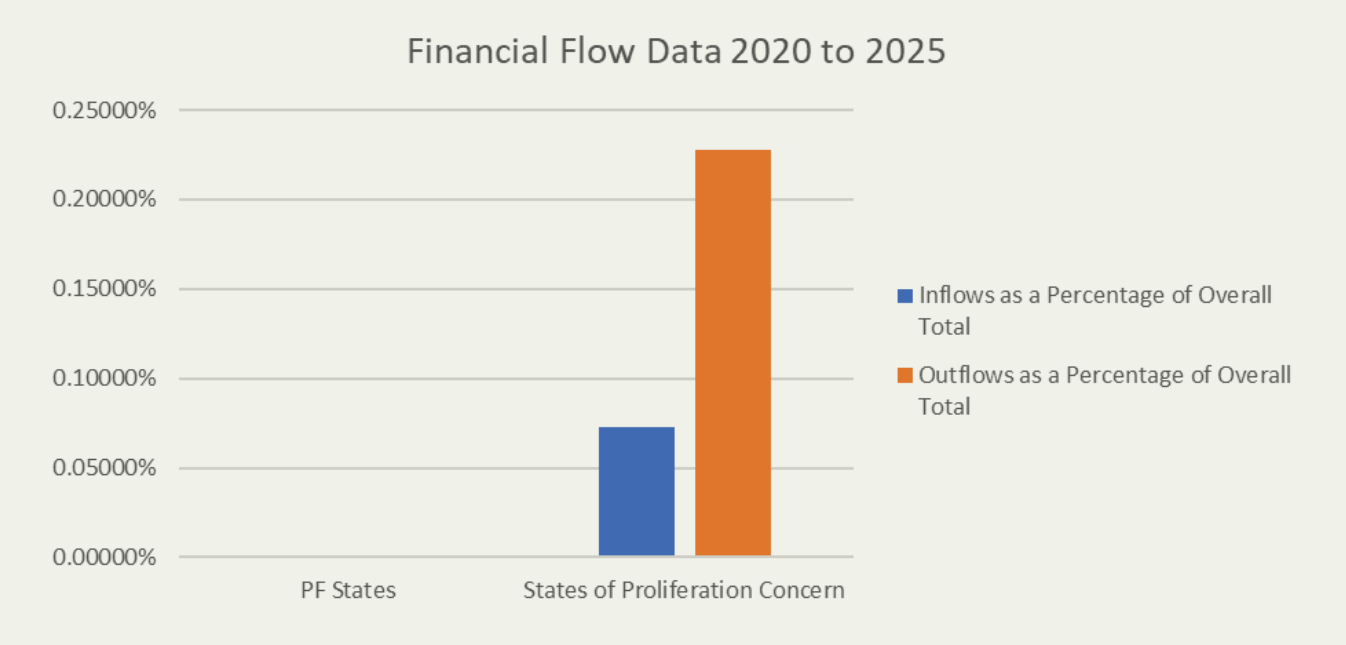
A number of the IOM banks provide banking services to the Money Transmission Services[109] sector (see **Chapter 6.1.3**), which may potentially carry similar risks to correspondent banking relationships.

Globally, banks provide trade finance products which may carry PF risk. Many trade finance instruments, such as letters of credit and guarantees, are treated as off-balance-sheet contingent liabilities (under IFRS rules), which facilitate international trade transactions. The data the IOM banks provide to the FSA confirm that there is no exposure to trade related contingencies in the last reported year (2025).

While the banking sector's primary exposure is assessed as unwitting facilitation risk, banks should also consider low-likelihood insider and complicit facilitation scenarios, including deliberate circumvention of sanctions controls through manual overrides, abuse of customer classification, or concealment of connected parties. Governance and assurance arrangements should therefore test not only control design but also resistance to deliberate circumvention.

The Banks supply the FSA with quarterly data on financial flows. **Figure 6-1** shows the flows compared to the overall financial flows for all countries. The exposure to PF States is negligible for inflows and zero for outflows. The flows for States of Proliferation Concern are very small. ›

Figure 6-1: Banking Sector: Cross-Border Inflows and Outflows Involving PF States and States of Proliferation Concern, 2020 to 2025



Source: FSA

6.1.2 Insurance Sector

The insurance industry is the largest financial services sector in the IOM, contributing 17% of national income and employing approximately 3,000 people. It is a well-established and mature industry. The sector includes life and non-life (captive, commercial and general insurance intermediation), with a predominantly international client base.

LIFE INSURANCE

The life insurance sector is focused on cross-border distribution of predominantly unit linked insurance products to expatriates and non-resident customers in jurisdictions outside the Island; the domestic market remains insignificant.

NON-LIFE INSURANCE

The non-life insurance sector consists mainly of captive (related party) insurers, largely providing insurance risk transfer to national or listed companies. A limited third-party commercial insurance market exists; a single third-party insurer of general insurance business is focused solely on the domestic market. General insurance intermediaries are also predominantly domestically focused both for natural and non-natural customers and correspondingly the exposure to higher risk countries is negligible.

The 2025 Insurance NRA[110] states that the overall sectoral ML risk is medium. From a PF perspective, the sector is relevant due to its size, international connectivity and the global typologies applicable to the sector. Key features that could influence PF risk include:

- Global portfolios and cross-border business models, including policyholders, beneficiaries and insured risks located outside the IOM
- Longterm, value-holding products (particularly in the life sector) that can be used to store and move value
- Specialist lines, including captives, group programmes and reinsurance, which may cover shipping, aviation or industrial risks relevant to PF typologies

RUSI published a paper, Underwriting Proliferation: Sanctions Evasion, Proliferation Finance and the Insurance Industry (July 2018), which states:

> *"The US Department of State, the UN and the Financial Action Task Force, the global standard-setter on government responses to financial crime, have all highlighted the role of insurance in implementing sanctions against North Korea."*

10 SARs classified as PF-related were submitted by the insurance sector between 2019 and 2025, making it the most represented sector in PF SAR reporting. These SARs relate to natural persons who hold policies. The PF link is typically based around their employment, with companies they are employed by or linked to raising PF concerns due to either the nature of the business (dual-use goods/weapons manufacture) or due to suspected links between the employer and PF states. It could be considered that these SARs are a positive reflection of the sector's CDD processes, capability and awareness of potential PF-related suspicions

INTERNATIONAL CONTEXT: GLOBAL PF THREATS AND TYPOLOGIES RELEVANT TO THE INSURANCE SECTOR

International organisations' reporting (including the UN PoE) demonstrates that the insurance sector can play an auxiliary role in PF networks, particularly where it supports maritime, aviation, energy or large-scale industrial activity.

Maritime insurance represents one of the most widely documented PF relevant exposure channels. RUSI's paper, Underwriting Proliferation: Sanctions Evasion, Proliferation Finance and the Insurance Industry (2018)[111] explains that access to maritime insurance is essential for DPRK's sanctions evasion activity, particularly ship-to-ship transfers and the illicit movement of oil and other restricted goods. RUSI state:

> *"As London is the home of global maritime insurance, it is increasingly expected to play a prominent role in global sanctions implementation and in the disruption of North Korea's illicit commercial networks and activities."*

The IOM insurance sector does offer maritime insurance[112]. ›

The FATF report Complex Proliferation Financing and Sanctions Evasion Schemes (June 2025)[113] gives a case study of how a Nigeria-based insurance company was suspected of working with the spouse of a sanctioned country's diplomat to help the DPRK's national insurance corporation, by targeting the way in which insurance companies purchase international insurance or reinsurance for state infrastructure through third-party companies. The report also explains how the "DPRK has earned millions of dollars annually by fabricating accidents and defrauding the international insurance market." These typologies show that insurers may inadvertently provide auxiliary support to sanctioned actors unless robust sanctions screening and ongoing monitoring are in place.

The UK's Proliferation Financing NRA[114](2021) further highlights the role of reinsurance, noting a case in which a UK specialist underwriter inadvertently provided reinsurance to a vessel connected to North Korea. The NRA also identifies the risk with insurance in the maritime sector:

> *"The London insurance market is key for global maritime insurance products, including Hull & Machinery insurance, Cargo insurance and Liability insurance through Protection and Indemnity insurance clubs. The most significant PF exposure within the UK maritime insurance market comes from reinsurance into London, particularly when the primary insurer is located in Asia.*
>
> *Insurance relating to the maritime sector and the maritime sector more broadly are frequently targeted by proliferating actors. 95% of all UK imports and exports are moved by sea and the maritime sector contributes over £14bn to the UK economy each year, supporting an estimated 186,000 jobs"*

Life and general insurance products can also give rise to PF relevant exposure. International bodies emphasise that designated persons or individuals linked to state procurement organisations may use mainstream financial and insurance services to hold value, manage personal or corporate risk, or maintain international financial access. In several jurisdictions, policyholders connected to dual-use exporters, defence manufacturers, or sanctioned state owned enterprises have been identified as indirect PF risks.

Export credit insurance (trade credit) is a very limited product offering from the sector. Marine cargo insurance is a more widely offered product, as a separate line of business or as a cross-class insurance policy. Both product lines of business might be insurance or reinsurance.

The business models of the IOM insurance sector will limit the potential PF exposure. Any inherent potential risk, albeit small, is more likely to be narrowly focussed on the captive insurance sector than in other life or non-life sectors.

CAPTIVE INSURANCE

The Insurance NRA (September 2025)[115] provides contextual background on the Captive Insurance activity, which is a substantial subset of the Non-Life insurance sector. As at 31 March 2025, there were 94 authorised non-life insurers of which 81 write purely related company insurance business (captive insurance). The shareholder organisations for this sector are largely national or international listed companies.

Captive insurance contracts mainly provide protection for group owned assets and liabilities with share capital, premium inflows and claim outflows being largely between group companies, which mitigates a number of the potential PF risks. The majority of premium outflows are to the reinsurance sector, much of which is placed in the London and Lloyds' insurance markets.

Significant claims generally involve the appointment of an independent loss adjuster who will verify the claim and advise on reserves and settlement values. This helps manage fraud risk, and therefore also acts as a mitigant for ML, TF and PF purposes.

Annual data submitted to the FSA by the sector indicates some geographic spread in customer locations. This distribution broadly reflects the jurisdictions in which industries of the type and scale for which captive insurance is an appropriate risk-management tool operate within corporate groups.

Customers in the captive sector are 100% non-natural persons, with no personal customers. See **Figure 6-2** for jurisdictional split. The concentration of captive business customers reported in Liberia and the Marshall Islands is driven by an individual non-life insurer, with the principal activity being the insurance of merchant ships. For Liberia, a List B(ii) country, the nexus arises through the concentration of ships registered with the Liberia Ship Registry. The country exposure for PEPs associated ›

with captive insurers is weighted to the UK and South Africa, with **Figure 6-2** showing percentages. China (**9.6%**) is the only State of Proliferation Concern that has any PEPs, there are no customers or PEPs in DPRK, Iran, Pakistan or Russia. The absolute number of PEPs remains low for the sector.

Figure 6-2: Top 10 Countries of Customer Residence for Captives for Non-Natural Persons and PEPs, 2024

Non-natural persons by residency	%	Unique PEPs by residency	%
Liberia	22.2%	United Kingdom	24.1%
Marshall Islands	21.1%	South Africa	16.9%
United Kingdom	16.2%	China	9.6%
Panama	9.2%	Kuwait	9.6%
South Africa	8.1%	Isle of Man	8.4%
Greece	6.3%	Liechtenstein	7.2%
Cyprus	2.5%	India	4.8%
USA	1.6%	Greece	3.6%
Bermuda	1.1%	Luxembourg	2.4%
Malta	1.1%	Other Top 10	4.8%
Top 10 as %	**89.4%**	**Top 10 as %**	**91.6%**

Source: FSA

The captive insurance sector has a number of controls in place to manage ML, TF and PF risks. Most firms form part of larger groups, which provide additional risk-management support and extensive expertise. More broadly, insurance is fundamentally concerned with understanding, assessing, managing and mitigating risk, and PF risk is therefore one of a wider set of risks with which the sector is accustomed to engaging. Clients in the captive sector also tend to be well understood by insurers, with many being multinational companies, including groups listed on well-known stock exchanges.

Extensive work is undertaken with each client, supported by comprehensive customer risk assessments, screening at onboarding and on a daily basis, screening of related parties, and ongoing monitoring. CRA, BRA and TRA processes are in place, with the BRA being presented to the relevant boards for approval. In addition, the captive sector often interacts with the most senior people in client firms, including at board level, which helps insurers develop a strong understanding of the client's activities and risk profile.

Risk is also often syndicated, meaning that transactions are assessed by a number of firms rather than by a single insurer alone.

The sector is also aware of the potential for dual-use goods to be insured, and these risks are captured within the controls and processes described above. ›

6.1.3 Money Transmission Services Sector

The IOM's Money Transmission Services sector has five financial service licence-holders with Class 8 permissions (as of 31 December 2025). As noted in the ML NRA: "The Payment Service Provider/Electronic Money Institution sector is relatively nascent, with several entities only licensed within the last four years. Although the sector is small in terms of the numbers of firms and employees, it is growing rapidly, with many licence applications and enquiries. Recently, there has also been a significantly large increase in customer numbers within the sector due to the relocation of a firm within the sector to the IOM."

Where Money Transmission activity does occur, PF risk may arise from the sector primarily serving non-resident clients and the: speed with which a customer can register for and obtain an account the account can be established remotely potential rapid cross-border transfer of value Therefore the PF risks will be similar to some of the risks that the Banking sector face.

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- Speed with which a customer can register for and obtain an account
- The account can be established remotely
- Potential rapid cross-border transfer of value

Therefore the PF risks will be similar to some of the risks that the Banking sector face.

6.2 Designated Non-Financial Businesses and Professions (DNFBPs)

6.2.1 Trust and Corporate Service Providers (TCSPs)

TCSPs establish and administer legal persons and arrangements for local and international clients. As highlighted in the LPA NRA[116], these structures are widely used for cross-border asset holding, wealth management and commercial purposes.

Key PF relevant risks seen globally, include:

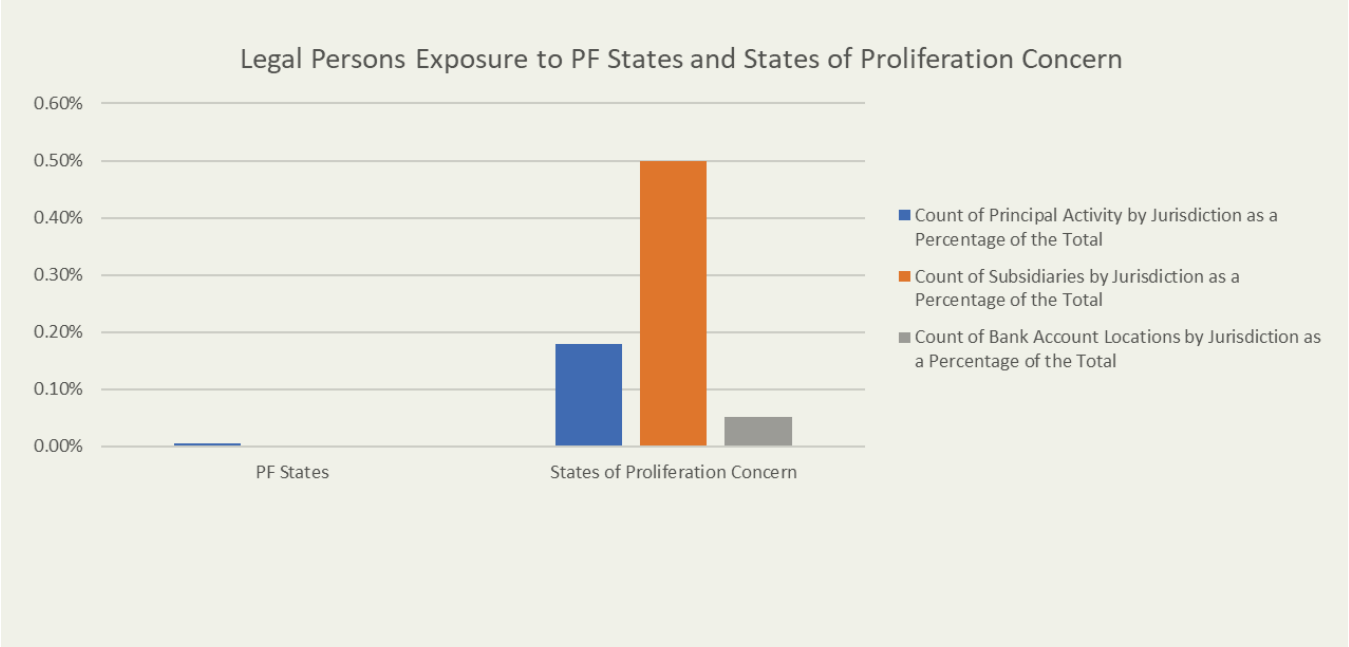
- Potential incorporation and administration of shell or front companies that form part of procurement networks for dual-use goods or WMDrelated materials
- Use of complex, multijurisdictional ownership and control structures to obscure links to designated persons or PF States
- Consistent with the STWG guidance, the assessment recognises that, for IFCs, PF risk may also arise through the storage or holding of funds and assets within legal persons or arrangements, including where such assets remain dormant between stages of wider proliferation activity. This risk is particularly relevant to jurisdictions with internationally active TCSP sectors, even where there is no direct link to procurement or trade in dual-use goods.

The TCSP submitted PF-SAR illustrated how TCSPs can play a key role in identifying potential PF-related exposure arising from clients' external activities and corporate positions.
The data supplied by the TCSP sector in 2025 for the LPA NRA has been analysed for exposure to PF States and States of Proliferation Concern. **Figure 6-3** shows the TCSP-administered ›

legal persons and the count (number) as a percentage of the overall reported legal persons for:

- Principal activity in the jurisdiction – **0.01%** of overall total for PF States and **0.18%** for States of Proliferation Concern
- Subsidiaries in the jurisdiction – **0%** for PF States and **0.50%** for States of Proliferation Concern
- Bank account locations by jurisdictions – **0%** for PF States and **0.05%** for States of Proliferation Concern

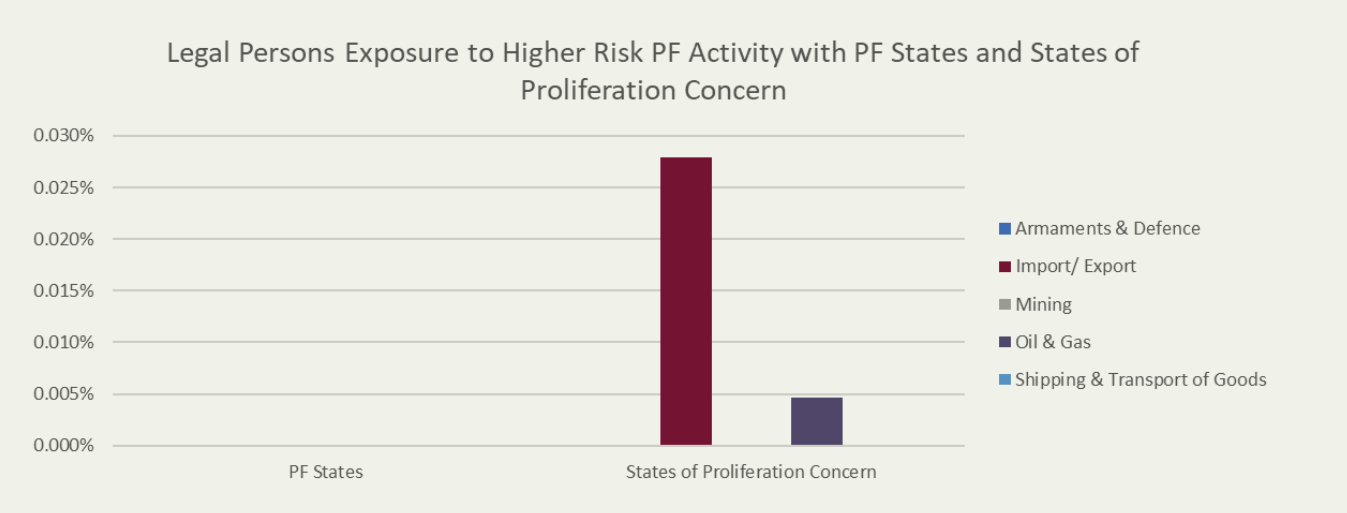
Figure 6-3: TCSP Administered Legal Persons by Jurisdiction of Activity – PF States and States of Proliferation Concern



Source: TCSP 2025 LPA Return

An analysis was undertaken of the underlying higher risk activity type of the TCSP-administered legal person structure and if there was any exposure to PF States (**0%**) or States of Proliferation Concern (**0.033%** in total). ›

Figure 6-4: TCSP Administered Structures by Activity Type, Including Those Potentially Relevant to Trade and Logistics

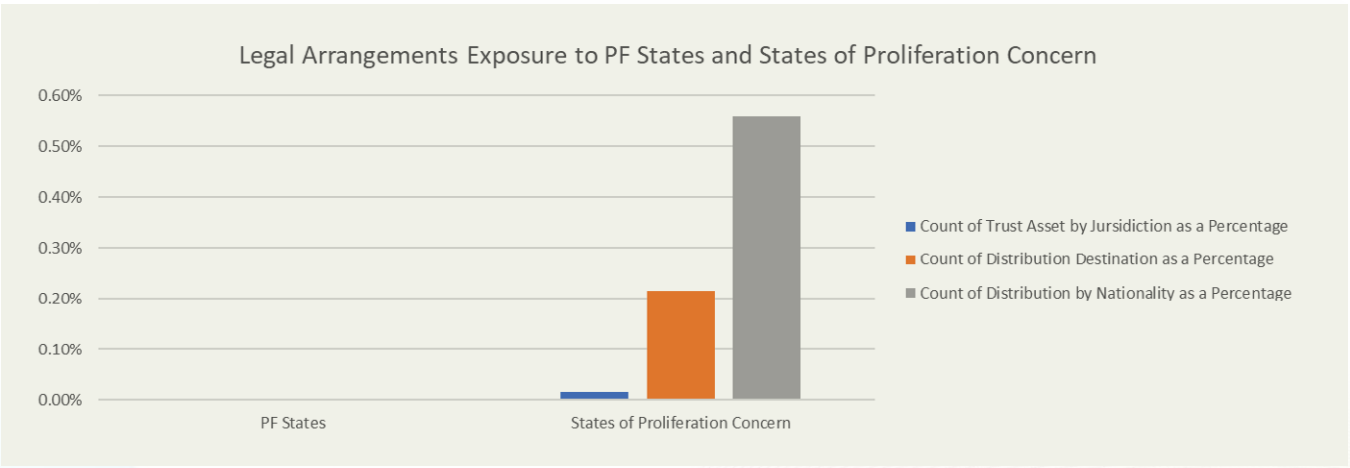


Source: TCSP 2025 LPA Return

From the data provided on trusts, the exposure was also extremely low, with no exposure to PF States (**0%**) and the exposure to States of Proliferation Concern: trust asset by jurisdiction (**0.02%**); distribution destination (**0.21%**); distribution by nationality (0.56%). See **Figure 6-5**.

In summary, as expected, the exposure of LPAs administered by TCSPs to these jurisdictions is extremely limited. ›

Figure 6-5: TCSP Administered Trusts with Connections to PF States or States of Proliferation Concern



Source: TCSP 2025 LPA Return

Although exposure to PF States and States of Proliferation Concern in TCSP administered structures is currently very low, experience from other small IFCs shows that TCSPs can feature in PF networks in more indirect ways. For example by incorporating or administering entities that form part of multijurisdictional front company chains, or by holding assets on behalf of clients whose external activities relate to procurement of dual-use goods. These risks are captured in the national vulnerability assessment and underscore the importance of TCSPs integrating PF specific indicators – including relevant jurisdictions, sectors and red flags – into their BRAs, CRAs and ongoing monitoring frameworks.

Figure 6-6: Gatekeeper Professions

Where North Korea is concerned, this category of activity includes North Korea-related companies accessing legal, accounting and company services for advice and guidance on applying for operating licences or registering with regulatory bodies, as well as setting up and operating companies.

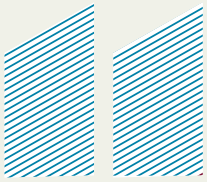
In most PF cases there is an assumed involvement of these services, such as setting up a front company, even if they are not explicitly mentioned.

Given the increasing ease with which companies can be registered online via a public website without requiring the engagement of a third party, the full extent to which gatekeeper professions are being used by North Korea is unknown. Where identified, some cases (25%) suggest that North Korea has in-sourced this activity, meaning that it either performed these services itself as opposed to using third-party intermediaries or provided gatekeeper services to others.

More broadly, 22% of the overall cases studied for this paper indicated that North Korea had an ownership or control stake in the DNFBP itself. While FATF Standards require DNFBPs to be supervised, the seeming proclivity of proliferating states to create their own or use complicit DNFBP service providers rather than outsource to unassociated third-party service providers needs to be addressed.

Source: RUSI Emerging Insights Paper - North Korean Proliferation Financing and Designated Non-Financial Businesses and Professions[117]

The PF exposure for TCSPs includes not only the risk of unwitting incorporation or administration of structures later linked to PF networks, but also a lower-likelihood risk of complicit facilitation by gatekeepers. TCSP control frameworks should therefore explicitly address insider risk and the possibility of deliberate circumvention, alongside more conventional due diligence and screening measures. ›



TCSP control frameworks should explicitly address insider risk and the possibility of deliberate circumvention, alongside more conventional due diligence and screening measures."

6.2.2 Virtual Assets and Virtual Asset Service Providers (VASPs)

The IOM VA/VASP NRA[118] assesses PF threat to the IOM as very low, reflecting a small, carefully supervised VASP sector and a client base predominantly composed of individuals, with no BOs or PEPs from countries known to pose a high PF risk. International typologies nonetheless show that PF States, particularly DPRK, use cyberenabled theft and misuse of virtual assets to raise and move funds. While these activities occur outside the IOM rather than through domestic VASP activity, VASPs are required to implement AML/CFT/CPF controls and are supervised by the FSA.

The FATF Targeted Report on Stablecoins and Unhosted Wallets (March 2026)[119] states that:

> *"Stablecoins, including through unhosted wallets, have become a common component of ML, TF and PF schemes that use virtual assets. While there are some simple and/or direct uses of stablecoins observed, many schemes use stablecoins as one feature in a more complex series of transactions designed to obfuscate the origin of funds, and distance it from the intended use. Reporting indicates that stablecoins are the most popular virtual asset used in illicit transactions."*

The FATF report Complex Proliferation Financing and Sanctions Evasion Schemes[120] (June 2025) highlights some of the challenges that jurisdictions such as the IOM face regarding VA and VASPs.

> *"Many countries are concerned about the increasing use of virtual assets to make payments and transfers across borders. PF networks often seek to exploit the lack of effective implementation of AML/CFT/CPF measures for VASPs across countries, given lagging implementation of Recommendation 15. There are also instances of VASPs in countries with AML/CFT/CPF requirements failing to comply with applicable obligations. Countries are particularly concerned about associated PF risks to pseudonymously raise and move funds. Many illicit actors seek to increase anonymity in virtual asset transactions by using virtual asset mixing services and anonymity enhancing cryptocurrencies (AECs) including in the process of laundering proceeds of large-scale virtual asset heists that support the WMD proliferation. The use of mixing and other obfuscation techniques can make it difficult for third parties to trace or attribute transactions. Also, countries noted the role of virtual assets in revenue generation efforts by the DPRK."*

Given the global typology of sanctions evasion and PF actors seeking weak points in implementation, VASPs should consider low-likelihood but plausible risks of deliberate circumvention (including by staff, agents, or associated service providers). Controls should include governance over sanctions screening configurations, audit logs, and independent review of higher-risk decisions and exceptions.

MONEYVAL published a typologies report, Practice of Using Virtual Assets, Virtual Asset Service Providers in the Laundering of Criminal Property, Financing of Terrorism and the Evasion of Sanctions[121] (December 2025). The report highlights the use of VAs for circumventing TFS. The report states:

> *"As VAs become increasingly integrated into financial systems and criminal typologies, it is essential that supervisory authorities, financial intelligence units (FIUs), Law Enforcement Agencies, and other public sector bodies receive targeted education on the risks and regulatory expectations surrounding VAs. This includes understanding the technological features of VAs, the typologies of misuse (e.g. sanctions evasion, fraud, proliferation financing), and the tools available for blockchain analytics and transaction tracing."*

Whilst some IOM agencies have built up their expertise with VAs, the IOM VA/VASP NRA has a recommended action to:

> *"Continue to enhance law enforcement capacity and capability in relation to VAs by increasing specialist resources, training and technical capacity to investigate, trace and prosecute ML/TF/PF activity involving VAs and VASPs, including strengthening the use of blockchain analytics and cross-border cooperation mechanisms."* ›

Figure 6-7: DPRK and Cryptocurrencies

North Korea has strategically leveraged its connections with third countries such as China, Russia, and Southeast Asian nations to build a sophisticated global cyber operations infrastructure. In recent years, its illicit activities have increasingly focused on cryptocurrencies, which serve multiple purposes: generating revenue to sustain the regime, financing its nuclear and missile programs, evading international sanctions, and collecting intelligence. Notably, Southeast Asia has emerged as a critical region within North Korea's cyber network, functioning both as a target and a base of operations.

Source: Centre for Strategic and International Studies (CSIS) - Hidden Enablers: Third Countries in North Korea's Cyber Playbook[122]

6.3 Other Sectors

6.3.1 Online Gambling

Gambling, including Online Gambling is the largest non-financial sector in the IOM, contributing 14.2% of national income in 2024. The sector is supervised by the GSC under a dedicated licensing and AML/CFT/CPF framework. As reported in the Gambling NRA[123], the sector has a medium high risk of ML. Overall risk is driven by the international nature and size of the online gambling sector. Increasingly complex threats are presented by organised crime groups from East and Southeast Asia and elsewhere exploiting online gambling, including software supply, for money laundering, cyber-enabled crime and other illicit activities. The sector faces risks from criminal ownership, infiltration and the use of advanced technologies such as AI and virtual assets. These same characteristics create indirect exposure to PF risk, even though there is no evidence of deliberate PF abuse of IOMlicensed operators to date.

The Gambling NRA and the National Risk Appetite Statement for eGaming[124] (May 2025) emphasise that the Island hosts cross-border gambling business models, but only where firms can demonstrate strong governance, sanctions compliance and effective management of ML/TF/PF risk. In particular, the National Risk Appetite Statement stresses that business models with overly complex structures, or ones that allow a level of opaqueness for the underlying parties involved, inherently carrier a higher level of risk.

The Gambling NRA (**Chapter 13**) states that Virtual Assets are permitted as a deposit method for Online Gambling with restrictions and additional controls. The GSC does permit an Operator to accept VAs via a model which allows exchange to occur prior to play, on the condition that the exchange that is used is subject to FATF-compliant, mandatory reporting requirements for suspicion of ML/TF and in a jurisdiction with an effective AML/CFT framework. The MONEYVAL typologies report Practice of Using Virtual Assets, Virtual Asset Service Providers in the Laundering of Criminal Property, Financing of Terrorism and the Evasion of Sanctions[125] (December 2025) notes that:

> *"The integration of VAs into online gaming platforms introduces significant risks of abuse, particularly in relation to sanctions evasion. Criminal actors and sanctioned entities may exploit the relative anonymity, speed, and global reach of VAs to move funds through gaming platforms that accept such assets. For example,*

sanctioned individuals may deposit VAs into gaming accounts, use in-game transactions to obscure the origin of funds, and then withdraw them as fiat or other assets, effectively laundering the proceeds and bypassing financial restrictions.

Gaming firms that accept VAs are therefore exposed to the risk of becoming conduits for sanctions circumvention. This is especially true where customer due diligence (CDD) and transaction monitoring controls are weak, or where blockchain analytics tools are not employed to screen wallet addresses against sanctions lists. The use of privacy-enhancing technologies, such as mixers or anonymising wallets, further complicates detection and enforcement."

International typologies underline that online (and remote) gambling could potentially be an attractive channel for highrisk foreign customers, cyberenabled fraud proceeds, and at the margins sanctionsrelated activity.

The FIU's 2025 typology report, Online Gambling: Red Flags and Typologies for ML, TF and PF[126], documents several PF relevant patterns, including: use of gambling accounts to launder large volumes of fiat or virtual assets stolen by DPRKlinked cyber actors; links between customer wallets and addresses associated with statesponsored hacking groups; and cyberenabled thefts of cryptocurrency from gambling platforms where the perpetrators are suspected to be acting on behalf of DPRK. These typologies mirror the global picture described in RUSI and UN reporting, which have repeatedly highlighted DPRK's reliance on cybercrime and virtual assets to generate foreign currency for its weapons programme.

RUSI's emerging insight paper, North Korean Activity in the Casino and Gaming Sector: How Do Jurisdictions Respond?[127] (September 2024) explains that "North Korean actors are already known to exploit the cryptocurrency industry and designated non-financial businesses and professions, including casinos, to generate and launder revenue for North Korea's WMD programme". It identifies online gambling platforms as potential nodes in proliferationrelated revenuegeneration chains. The paper notes that North Korean actors and their facilitators have exploited underregulated gaming environments, sometimes using cryptocurrency and online platforms, to move and obscure illicit assets.

FATF's work on cyberenabled fraud and VAs is also relevant. Its paper on CyberEnabled Fraud: Digitalisation and ML, TF and PF Risks[128] (February 2026) highlights that scam centres and largescale online fraud schemes increasingly integrate VAs and complex payment chains from the outset, and that states such as DPRK use such activity to generate revenue that can be diverted to WMD programmes. Similarly, the FATF report Complex Proliferation Financing and Sanctions Evasion Schemes[129] (June 2025) notes growing concern about the use of virtual assets, mixing services and anonymityenhancing tools in PF networks. These observations are consistent with the FIU's experience of PF-related gambling typologies in the IOM.

The GSC sets out its expectations to the sector in the AML/CFT guidance[130] for gambling operators and reinforced through targeted outreach, thematic reviews and, where necessary, enforcement action. It also publishes dedicated AML/CFT Guidance for Virtual Assets/Goods which refers to sanctions risks and requires operators to implement effective controls to identify and prevent dealings with designated persons or jurisdictions, including the use of wallet and transaction monitoring tools, screening tools and the ability to freeze or block assets where required.

The PF questionnaire conducted jointly by the FSA and GSC in 2024 confirmed that while gambling operators generally have mature ML control frameworks, PFspecific understanding is less advanced, pointing to the need for continued training and guidance. The convergence of online gambling, VAs and cyberenabled fraud typologies means that the sector will remain a priority channel for PF vigilance.

The IOM Gambling NRA confirms that:

"For Online Gambling operators all transactions are recorded, linked to individual accounts, and can be monitored in real time. Operators use tools to track the location of internet service provision, detect VPN usage, and block access. Device recognition technology helps identify duplicate accounts and inconsistencies in location data. Multiple accounts accessed from the same device may indicate synthetic identities, fraud rings, or money mule networks."

As is the situation with other sectors detailed in this risk assessment, given the global typology of sanctions evasion and PF actors seeking weak points in implementation, the sector should consider low-likelihood but plausible risks of deliberate circumvention (including by staff, agents, or associated service providers). As applies in other sectors, the Online Gambling businesses should have mitigating controls in place. ›

6.3.2 IOM Aircraft Registry

The IOM operates an aircraft registry[131], established in 2007, (and part of the Isle of Man Civil Aviation Administration, which is a Division of Department for Enterprise (DfE),) registering private/corporate jets and helicopters plus transitional aircraft (aircraft between commercial leases).

Potential PF risks for the IOM aircraft register include:

- Possible registration of aircraft owned or controlled by entities with links to PF States, States of Proliferation Concern or designated persons
- Use of aircraft for trade or charter routes involving sanctioned jurisdictions.

There is no evidence from PF-classified SARs or MLA requests during the review period of PF-related misuse of aircraft registered on the IOM register.

The Aircraft Registry consistently responds in a timely and appropriately robust manner to external events and potentially sanctioned individuals; and although not legally binding in IOM, the Registry also act where appropriate on EU and OFAC listings too.

Figure 6-8: Exiting of Russian Federation and Belarusian Business

A recent significant example from the time of the Russian Federation's invasion of Ukraine saw the Aircraft Registry directed by the DfE to exit all Russian Federation and Belarusian business. The Aircraft Registry was able to successfully act upon all sanctioned individuals' aircraft using a public interest article in the Air Navigation Order, and ahead of UK sanctions being published; thus no further action was required and the IOM/UK governments were notified accordingly.

There were a small number of non-sanctioned individuals within this group that had their aircraft registrations cancelled in order that the Registry complied with the political directive to exit all Russian Federation/Belarusian business; the public interest provisions were similarly used in these non-sanction cases.

The Registry continue to proactively monitor this and other areas accordingly and continue to cooperate closely with all external agencies.

Multiple checks are undertaken by the Aircraft Registry team when onboarding aircraft, which include formal legally binding declarations to be made by the applicants; and full due diligence/know your customer (KYC) is undertaken by TCSPs when they bring an aircraft to the Registry. The Aircraft Registry team works in very close cooperation with multiple local and international agencies, sharing information and intelligence in a timely and appropriate fashion. ›

6.3.3 IOM Ship Registry

The IOM also has an internationally recognised Ship Registry, with a Marine Administration established in 1984, which evolved into the IOM Ship Registry. It consistently retains a position on the Paris MOU[132] "White List" of top performing flag states and has a diverse fleet of merchant ships, yachts, and fishing vessels. The Registry is part of the Red Ensign Group[133] of British shipping registers. Shipping is a well-documented channel for PF-related sanctions evasion, particularly in relation to DPRK and Iran.

UN PoE reports[134] detail the use of a number of maritime sanctions evasion:

- Identifier and automatic identification system (AIS) manipulation
- Location tampering
- Vessel identity laundering
- Falsely flagged
- Fraudulent registration
- Falsified documents
- The use of shell and shelf companies, the layering of companies and the use of multiple intermediaries
- Complicit actors have been known not to submit updated owner and management information to the International Maritime Organisation (IMO).
- Other characteristics include complex ownership and management structures, the use of front companies and shell companies and engaging multiple intermediaries removed from the actual owner
- The use of corporate secretarial service providers or registered agents as contact points is common

RUSI's Insight paper, Countering Shadow Fleet Activity through Flag State Reform[135] (September 2025) highlights the threat from shadow fleets:

"Shadow fleets have been used over the past 15 to 20 years by North Korea and Iran to circumvent UN sanctions, but these fleets have expanded dramatically since Russia's full-scale invasion of Ukraine, with ageing, opaquely owned tankers deployed to illicitly sustain the export of oil by Russia. Despite mounting sanctions, these vessels continue to operate with impunity by exploiting weak flag state oversight, frequently switching registries or 'flag hopping' to avoid scrutiny."

In the IOM, the Ship Registry:

- Operates within the UK/IOM sanctions framework, using commercial screening tools to ensure sanctions compliance. Via these tools the Registry screens the owner, manager, ship and operator
- Has declined application(s) for sanctions reasons
- Has a good knowledge of their ships (the Registry controls the ship, rather than the actual cargo), given they are comparatively small in number. An owning company will likely have more than one ship with the IOM Ship Registry. A request to register just one ship would be unusual and a red flag at the outset
- There are country restrictions listed in the guidance[136]
- The register is public[137]
- Globally tracks the location of all the ships and is notified of any AIS dark activity/ suspicious ship-to-ship (STS) transfers/ high-risk port calls

There were no PF-classified SARs or MLAs referencing IOM-flagged vessels in the review period.

International typologies highlight the role that maritime transport and associated insurance can play in sanctions evasion and PF, particularly through deceptive practices such as flag-hopping, ship-to-ship transfers, AIS manipulation and "vessel identity laundering". The IOM's shipping and aircraft registries are relatively small in global terms and there is currently no evidence of misuse for PF purposes. Nevertheless, consistent with experience from other small states, these sectors are recognised as potential exposure channels, particularly where they intersect with high-risk jurisdictions or complex ownership structures. Awareness of PF-relevant maritime typologies, and appropriate liaison between registry authorities, supervisors and law enforcement, will therefore remain important mitigants even at low inherent risk. ›

6.3.4 Manufacturing and Goods-Related Activity

The IOM has a relatively small manufacturing base (Manufacturing: Engineering and General represented 1.7% of National Income in 2023/4[138]), with limited production of specialised components, including aircraft parts, that could be dual-use. C&I data show no import or export activity with PF States and minimal trade with States of Proliferation Concern over the period April 2023–January 2026.
PF risks arise where:

- Local manufacturers produce specialised or niche items that, if misdescribed or misappropriated, could enter proliferation supply chains
- Overseas customers or intermediaries in higher-risk jurisdictions seek to acquire goods under false enduse or enduser declarations.

Because of the established trading routes and customs union arrangements, the IOM benefits from the experience of the UK for the majority of customs processing and exportcontrol checks, including the application of the Export Control Order 2008 and Dual-Use Regulation, with C&I carrying out inspections and checks where UK screening flags potential issues. C&I has also published guidance on proliferation and PF risks for traders, including red flags and case references. The IOM Government provides further guidance[139] on Strategic Export and Trade Controls to support industry, as well as links to the legislation and applicable UK strategic export control lists.

The potential risk exists from both procurement risk (industry buying/ attempting to procure strategic or dual-use goods) as well as sales-side risk (industry being involved, wittingly or unwittingly, in transactions involving the sale of arms, dual-use goods, technology or services that generate revenue for, or otherwise benefit, a sanctioned proliferator or a sanctioned entity), as well as the brokering of goods:

- Buying: the risk that a PF State or PF enabler supplies proliferation sensitive goods, or other revenue generating goods, and local business could be involved in these transactions, whether through purchasing goods, logistics, brokering or financial services
- Selling: the risk that a manufacturing business could be involved in transactions involving the sale of items or technology that enter a broader sanctions evasion / proliferation support network, including through third country intermediaries and misdescribed consignments

Plausible pathways typical of PF typologies include:

- Intermediaries / third country buyers: the risk can arise where overseas customers or intermediaries seek goods under false end use/end-user declarations. This inherently covers both procurement masking and sales side involvement in a wider network, because the critical vulnerability is who ultimately benefits and whether the trade is structured to disguise that beneficiary
- Misdescribed end use/end-user / misappropriation: the risk of specialised/niche items being misdescribed or misappropriated into proliferation supply chains
- Corporate and financial channel intersection: the risk that even where goods do not move directly through the Island, connected corporate or financial services can still be part of the transaction chain that enables procurement or monetisation. This could materialise in an example where an enabler in another country is prepared to sell goods (including weapons) to raise funds for PF States or actors
- Reliance on typology led detection rather than volume indicators: the fact that PF can be difficult to detect and that low reporting volumes should not be read as negligible risk; the Island therefore relies on typology led and intelligence led understanding

DUAL-USE MANUFACTURING AND RELEVANCE TO PF RISK

The IOM's manufacturing sector is small in scale and is not characterised by large-volume export of strategic goods. However, the sector includes specialised engineering capability and the production of niche components (including aircraft-related components) that may, depending on specification, fall within dual-use control categories. The PF relevance is therefore targeted and specific: it is primarily associated with (i) the potential for sensitive items to be procured through intermediaries using misrepresented end-use/end-user ›

information, or (ii) the risk that sales of specialised items could be incorporated into wider sanctions-evasion or proliferation support networks operating through third countries.

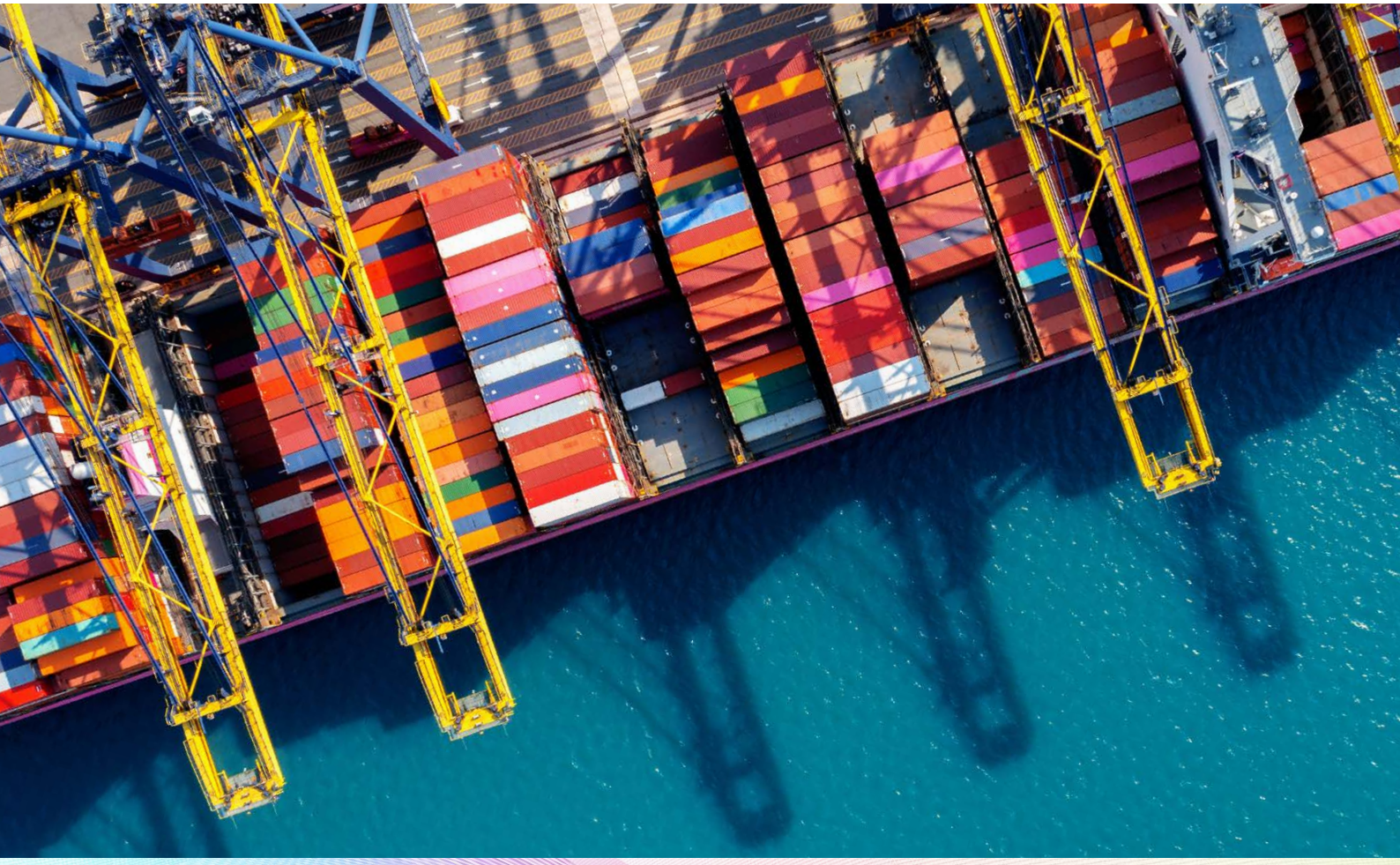
To inform this assessment, the Government engaged with a number of firms from the manufacturing sector, through a questionnaire. This engagement was used to test whether there is evidence of material dual-use production, the extent of export activity, and the sector's awareness of strategic export and trade controls. The assessment did not identify evidence of direct trade links with UN-designated PF States, and import/export data show no activity with PF States and minimal activity with States of Proliferation Concern over the review period.

Given the above, the residual PF risk from domestic manufacturing is assessed as **Medium Low**[140]**,** though that does not result in no risk. The key mitigants are: alignment with UK strategic export and trade controls; the application of export licensing requirements where relevant; UK screening arrangements for trade transiting via the UK combined with IOM processes to respond to referrals; and the availability of published guidance and red flags to support industry awareness. The priority for this sector is therefore proportionate awareness and escalation: ensuring that manufacturers and any associated intermediaries understand when to seek advice, apply export licensing, and escalate concerns where end-use/end-user transparency is limited or where transactions involve higher-risk jurisdictions, unusual intermediaries, or inconsistent commercial rationale.

CUSTOMS FREE ZONES

There are no Customs Free Zones (Free Trade Zones or Special Economic Zones) in operation in the IOM.

It is recommended that consideration is given if there are certain sectors (potentially non-financial), where a further sector-specific PF risk assessment would benefit that sector. Discuss initially with relevant industry bodies. ■





CHAPTER 6

Appendices

1. Glossary and Definitions

Key Agency/ Term/ Acronym	Meaning
AECs	Anonymity Enhancing Cryptocurrencies
AGC	Attorney General's Chambers
AI	Artificial Intelligence
AIS	Automatic Identification System
AML	Anti-Money Laundering
AML/CFT Code	Anti-Money Laundering and Countering the Financing of Terrorism Code 2019
AML/CFT Handbook	Anti-Money Laundering and Countering the Financing of Terrorism Handbook December 2023
ATCA	Anti-Terrorism and Crime Act 2003
BO	Beneficial Owner - the natural person(s) who ultimately owns or controls a customer (legal person or arrangement), either through ownership (e.g., shares/voting rights) or control by other means. For legal arrangements (e.g., trusts), it also captures the relevant controlling persons (e.g., settlor, trustee(s), protector (if any), beneficiaries or class of beneficiaries, and any other person exercising ultimate effective control).
BOA	Beneficial Ownership Act 2017
BRA	Business Risk Assessment
CBRN	Chemical, Biological, Radiological or Nuclear
CD	Crown Dependencies – Isle of Man, Jersey and Guernsey
CDD	Customer Due Diligence
CFT	Combatting/ Countering the Financing of Terrorism
C&I	Customs & Immigration Division
CPF	Counter Proliferation Financing
CSP	Corporate Service Provider
DBROA 15	Designated Business (Registration and Oversight) Act 2015
Designated Person	Individuals, entities or organisations subject to targeted financial sanctions implemented by the United Nations or under a country's autonomous sanctions regime
DfE	Department for Enterprise
DNFBPs	Designated Non-Financial Businesses and Professions
DPRK	Democratic People's Republic of Korea
Dual-Use Goods	These are items, including software and technology, which can have both a legitimate civilian use, and an actual or potential military use, or that can be used in the development, manufacture or delivery of weapons of mass destruction. The dual-use goods subject to control in the IOM is provided for in law by the Dual-Use Regulation[141], and included in the UK Strategic Export Control List[142]. The IOM maintains the same export controls as that of the UK
ECJU	Export Control Joint Unit
EDD	Enhanced Due Diligence
Egmont Group	Egmont Group of Financial Intelligence Units
EoN	Exchange of Notes

Key Agency/ Term/ Acronym	Meaning
EU	European Union
FATF	Financial Action Task Force
FCP	Financial Crime Partnership
FCSB	Financial Crime Strategic Board
FCARU	Financial Crime and Asset Recovery Unit
FIs	Financial Institutions
FinTech	Financial Technology
FIU	Financial Intelligence Unit
FIU Act	Financial Intelligence Unit Act 2016
FSA/ Authority	Isle of Man Financial Services Authority
GSC	Gambling Supervision Commission
ICART	International Co-operation and Asset Recovery Team
IFC	International Finance Centre
IMO	International Maritime Organisation
IOMC	Isle of Man Constabulary
IOMFCP	Isle of Man Financial Crime Partnership
Ireland	Republic of Ireland
Island	Isle of Man and the Island are used interchangeably
ITD	Income Tax Division
KYC	Know Your Customer
LEAs	Law Enforcement Agencies
LPAs	Legal Persons and Arrangements
Manx	Relating to the Isle of Man
MHK	Member of the House of Keys
ML	Money Laundering
MLA	Mutual Legal Assistance
National Financial Crime Strategy	Isle of Man Financial Crime Strategy 2024 – 2026
Non-State Actors	Individuals or organisations who are not affiliated, funded or directed by any government
NPO	Non-Profit Organisation
NRA	National Risk Assessment
OCG	Organised Crime Group
OPCW	Organisation for the Prohibition of Chemical Weapons
OSINT	Open Source Intelligence
PEP	Politically Exposed Person
PF	Proliferation Financing
PF States	The main state actors that posed a threat are those named by the UNSC – the Democratic People's Republic of Korea (DPRK) and Iran – collectively referred to as PF States
PIMLIT	Proactive International Money Laundering Investigation Team

Key Agency/Term/Acronym	Meaning
POCA	Proceeds of Crime Act 2008
PPP	Public Private Partnership
R	Recommendation from FATF
RBO	Registrable Beneficial Ownership - the beneficial owner who is recorded on/ reportable to the IOM's beneficial ownership framework
Regulated sector	Has the meaning given in Schedule 4 to the Proceeds of Crime Act 2008
Relevant Person	Persons carrying on business in the regulated sector are referred to as "relevant persons" or "supervised entities"
RUSI	The Royal United Services Institute[143] is an independent institution, which produces evidence-based research, publications and events on defence, security and international affairs to help build a safer UK and a more secure, equitable and stable world.
SAR	Suspicious Activity Report
SOG	Sanctions Operational Group
State Actors	Individuals or organisations who act on behalf of a governmental body, in an official capacity. The ruling government of a state or country. For the purposes of PF and proliferation, the main state actors are Iran and DPRK
States of Proliferation Concern	Jurisdictions frequently observed in proliferation and sanctions-evasion typologies. RUSI Guide to Conducting a National PF Risk Assessment references possible States of Proliferation Concern, currently: China, Pakistan and Russia
STRIX AML	Software which enables the regulators to receive, risk assess and analyse data from the regulated sector
STS	Ship-to-Ship
TCSP	Trust and Corporate Service Provider
TF	Terrorist Financing
TFS	Targeted Financial Sanctions means both asset freezing and prohibitions to prevent funds or other assets from being made available, directly or indirectly, to or for the benefit of UN designated persons and entities (including certain maritime vessels). For the purposes of this NRA, the TFS measures are contained in the UNSCRs relating to the prevention, suppression and disruption of proliferation of weapons of mass destruction and its financing (i.e. DPRK and Iran). These are more specifically described in Part II(b) of Annex C to the FATF Guidance on Proliferation Financing[144]. In addition to the asset freeze requirements and prohibitions on making funds and other economic resources available to, or for the benefit of, designated persons (including entities), these measures include – • requirement to close representative offices of designated entities • prohibiting designated entities from participating in joint ventures or any other business arrangement
Themis	The FIU's online reporting mechanism, which is the single point of contact for supervised entities in relation to: Reporting under the Proceeds of Crime or Terrorism Legislation; Reporting under Section 24 of the FIU Act; Reporting Sanction Breaches. Themis is also the tool the FIU use for communicating advisory notices and other pieces of information.
TOCFRA	Terrorism and Other Crime (Financial Restrictions) Act 2014
TRA	Technology Risk Assessment
TSP	Trust Service Provider

Key Agency/Term/Acronym	Meaning
Tynwald	IOM Parliament
UK	United Kingdom
UN PoE	United Nations Panel of Experts
UNSC	United Nations Security Council
UNSCRs	United Nations Security Council Resolutions
USA or U.S.	United States of America
VA	Virtual Asset
VASP	Virtual Asset Service Provider
VAT	Value Added Tax
VPN	Virtual Private Network
WB	World Bank
WMD	Weapons of Mass Destruction

2. Agencies and Industry Bodies Engaged

AGENCIES

AML/CFT/CPF Policy Office

Attorney General's Chambers

Prosecution

Central Registry

Cyber Security Centre for the Isle of Man

Customs & Immigration Division, Treasury

Financial Intelligence Unit

Financial Services Authority

Gambling Supervision Commission

Isle of Man Constabulary: PIMLIT

Sanctions Operational Group

INDUSTRY BODIES

Aircraft Registry

Chamber of Commerce Advanced Engineering & Manufacturing Forum

Department for Enterprise Science, Technology, Engineering, Manufacturing (STEM) Committee

Isle of Man Captive Association

Isle of Man Maritime

Ship Registry

3. List of Threats Provided by RUSI Model and Which Were Assessed as Relevant to the IOM

Financial Products and Services Directly Related to Trade in Proliferation-Sensitive Goods	Analysed as a relevant threat to the Isle of Man
Financial Products and Services Directly Related to Trade in Proliferation-Sensitive Goods (Analysed as a relevant threat to the Isle of Man)	yes
Use of trade finance products and services and clean payment services in procurement of proliferation-sensitive goods	
Use of front companies, shell companies or brokers to obtain trade finance products and services or as parties to clean payments	
Use of companies to provide unlicensed money remittance services	
Nationals or dual citizens of proliferating states, or family members of such persons (regardless of citizenship), used as intermediaries in countries not of proliferation concern to facilitate procurement of goods and/or for payment of funds. Likely to involve use of personal banking products	
Use of universities or research centres to procure dual-use goods and/or for payment of funds, including Iranian and Syrian institutions	
Money transfer services used to conduct cash transfers related to procurement of goods	
Use of third countries to channel financial transactions related to mining deals	
Use of professional intermediaries and firms to mask parties to transactions and end-users	
Use of personal accounts to purchase industrial items	
Use of non-specific, innocuous or misleading descriptions of goods or purpose of payments	
Use of fake or fraudulent documents related to shipping, customs or payments to facilitate transactions or trade finance	
Use of financial routes that are circuitous to the movement of sensitive goods or to countries not of proliferation concern	
Use of vessels that do not attract proliferation concern to obtain maritime or cargo insurance products	
Use of shipping companies, brokers and agents to obtain insurance or other financial services related to maritime transport. Often combined with use of front companies with opaque ownership structures	

Licit and Illicit Revenue-Raising Activities	Analysed as a relevant threat to the Isle of Man
Construction industry and/or related trades owned or operated by or on behalf of nationals or dual citizens of North Korea or North Korean entities. Profits from payment of contracts form part of North Korea's revenue-raising activities	yes
Cybercrime, such as hacking accounts to obtain value, largely used by state actors	
Drug trafficking by state and non-state actors, including through connections with organised criminal networks. Proceeds used to support proliferation activities	
Sale of minerals (gold, iron, steel, copper, zinc and so on) by North Korea or involving North Korean designated entities and individuals to raise revenue	
Payments made to labourers or workers (nationals or dual citizens) from North Korea. Payments are then largely confiscated by North Korea as part of its revenue-raising activities	
Restaurants or other small to medium-sized, largely cash-based businesses owned or operated by or on behalf of nationals or dual citizens of North Korea. Profits from businesses are sent to North Korea as part of its revenue-raising activities	
Wildlife trafficking by state and non-state actors including through connections with organised criminal networks	
'Taxes' and 'duties' collected by terrorist groups in controlled areas, as well as donations made to terrorist groups, as part of revenue-raising activities to support procurement of WMD materials, particularly chemical or biological weapons	no
Cross-border smuggling of cash, gold or other high-value goods by mules to support state and non-state proliferation activities	
Cross-border smuggling of cash, gold or other high-value goods in diplomatic bags by diplomats or consular officers to support state proliferation activities	
Export of art or statues by North Korea or involving North Korean designated entities and individuals to raise revenue	
Export of seafood originating from North Korea or involving North Korean designated entities and individuals	
Export of textiles originating from North Korea or involving North Korean designated entities and individuals	

Financial and Corporate Infrastructure in Support of the Movement of Finances and Goods	Analysed as a relevant threat to the Isle of Man
Use of banks and other financial institutions with foreign branches operating in countries of proliferation concern	yes
Use of cryptocurrencies to avoid the formal financial system	
Use of diplomats, consular officers or diplomatic or consular missions of North Korea to build networks, including corporate networks, within a country. These networks then facilitate a range of revenue-raising activities as well as facilitating financial products or services related to trade in goods	
Money-exchange businesses used for cash transfers in support of proliferation networks, where transfers involve individuals or entities owned or controlled by proliferation actors. Can also involve structured payments to organised crime networks involved in revenue-raising activities	
Use of a ledger payment system among members of a network that minimises the need for international financial transactions. Banks may be used to facilitate some end-of-term settlements between companies and/or individuals	
Use of companies to provide unlicensed money-transfer services among members of networks or to conduct ad hoc transactions	
Use of professional intermediaries and corporate service providers to mask the presence of proliferation actors	
Use of trade or other economic relations of countries with links or significant exposure to a proliferating country. Often facilitated by a complex corporate network	
Use of organised or transnational crime networks, particularly their transport corridors and intermediaries in their networks	
Establishment of corporate networks that facilitate but may not be solely involved in PF activities. Ultimate beneficial ownership, connections and control structures are opaque	
Use of local branches of banks and financial institutions based in countries of proliferation concern	no
Use of hawala or bartering systems of value transfer to pay and settle debts among members of a proliferation network	
Financial institutions with known histories of providing accounts to, or otherwise facilitating, financial activities of proliferation states	

Source: RUSI Proliferation Financing Rapid Risk Assessment Tool

4. Endnotes

1 https://islandplan.im/
2 https://www.gov.im/media/1383501/financial-crime-strategy-2024-2026-uploaded-230424_compressed.pdf
3 https://www.fatf-gafi.org/content/dam/fatf-gafi/guidance/Guidance-Proliferation-Financing-Risk-Assessment-Mitigation.pdf.coredownload.inline.pdf
4 https://www.rusi.org/explore-our-research/projects/proliferation-financing-risk-assessment and https://www.rusi.org/explore-our-research/publications/special-resources/guide-conducting-national-proliferation-financing-risk-assessment-2024
5 To allow better comparisons with the outputs from the World Bank methodology, which was used for other NRAs, the RUSI scoring was expanded for the medium score category into medium low, medium and medium high, see Chapter 1.3.
6 https://www.gov.uk/government/organisations/export-control-joint-unit
7 Also referred to as Proliferation Financing Hubs in the PF NRAs of other jurisdictions
8 FATF Recommendation 1 states: "Countries should also identify, assess, and understand the proliferation financing risks for the country. In the context of Recommendation 1, "proliferation financing risk" refers strictly and only to the potential breach, non-implementation or evasion of the targeted financial sanctions obligations referred to in Recommendation 7." https://www.fatf-gafi.org/content/dam/fatf-gafi/recommendations/FATF%20Recommendations%202012.pdf.coredownload.inline.pdf?nocache=true
9 https://counteringfinancialcrime.im/
10 https://disarmament.unoda.org/en/our-work/weapons-mass-destruction/un-security-council-resolution-1540
11 https://www.fatf-gafi.org/content/dam/fatf-gafi/guidance/Guidance-Proliferation-Financing-Risk-Assessment-Mitigation.pdf.coredownload.inline.pdf
12 https://static.rusi.org/20190513_guide_to_conducting_a_national_proliferation_financing_risk_assessment_web.pdf
13 See RUSI Guide page 14: https://static.rusi.org/guide-to-conducting-proliferation-risk-assessment-2024.pdf China: "of its facilitator role (https://www.independent.co.uk/news/china-ap-north-korea-beijing-united-nations-b2440877.html) in relation to well-known sanctioned proliferators, and the hundreds of China-based companies and cases that have been discovered (https://dprk-reports.org/search?facet=countries&facet_size%3Acountries=1000&facet_total%3Acountries=true&limit=30&q=China) to be connected to North Korea's violation of UN sanctions." Pakistan and Russia: "among the threat actors analysed due to their proliferation-related activities" (https://home.treasury.gov/system/files/136/2022-National-Proliferation-Financing-Risk-Assessment.pdf)
14 https://www.cnas.org/publications/reports/the-financing-of-nuclear-and-other-weapons-of-mass-destruction-proliferation
15 https://static.rusi.org/proliferation-finance-risk-assessment-special-resource.pdf
16 https://counteringfinancialcrime.im/
17 https://www.gov.im/media/1383501/financial-crime-strategy-2024-2026-uploaded-230424_compressed.pdf
18 https://www.rusi.org/explore-our-research/projects/proliferation-financing-risk-assessment
19 "Residual risk measures the level of risk after taking into account the effectiveness of controls that mitigate or reduce risk. Inherent risk, on the other hand, does not consider mitigating factors. The RUSI Proliferation Financing Rapid Risk Assessment Tool helps measure residual risks. Mitigating factors should be considered in the context of assessing vulnerabilities."
20 https://www.rusi.org/explore-our-research/publications/special-resources/guide-conducting-national-proliferation-financing-risk-assessment-2024
21 https://www.gov.im/about-the-government/departments/home-affairs/executive-office/anti-money-laundering-legislation-and-countering-the-financing-of-terrorism-amlcft/
22 All cash declarations are sent to the FIU and added on Themis
23 https://counteringfinancialcrime.im/ pages 47, 87 & 94
24 https://www.iomfsa.im/media/3534/aml-cft-handbook-december-2025.pdf https://www.isleofmangsc.com/gambling/anti-money-laundering/anti-money-laundering-guidance/
25 https://www.gov.im/categories/tax-vat-and-your-money/sanctions-and-export-control/
26 https://counteringfinancialcrime.im/
27 https://www.rusi.org/explore-our-research/publications/special-resources/institutional-proliferation-finance-risk-assessment-guide
28 https://counteringfinancialcrime.im/
29 https://legislation.gov.im/cms/legislation/current.html
30 The IOM is not a member of the UN, but it implements sanctions measures imposed by Security Council Resolutions due to inclusion as a party to the UK's membership of the UN. IOM policy is to implement all UK and UN international sanctions measures without delay
31 https://www.legislation.gov.uk/uksi/2019/411/contents
32 https://main.un.org/securitycouncil/en/sanctions/1737/resolutions
33 https://www.legislation.gov.uk/uksi/2019/461/contents
34 https://www.legislation.gov.uk/uksi/2019/618/contents
35 Implementation of PF-related sanctions is undertaken in line with applicable licences (obtained from the Treasury) (including humanitarian related provisions where relevant), ensuring controls are effective and proportionate
36 https://www.legislation.gov.uk/uksi/2019/411/contents
37 https://www.legislation.gov.uk/uksi/2019/461/contents
38 https://www.legislation.gov.uk/uksi/2008/3231/contents
39 https://www.legislation.gov.uk/eur/2009/428/contents
40 https://www.legislation.gov.uk/ukpga/1996/6
41 https://www.gov.uk/government/publications/uk-strategic-export-control-lists-the-consolidated-list-of-strategic-military-and-dual-use-items-that-require-export-authorisation
42 https://www.fatf-gafi.org/content/dam/fatf-gafi/recommendations/FATF%20Recommendations%202012.pdf.coredownload.inline.pdf
43 https://www.fatf-gafi.org/en/publications/Fatfrecommendations/Bestpracticespaperonrecommendation2sharingamongdomesticcompetentauthoritiesinformationrelatedtothefinancingofproliferation.html#:~:text=Best%20Practices%20Paper%20%3A%20Recommendation%202&text=The%20paper%20provides%20guidance%20on,financial%20measures%20to%20combat%20proliferation
44 https://counteringfinancialcrime.im/
45 https://counteringfinancialcrime.im/
46 This is where the close associations, countries of diversion or any nexus might be identified.
47 https://www.fatf-gafi.org/content/dam/fatf-gafi/guidance/Guidance-Proliferation-Financing-Risk-Assessment-Mitigation.pdf.coredownload.inline.pdf
48 Page 38
49 Jurisdictions frequently observed in proliferation and sanctions-evasion typologies
50 FATF and RUSI materials emphasise the role of certain third countries and intermediary jurisdictions that are exploited for sanctions evasion, procurement, trans shipment or payment processing in support of proliferation activity.
51 https://www.theguardian.com/world/2025/jan/09/takeshi-ebisawa-yakuza-leader-nuclear-materials-myanmar
52 https://unicri.org/sites/default/files/2025-12/Report-Countering-Weapons-of-Mass-Destruction-WMD-Terrorism.pdf
53 https://www.fiu.im/media/1245/online-gambling-typology-2025.pdf
54 https://rm.coe.int/moneyval-2025-27-typologies/48802aecd5
55 FATF glossary: Competent authorities refers to all public authorities [1] with designated responsibilities for combatting money laundering and/or terrorist financing. In particular, this includes the FIU; the authorities that have the function of investigating and/or prosecuting money laundering, associated predicate offences and terrorist financing, and seizing/freezing and confiscating criminal assets; authorities receiving reports on cross-border transportation of currency & BNIs; and authorities that have AML/CFT supervisory or monitoring responsibilities aimed at ensuring compliance by financial institutions and DNFBPs with AML/CFT requirements. SRBs are not to be regarded as a competent authorities.
[1] This includes financial supervisors established as independent non-governmental authorities with statutory powers. https://www.fatf-gafi.org/en/pages/fatf-glossary.html#accordion-a13085a728-item-776c6d21d8
56 Figure 3-3 includes all reports received by the IOM FIU, which include POCA/ATCA SARs in addition to Section 24 reports.
57 https://www.fiu.im/themis-guide/
58 Consignee country
59 Description of good(s) as well as commodity code
60 Value in GBP
61 Formerly known as Customs and Excise Division
62 https://www.gov.im/media/1380275/proliferation-financing-risks-updated-august-2023_compressed.pdf
63 https://www.iomfsa.im/enforcement/enforcement-action/
64 https://www.isleofmangsc.com/gambling/enforcement/
65 https://www.fatf-gafi.org/en/publications/Financingofproliferation/Proliferation-financing-risk-assessment-mitigation.html
66 See also the IOM LPA NRA https://counteringfinancialcrime.im/
67 https://counteringfinancialcrime.im/
68 https://docs.un.org/en/S/2024/215
69 RUSI state: "Despite denials by the North Korean government, evidence connects Lazarus to exploitation of central banks, cryptocurrency exchanges, Hollywood film studios, and even the UK's National Health Service." https://www.rusi.org/research-event-recordings/recording-lazarus-heist-hollywood-high-finance-inside-north-koreas-global-cyber-war

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72 https://home.treasury.gov/system/files/136/2024-National-Proliferation-Financing-Risk-Assessment.pdf
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75 https://assets.publishing.service.gov.uk/media/66e2ec410d913026165c3d91/OFSI_Advisory_on_North_Korean_IT_Workers.pdf
76 https://www.mofa.go.jp/files/100922718.pdf#:~:text=Proliferation%20Financing%20and%20Sanctions&text=activities%20in%20countries%20beyond%20China%2C%20which%20is%20North%20Korea's%20primary%20banking%20and%20laundering%20hub.
77 https://docs.un.org/en/S/2021/211
78 https://rm.coe.int/moneyval-2025-27-typologies/48802aecd5
79 https://www.gov.im/media/1385496/ransomware-and-sanctions-guidance-final-01-08-2024_compressed.pdf
80 https://assets.publishing.service.gov.uk/media/65a01397e96df50014f844fe/Risk_assessment_of_proliferation_financing__1_.pdf#page=18
81 Appendix 3 includes all the threats from the methodology and which were not deemed to be as relevant to the IOM
82 FATF PF Report states: "For the procurer of illicit goods seeking to avoid detection, the advantages of Free Trade Zones and Transhipment Hubs are that less stringent export controls are often applied by states to goods being transhipped or routed through free trade zones than to goods entering their territory through other means. As goods do not officially enter the economy in question they may be beyond effective customs and police control. The final journey may be by smaller cargo vessel or it may be completed by land or air. Although certain destinations maintain accurate data for cargo passing through their ports for commercial reasons the constant rerouting of goods can make effective tracking of cargo difficult." https://www.fatf-gafi.org/content/dam/fatf-gafi/reports/Typologies%20Report%20on%20Proliferation%20Financing.pdf
83 https://www.fatf-gafi.org/content/dam/fatf-gafi/guidance/Guidance-Proliferation-Financing-Risk-Assessment-Mitigation.pdf.coredownload.inline.pdf
84 See IOM Profile document https://counteringfinancialcrime.im/
85 See ML NRA
86 https://www.iomfsa.im/designated-business/dnfbp-overview/
87 The FATF Glossary includes TCSPs as DNFBPs. In the IOM, TCSPs are Class 4 and/or 5 licenceholders and supervised as FIs by the FSA.
88 The FATF Glossary includes 'Casinos' (which include internet-based casinos) as DNFBPs. However, for this analysis, the IOM has included the regulated (by the GSC) Gambling sector and its supporting ecosystem of ancillary services (including network services/hosted software suppliers and non-hosted software suppliers) under the Other High-Risk Sectors category. See the IOM Gambling NRA published in February 2026 for more details. https://counteringfinancialcrime.im/
89 Only a very small subset of NPOs (the Specified NPOs) are required to register under the Designated Businesses (Registration and Oversight) Act 2015 and are supervised by the FSA
90 https://www.iomfsa.im/amlcft/what-is-strix/
91 https://www.isleofmangsc.com/media/o2rn355a/proliferation-financing-survey-report-october-2024.pdf
92 https://www.iomfsa.im/media/3337/proliferation-financing-report-august-2024.pdf https://www.isleofmangsc.com/media/o2rn355a/proliferation-financing-survey-report-october-2024.pdf
93 https://www.iomfsa.im/fsa-news/2026/mar/sanctions-and-proliferation-financing-questionnaires-to-be-reissued/
94 In the GSC report, a summary was included of responses from operators of what they would like to see enhanced within the guidance to support the knowledge/understanding of staff.
95 This includes all visas, including visit visas
96 https://counteringfinancialcrime.im/
97 https://www.fatf-gafi.org/content/dam/fatf-gafi/reports/Complex-PF-Sanctions-Evasions-Schemes.pdf.coredownload.inline.pdf
98 https://www.iomfsa.im/about/webinars/
99 United Nations Security Council Panel of Experts (2024), Report pursuant to Resolution 1718 (2006) https://docs.un.org/en/S/2024/215
100 United Nations Security Council Panel of Experts (2024), Report pursuant to Resolution 1718 (2006) https://docs.un.org/en/S/2024/215
101 RUSI, Emerging Insights: North Korean Proliferation Financing and Designated Non-Financial Businesses and Professions (2022). https://static.rusi.org/271_EI_DNFBPs_Final_0.pdf
102 The Cyber Security Centre for the Isle of Man provides advice, guidance and events covering topics, including how to understand AI as a cyber threat. https://csc.gov.im/advice-guidance/
103 https://www.rusi.org/explore-our-research/publications/commentary/beware-robots-ai-enabled-sanctions-evasion-here
104 https://www.fatf-gafi.org/content/dam/fatf-gafi/guidance/Guidance-Proliferation-Financing-Risk-Assessment-Mitigation.pdf.coredownload.inline.pdf
105 Listed on the FSA Register: https://www.iomfsa.im/register-results/?entity-name=&entity-current=on&BusinessType=2&BusinessType=7
106 https://counteringfinancialcrime.im/
107 https://digitallibrary.un.org/record/861367/files/S_2017_150-EN.pdf
108 The ML NRA also has an action: "Alternative banking systems, including Chinese underground banking networks and other informal value transfer mechanisms, pose elevated money laundering risks due to their opaque operations and limited regulatory oversight. Potential exposure to these channels should be explored and, where higher risk is identified, measures implemented accordingly." This action should include PF risks.
109 https://counteringfinancialcrime.im/
110 https://static.rusi.org/20180710_underwriting_proliferation_web.pdf
111 https://maritime.im/insurance/
112 https://www.fatf-gafi.org/content/dam/fatf-gafi/reports/Complex-PF-Sanctions-Evasions-Schemes.pdf.coredownload.inline.pdf Box 12
113 https://assets.publishing.service.gov.uk/media/65a01397e96df50014f844fe/Risk_assessment_of_proliferation_financing__1_.pdf case study 2
114 https://counteringfinancialcrime.im/
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116 https://static.rusi.org/271_EI_DNFBPs_Final.pdf
117 https://counteringfinancialcrime.im/
118 https://www.fatf-gafi.org/content/dam/fatf-gafi/publications/targeted-report-on-stablecoins-and-unhosted-wallets.pdf.coredownload.inline.pdf
119 https://www.fatf-gafi.org/content/dam/fatf-gafi/reports/Complex-PF-Sanctions-Evasions-Schemes.pdf.coredownload.inline.pdf
120 https://www.coe.int/en/web/moneyval/activities/typologies
121 https://www.csis.org/analysis/hidden-enablers-third-countries-north-koreas-cyber-playbook
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125 https://www.fiu.im/media/1245/online-gambling-typology-2025.pdf
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129 https://www.isleofmangsc.com/gambling/anti-money-laundering/anti-money-laundering-guidance/
130 https://www.iomaircraftregistry.com/
131 https://parismou.org/Statistics%26Current-Lists/white-grey-and-black-list
132 https://www.redensigngroup.org/about-us/about-the-red-ensign-group/
133 https://docs.un.org/en/S/2024/215
134 https://www.rusi.org/explore-our-research/publications/insights-papers/countering-shadow-fleet-activity-through-flag-state-reform
135 https://www.iomshipregistry.com/media/qi1n41hk/ran-02-persons-qualified-to-own-a-manx-ship-feb-2025.pdf
136 https://mavis.iomshipregistry.com/PublicRegister.mth
137 https://www.gov.im/media/1391286/national-income-2023-24-report-updated-jan-26.pdf
138 https://www.gov.im/strategic-export-and-trade-controls
139 Manufacturing was included within the wider grouping of 'Other Sectors' in the analysis
140 Council Regulation (EC) No 428/2009, retained in the Isle of Man by SD 2019/0064. https://www.gov.im/categories/tax-vat-and-your-money/sanctions-and-export-control/export-and-trade-controls/strategic-export-and-trade-controls/
141 https://assets.publishing.service.gov.uk/media/69415ba1f0651088225375 24/uk_export_control_list_2025.pdf
142 https://www.rusi.org/about/our-purpose/mission-and-values
143 https://www.fatf-gafi.org/content/dam/fatf-gafi/guidance/Guidance-Countering-Proliferation-Financing.pdf